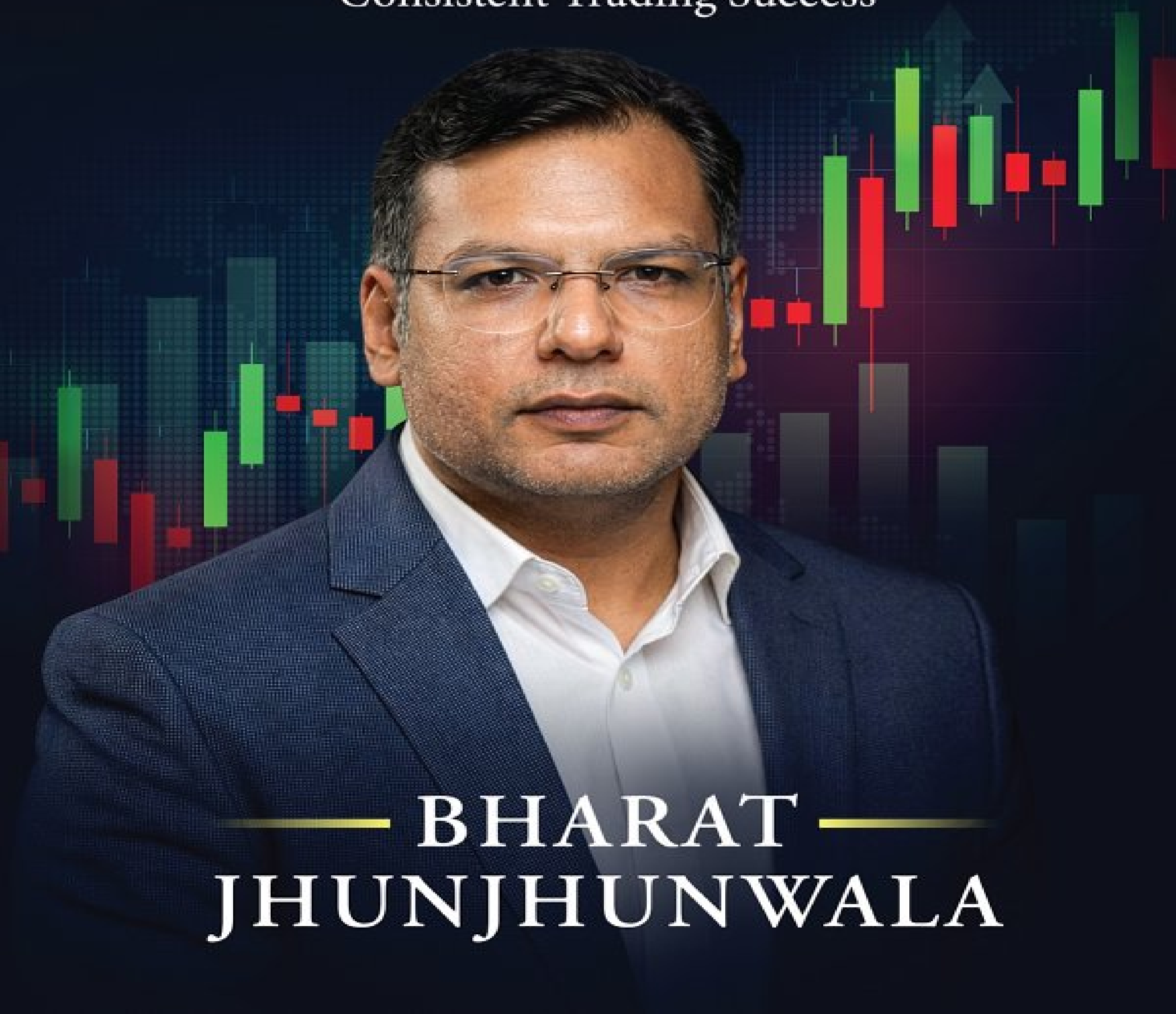
RSI MASTERY

Understanding Momentum For Consistent Trading Success



BHARAT JHUNJHUNWALA

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ACKNOWLEDGMENTS

To the Almighty Narayan

First and foremost, my deepest gratitude to the Almighty Narayan, the driving force behind this work. Without His grace and guidance, this book simply would not exist. Every insight, every breakthrough, every moment of clarity came through His blessings.

To My Parents

To my mother and father—your blessings have been my foundation. Everything I achieve, everything I create, stands on the strength you've given me. Thank you for your constant support and unwavering faith in me.

To My Wife

To my incredible wife—thank you for the endless cups of tea during those long writing sessions. More than that, thank you for your patience, your support, and your understanding when I disappeared into my research and writing for hours (sometimes days) on end. Your encouragement kept me going when the words wouldn't come and the concepts wouldn't clarify. This book exists because you gave me the space and support to create it.

To My Mentees

To all my mentees around the world—your zeal to learn constantly motivates me to stay sharp, keep researching, and continue pushing deeper into these subjects. Your questions challenge me. Your progress inspires me. Your success reminds me why I do this work. You are the reason I keep learning, keep exploring, and keep sharing. Thank you for keeping the fire alive.

To My Mentor, Andrew Cardwell

To Andrew Cardwell—every minute spent with you was a deep dive into the subject and the tool. You didn't just teach me about RSI; you opened my eyes to an entirely new way of understanding momentum, market structure, and price behavior. Your generosity in sharing your knowledge transformed my trading and my teaching. This book carries your influence on every page. Thank you for your mentorship, your patience, and your brilliance.

To TradingView

All the charts in this book were generated using the TradingView platform—an invaluable tool for technical analysts and traders worldwide. Thank you for creating such a powerful, accessible platform that makes analysis and education possible.

To the Readers of "Money, Method & Mindset"

Last but certainly not least—to all the readers of my first book, *Money, Method & Mindset*. Your response overwhelmed me. The emails, messages, comments, and feedback I received asking for more—specifically about RSI and momentum—gave birth to this book. You told me what you needed. I listened. And here it is.

Your enthusiasm for learning, your commitment to improving your trading, and your trust in my work mean everything to me. This book is my answer to your requests. I hope it serves you well.

To You, Reading This

And finally, to you—the reader holding this book right now. Thank you for investing your time and energy into learning. Thank you for taking trading seriously enough to study deeply rather than looking for shortcuts. The fact that you're reading this acknowledgment instead of skipping to the chapters tells me you're the right kind of trader—thoughtful, thorough, and committed.

I hope this book rewards your commitment with insights, clarity, and—most importantly—better trading results.

With gratitude and best wishes,
Bharat Jhunjhunwala

ABOUT THE AUTHOR

From Numbers to Charts: My Journey into Technical Analysis

I stepped into the financial markets in 2006, fresh out of college with a degree in financial accounting. Like most finance graduates, I thought I had it all figured out—analyze the balance sheets, study the income statements, find undervalued companies, and make money. Simple, right?

Then 2008 happened.

The global financial crisis shattered my neat little world of fundamental analysis. I watched companies with "solid fundamentals" collapse overnight. Numbers that looked perfect on paper became meaningless as markets crashed. That's when I realized something crucial: the numbers companies print on their reports aren't the whole story. There was something else—something I was missing.

The Technical Analysis Awakening

In late 2009, I attended a seminar on technical analysis. Something just… clicked.

I dove headfirst into learning candlestick patterns, moving averages, and everything I could get my hands on. But I didn't stop at YouTube videos and blog posts. I pursued formal education, completing my CMT (Chartered Market Technician), CFTe (Certified Financial Technician), and MSTA (Member of the Society of Technical Analysts) certifications.

But one indicator kept pulling me back: RSI.

The RSI Obsession Begins

Initially, like most traders, I used RSI as a simple overbought/oversold indicator. “RSI above 70? Sell. RSI below 30? Buy.” Easy, right?

Except it didn’t work consistently. And that bothered me.

I couldn’t accept that such a popular indicator was just… mediocre. There had to be more to it. So I started digging deeper. I studied everything I could find about RSI. I tested it. I broke it. I rebuilt it. I looked at it from every possible angle.

Meeting the Master

In 2011, I had the incredible fortune of connecting with Andrew Cardwell—the pioneer who revolutionized how we understand RSI. His guidance opened up an entirely new dimension of RSI analysis that most traders never even know exists.

Positive and negative reversals. Range shifts. Hidden patterns. Andrew showed me that RSI wasn’t just an overbought/oversold indicator—it was a complete framework for understanding market momentum and trend structure.

That connection changed everything.

Recognition and Research

My deep dive into RSI became more than just personal learning—it became serious research. I spent years documenting, testing, and refining my understanding of RSI’s true capabilities.

In 2019, I published my thesis on RSI, and the International Federation for Technical Analysis (IFTA) recognized my work by publishing it in their annual journal—a huge honor in the technical analysis community.

You can read the full article here https://www.ifta.org/journal

Sharing Knowledge

Over the years, I've created numerous educational videos covering various tools and strategies on my YouTube channel. Teaching helps me learn—every question from viewers pushes me to understand concepts even deeper.

Check out the channel here: https://www.youtube.com/@jhunjhunwala_b

The Coaching Journey

During COVID, when the world slowed down, I started coaching and guiding others to understand price action and momentum. What began as helping a few people has grown into a global community of traders learning to master RSI and price analysis.

Since then, many members from around the world have learned price action and RSI analysis from me. If you're interested in exploring these concepts, you can check out:

My First Book

In 2023, I published my first book: *Money, Method & Mindset*.

This book approaches the three critical aspects of trading that determine success:

- **Money**: Position sizing, risk management, capital preservation
- **Method**: Systems, strategies, and technical frameworks
- **Mindset**: Psychology, discipline, and emotional control

I highly recommend picking up that book as well—it lays the foundation that this current book builds upon.

Why This Book?

Every day of my journey as a learner, trader, and teacher, I've tried to discover something new about markets, tools, and strategies. I've made mistakes. I've had breakthroughs. I've experienced frustrations and victories.

In this book, I've tried to distill my years of experience with RSI—the deep research, the practical applications, the hard-won lessons—into something useful for you.

RSI transformed how I understand and trade markets. My hope is that this book helps you discover the same power in this remarkable indicator.

Whether you're just starting with RSI or you've been using it for years, I believe you'll find insights here that change how you see momentum, trends, and market structure.

Let's Stay Connected

I'd love to hear from you—your questions, your insights, your experiences with RSI, or anything else related to trading and technical analysis.

Here's where you can find me:

- **Email**: contact@prorsi.com
- **Website**: www.prorsi.com
- **YouTube**: https://www.youtube.com/@jhunjhunwala_b
- **Twitter (X)**: @jhunjhunwala_b
- **LinkedIn**: https://www.linkedin.com/in/bharatmftacmtcftemsta/
- **Instagram**: @jhunjhunwala_bh

Thank you for taking the time to read this book. I hope it serves you as well as RSI has served me.

Here's to better trades, deeper understanding, and consistent growth.

Happy Trading!

Bharat Jhunjhunwala

INTRODUCTION

So… What's Actually In This Book?

Look, I'm not going to bore you with some fancy marketing pitch about how this book will change your life and make you a millionaire by next Tuesday. Let's just talk straight about what you're getting into.

This book has two main parts, and honestly, you need both of them.

Part One: Actually Understanding RSI (Finally)

You know how everyone uses RSI but nobody really *gets* it? Yeah, we're fixing that.

Starting Simple (Chapters 1-2)

We kick things off with momentum basics. Not the boring textbook stuff—the actual, useful understanding of what momentum means and why it matters. Then we get into how momentum indicators actually work: lookback periods, centrelines, overbought/oversold zones, and divergences.

I've kept the jargon to a minimum because, honestly, who has time for that?

The Real RSI Deep Dive (Chapter 3)

Here's where it gets interesting. Most traders think they know RSI. They don't.

We're going deep into Andrew Cardwell's innovations—stuff that most trading books completely ignore:

- Positive and Negative Reversals (these are absolute game-changers)
- RSI Range Shifts (stops you from getting faked out by false signals)
- RSI Trendlines (yep, you can draw trendlines on RSI)
- How to identify actual bull and bear markets (not just guess)
- Failure Swings (catching turns before the crowd)

You'll also find out if RSI is really a "leading" indicator (the answer might surprise you) and understand how it's actually calculated. Not because you need to do math, but because understanding what you're looking at makes you a better trader.

Making Sense of What You're Seeing (Chapter 4)

Everyone talks about overbought and oversold. "RSI hit 70, time to sell!" "RSI hit 30, time to buy!"

Wrong. So wrong.

This chapter shows you why that approach fails and what actually works. You'll learn about trend transitions, and we'll introduce you to "Mega Overbought" and "Mega Oversold" conditions—which sound fancy but are actually super useful for identifying unusually strong markets.

Divergence Done Right (Chapter 5)

Divergences are powerful… when you know what you're doing.

We break down:

- Bearish divergences (spotting trouble before the crash)
- Bullish divergences (finding bottoms before everyone else)
- Why divergences act differently in uptrends versus downtrends
- How to validate divergences (most important part that everyone skips)

The Reversal Secret (Chapter 6)

This might be my favorite chapter because reversals are criminally underused by most traders.

We cover positive and negative reversals, how to spot reliable ones versus junk setups, which ones are actually worth trading, and—bonus—how to use them to calculate price targets.

Oh, and we'll show you what reversal failures look like so you don't get caught holding the bag.

When Things Overlap (Chapter 7)

What happens when you get divergences AND reversals happening together? Or one after the other?

This chapter connects the dots and shows you how to trade these combined setups.

The Game-Changer: Multiple Timeframes (Chapter 8)

This is where good traders become great traders.

You'll learn how to validate everything—divergences, reversals, all of it—across multiple timeframes. We use daily and hourly charts as examples, but the principles work anywhere.

Trust me, once you start thinking in multiple timeframes, you'll never go back. It's like putting on glasses for the first time and realizing trees have individual leaves.

Putting It All Together (Chapter 9)

The Momentum Monitor System is where we combine everything into one coherent approach. This is your framework for scanning markets, identifying the strongest opportunities, and knowing when to stay out.

Real Charts, Real Analysis (Chapter 10)

Theory is nice. Real-world examples are better.

We walk through two detailed case studies:

1. The COVID crash—how RSI warned us before things fell apart
2. Finding the actual bottom—how to spot real reversals versus false hope

These aren't cherry-picked perfect examples. These are messy, real-time situations showing you how to apply what you've learned when markets are chaotic.

Part Two: Why You Keep Losing Money (Let's Be Honest)

Here's the thing: You could master everything in Part One and still fail at trading.

Why? Because technical knowledge isn't enough.

Most traders sabotage themselves with the same predictable mistakes over and over. This section calls out 20 of the biggest ones—and more importantly, shows you how to fix them.

The "Getting Started" Screw-Ups

Like not knowing what a mistake actually is in trading (bet you're tracking the wrong things). Or jumping into live trading before you're ready because you're excited and impatient. Or not having a written trading plan because "you'll remember the important stuff."

Spoiler: You won't.

The "I'm My Own Worst Enemy" Mistakes

Not trusting yourself while trusting random strangers on the internet. Not aligning your trading style with your actual personality (trying to day trade when you hate staring at screens all day). Overcomplicating everything because complexity makes you feel smart.

The "Death by a Thousand Cuts" Errors

Poor money management (the silent account killer). Buying systems from snake-oil salesmen. Not understanding if you actually have an edge or if you're just gambling. Ignoring what type of market you're in. Overtrading because you're bored.

The "Emotional Landmines"

Revenge trading after a loss (the fastest way to blow up). Not using stop-losses because "it'll come back" (narrator: it didn't come back). Listening to financial news and hot tips. Taking trades with terrible risk-reward ratios and wondering why you're not profitable.

The "Long Game" Failures

Not adapting when markets change. Giving up right before you would've figured it out.

Each mistake gets a full breakdown: why you make it, what it costs you, and exactly how to fix it. No lectures, no judgment—just practical solutions.

Real Talk: Who Should Read This?

This book is for you if:

- You're tired of inconsistent results and want to figure out what's wrong
- You've tried RSI before but couldn't make it work consistently
- You're drowning in conflicting trading advice and need clarity
- You keep making the same mistakes and want to break the cycle
- You're treating trading seriously, not as a hobby or gambling substitute

Skip this book if:

- You want someone to just give you trade signals to copy
- You're looking for a magic system that works with zero effort
- You think trading should be easy and anyone who says otherwise is lying

- You’re not willing to practice and study
- You can’t handle brutal honesty about your own behavior

How to Actually Use This Thing

Don’t just read this like a novel and forget about it. Here’s what actually works:

- **For the RSI section (Chapters 1-10):** Read it in order. Each chapter builds on the last one. Don’t skip ahead thinking you know something—you probably don’t know it as well as you think.

Pull up charts while you read. Find the patterns we’re discussing. Make it real, not theoretical.

- **For the trading mistakes section:** Jump around however you want. Each mistake stands alone. Start with whatever’s currently kicking your butt.
- **Keep notes.** Write down insights. Ask questions. Make observations. The physical act of writing helps it stick.
- **Come back to it.** This isn’t a one-and-done read. When you hit a rough patch or want to deepen your understanding, revisit the relevant chapters.
- **Apply stuff immediately.** Don’t wait until you’ve finished the whole book to start using what you learn. Small improvements compound.

Why This Book Is Different (And Why That Matters)

I’m not going to waste your time with:

- Long boring histories of who invented what indicator when
- Complicated mathematical formulas you’ll never use
- Vague motivational fluff about “believing in yourself”

- Promises that trading is easy if you just buy this system
- Marketing hype and exaggerated claims

What you get instead:

- Clear explanations in normal human language
- Real chart examples showing exactly what to look for
- Honest talk about what works, what doesn't, and why
- Practical strategies you can use tomorrow
- The brutal truth about how hard trading actually is

This book is written by someone who actually trades, not some academic who's never risked real money. It's the knowledge I wish someone had just told me straight up years ago, instead of me having to learn it the expensive way.

What You'll Walk Away With

By the end of this book, you'll have:

- A deep understanding of RSI that puts you ahead of most traders
- Knowledge of powerful RSI techniques most people never learn
- A complete multi-timeframe analysis framework
- Awareness of the 20 ways you're probably sabotaging yourself
- Practical fixes for all those self-sabotage patterns
- Realistic expectations about what trading success actually takes
- The confidence to trust your own analysis
- A framework for building a complete trading system

Is trading hard? Yes.

Is it supposed to be hard? Also yes.

If it were easy, everyone would do it successfully, and there'd be no money left to make.

But with the right knowledge, the right tools, and the right mindset, you can actually make this work. You can join the small percentage who figure it out.

This book gives you the knowledge and the tools. The mindset part? That's on you.

Ready to stop shooting yourself in the foot and start trading like you actually know what you're doing?

Let's do this.

MOMENTUM MASTERY

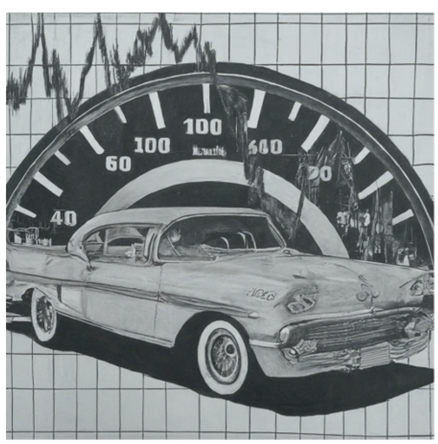
Chapter 1

UNDERSTANDING MOMENTUM

Before we dive into using indicators, let's understand what they are. Think of an indicator like a speedometer for the stock market. It tells us how fast prices are changing – are they speeding up, slowing down, or staying steady? Most indicators focus on this speed, although some also look at how much buying and selling is happening (volume).

So, when we talk about "momentum," we're talking about the speed of these price changes. Just like a car's speedometer shows how fast it's going, a momentum indicator shows us how fast prices are moving up or down.

Let's take a deeper look at momentum, imagining you're driving a vehicle at 120 km/h. To stop, you can't just slam on the brakes - you'd crash! First, you ease off (decelerate), then gently apply the brakes, slowing down gradually. Finally, you shift gears to match your decreasing speed.

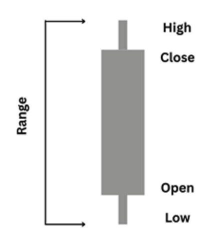


Momentum indicators work similarly. They track when prices start to decelerate, when selling pressure increases (like applying the brakes), and when the trend might reverse (like shifting gears). This helps traders anticipate potential changes in direction, just like a driver anticipates slowing down before a stop.

When you subscribe to trading or charting software and browse the indicator tab, you'll be overwhelmed by the sheer number of options, often exceeding 1000. It's tempting to think that applying these indicators to your charts will unlock some magical formula, leading to infallible market predictions. They might even seem incredibly accurate at first glance. However, the truth is far from this illusion. These indicators shine brightest when combined with a deep understanding of price action itself. Remember, indicators are derived from price data; they're essentially shadows cast by the movements of the market. Just as a person doesn't exist without their shadow, technical analysis is incomplete without considering indicators. So, it's crucial to select the right indicators that suit your specific trading style and seamlessly integrate them with your price action analysis.

As the name suggests, indicators are aptly called so because they provide hints or signals about potential shifts in the market, like a change in trend or a loss of momentum. However, the ultimate confirmation of these indications comes only when the price itself reflects the anticipated change. Think of indicators as early warning systems, alerting you to possible turns the market might take. But the final verdict, the definitive proof, rests with the price action itself.

Indicators are like clues built from different parts of a stock's price. When you look at a chart, the price has four main parts: where it started (open), its highest point (high), its lowest point (low), and where it ended (close). Indicators are made using these parts.



Some indicators mix and match these parts, like using the close price. Others might just look at the range of the price, or even the difference between multiple days open, close, high and low. It's important to know an indicator is tracking before you pick one to use.

Momentum can offer valuable clues about where a stock or commodity price might be heading. A crucial thing to remember is that changes in momentum often happen *before* the price itself changes. This makes momentum a leading indicator – a tool to potentially predict future price moves. Imagine you're trading a stock that's been going up for weeks, and you want to hop on board. But how do you know if this upward trend will keep going, flatten out, or even reverse? That's where momentum comes in. By carefully studying momentum indicators, we can get a sense of the situation and assess the likelihood of the trend continuing or changing.

It's important to understand that momentum indicators, while valuable, are not a substitute for studying price action directly. They can fill in the gaps where transaction patterns might not be obvious, but they work best as a complement to, not a replacement for, a thorough understanding of price movements.

Some of the most widely used momentum indicators include the

- **Relative Strength Index (RSI),**
- **Moving Average Convergence Divergence (MACD), and the Stochastic Oscillator.**

Each of these indicators has its own unique way of visualizing momentum on a chart. Generally, momentum indicators consist of several key components that traders analyze to assess the strength and direction of a trend.

While RSI focuses on the closing prices, the Stochastic Oscillator uses the range (high and low) of the price, and MACD factors in moving averages. Each indicator offers a distinct perspective on price action, revealing different aspects of a trend. In this book, we'll delve deep into the RSI and briefly touch on MACD and Stochastic, exploring how combining them with RSI can be a powerful tool for your trading strategy.

All momentum indicators share some common functions.They also help us gauge the strength of that trend, using a **Centerline. Overbought or Oversold** signals act like warning signs, help us gauge the strength of that trend, to show if it's becoming overextended in one direction. Lastly, these indicators can reveal hidden weakness through **Divergences**, where the price and indicator move in opposite directions. Remember these three core functionalities as we explore various indicators, as they are the backbone of how these tools help us understand market behavior.

All indicators rely on a specific "look back period" – the timeframe used to calculate their current value. Banded indicators, like the RSI, come with pre-set overbought and oversold levels (typically 70 and 30 for RSI). However, the Stochastic Oscillator, uses slightly different thresholds of 80 for overbought and 20 for oversold. Unlike these, MACD doesn't have fixed levels; instead, traders use historical price action and context to interpret overbought and oversold conditions.

Sometimes, other tools like moving averages or trendlines are used in conjunction with momentum indicators to enhance their capabilities. These additional tools can provide further confirmation of signals or offer clearer insights into potential trend changes, bolstering the effectiveness of momentum analysis.

Along with studying price action and volume, momentum analysis is a vital component in identifying market trends and potential reversals. Every trader should grasp how to effectively incorporate momentum indicators into their analysis toolkit. These indicators provide valuable insights into the speed and strength of price movements, offering a way to gauge the underlying sentiment and anticipate potential shifts in market direction. By integrating momentum analysis with price action and volume, traders can make more informed decisions and enhance their overall trading strategy.

Chapter 2

FUNCTIONS OF MOMENTUM INDICATORS

Before we dive deeper into the RSI indicator, let's get a quick overview of their key characteristics. First, there's the **'look back period',** which is the timeframe the indicator uses to calculate its current value. Second, we have the **centerline crossover,** which often indicates a shift in momentum. Then there's **overbought and oversold** signals, essentially warning signs of potential trend extension. Lastly, and most importantly, we have **divergences and reversals**, where the indicator and price action tell different stories, hinting at potential trend changes.

Alongside these standard uses, we'll also uncover some unconventional and creative ways to utilize indicators as we progress through this book, expanding your understanding of their versatility and potential in enhancing our trading strategies.

Look Back Periods

Lookback periods in indicators define how much past data is used for calculation, influencing their responsiveness to recent price changes. Different indicators and strategies employ varying lookback periods to suit their intended timeframes. The RSI commonly uses 14 days, but this can be adjusted. Custom indicators offer flexibility for traders to tailor lookback periods to their strategies. Finding the right balance involves considering your timeframe and the desired sensitivity of the indicator. There's no one-size-fits-all answer, and experimentation is key. In fact, multi-time-frame analysis, where you examine various timeframes like monthly, weekly, and daily charts, often proves superior to simply tweaking default settings. This is because indicator developers put extensive research into those defaults, as I've experienced firsthand creating my own indicator, BXTrender.

Centerline

The central line of any indicator is a crucial reference point, acting as an equilibrium between buyers (bulls) and sellers (bears). In many indicators that range from 0 to 100, like the RSI or Stochastic, the central line sits at the 50 level. However, in non-banded indicators such as MACD or CCI, the central line is at 0. Crossing this central line, whether above or below, signals a significant shift in momentum – indicating that either buyers or sellers are gaining the upper hand in the market.

Centreline on RSI

Centerline on Stochastics

Centreline in MACD

While most indicators have a fixed central line at 50 or 0, some, like the ADX (Average Directional Index), lack a predefined centerline. In such cases, the equilibrium level, representing a balance between buying and selling pressure, needs to be determined through experience and observation. For instance, with ADX, many traders use the 20 level as a threshold for identifying strong trends, regardless of market direction. However, others may prefer using the 25 level. Ultimately, the choice of equilibrium level in these indicators depends on your personal comfort and experience with the specific indicator and market conditions.

Centreline in ADX

When selecting a central line for any indicator, it’s crucial to avoid randomness. Our chosen centerline shouldn’t change arbitrarily depending on the security or timeframe we’re analyzing. Instead, it should have a consistent statistical relevance, providing a reliable reference point for traders across different instruments. This ensures consistency and confidence in our analysis.

How to use the Centerline

The central line in an indicator can be utilized in two key ways: as **a crossover signal** and a **bounce signal**. The crossover signals a potential shift in market control, from buyers to sellers or vice-versa. When an indicator crosses its central line, it suggests that the stock or security is poised for a move in a particular direction. However, it's important to remember that indicators are just tools. Always check the price action itself and any key support or resistance levels to confirm whether the crossover truly indicates a sustainable price move.

In the chart above, notice how the central line crossover happened *before* the price broke through the trendline. This early signal hinted at a momentum buildup, favoring the bulls. However, we didn't jump the gun - we waited for the price to confirm the breakout before taking action. Now, you might wonder, why use an indicator if we ultimately rely on price? The answer is simple: the central line crossover gives us a heads-up, suggesting a possible breakout and increasing our confidence in its strength if it does occur. It's like having an insider tip, but we still verify it with the actual price movement for the final green light.

Similarly, in the chart above, we observe the central line crossover occurring before the price breaks down through the support level. This crossover acts as an early warning signal, hinting at a potential downward move. However, the actual confirmation of this move still relies on the price action itself. The indicator merely provides a heads-up about a possible shift in momentum, but the price ultimately determines whether the breakdown will materialize. In essence, the indicator serves as a piece of evidence, while the final verdict on the market's direction rests with the price. The key takeaway here is that indicators are used as leading signals, offering potential insights into future price movements, but the price action remains the ultimate authority.

The second way we can use the central line is to spot a **"central line bounce."** This usually signals a continuation of the existing trend. After a price breakout, when the price pulls back to retest the previous support or resistance (now acting as a new potential obstacle), the indicator might also pull back towards its central line. If the indicator bounces off this central line, it strengthens the idea that the initial breakout was genuine and the trend is likely to continue. It's like the indicator is saying, "Yep, this move is real, and we're still going strong!"

In the chart above, we see that the RSI crossed above the central line, followed by the price breaking through a resistance level. Afterward, the price pulled back to retest this resistance, which now acted as potential support, a phenomenon known as an SR flip. During this retest, the RSI also pulled back towards the central line but bounced back up without crossing below it. This bounce from the central line, without violating it, reinforces that the SR flip is likely genuine and the uptrend is set to continue. The RSI essentially acted as a support level itself, mirroring the price action and providing additional confirmation of the bullish move.

Similarly, when a stock is breaking down from a resistance zone, the central line crossover often acts as a precursor, signaling a potential shift in momentum even before the support level is breached. Once the support is broken and the price retraces to retest this zone, the RSI may also retrace to the central line (or 50 line). If the RSI bounces off this central line without crossing below it, this central line bounce further validates the breakdown as a genuine one. The presence of both a central line crossover and a subsequent bounce during the retest adds significant weight to the bearish signal.

Now, let's explore how this central line bounce concept applies to other indicators like Stochastic, MACD, and ADX. You'll observe that these indicators might not always align perfectly; some may generate the central line bounce signal earlier than others, while others might lag behind. This is due to their unique calculations and sensitivities to different aspects of price action. Understanding these variations is crucial for effectively interpreting signals from multiple indicators.

Centreline Bounce on Stochastics

Centreline on MACD

Centreline (20 Level) on ADX

In my trading experience, the central line retest or zero line retest signal has proven to be a more potent indicator compared to the central line crossover. You've likely observed on charts that multiple central line crossovers can occur, both upwards and downwards, before the price truly breaks out. This leads to numerous false signals associated with central line crossovers. On the other hand, a central line bounce offers a more reliable and stable signal as we don't encounter multiple crossings at the central line. Furthermore, the central line bounce signal emerges after the breakout, when the trend is already established, adding to its significance. We'll delve deeper into refining the use of both central line crossover and central line bounce signals as we progress through this book.

Alright, let's build a solid foundation before we get into the specifics. We're going to enhance our strategy by adding a moving average to filter out those pesky false central line crossovers. Simply put, when prices are trending above the 200-day moving average, we'll ignore any crossovers below the central line. Think of it as the moving average giving the trend a "thumbs up" – so any downward crossovers are likely just noise. On the flip side, when prices are trending down (below the 200-day moving average), we'll disregard upward crossovers above the central line. They're likely just temporary bounces in a downtrend. This way, we focus on crossovers that align with the bigger picture, making our signals more reliable!

In the chart above, it's evident that by ignoring the central line crossovers below the 50 level (when the price is above the 200-day moving average), we successfully avoid getting trapped in a countertrend move. This demonstrates the effectiveness of using the moving average as a filter for central line crossovers, helping us focus on signals that align with the prevailing trend and potentially increasing the accuracy of our analysis.

Similarly, in the chart above, it's clear that the bounce signal from the central line is particularly effective when prices are in a downtrend and trading below the 200-day moving average. This demonstrates how using the central line bounce in conjunction with the overall trend can provide valuable insights into potential reversals or continuations, especially in bearish market conditions.

We'll explore these concepts in much greater detail as we progress through the book, uncovering even more powerful insights and strategies for using central line crossovers and bounces to your advantage.

Overbought & Oversold

Overbought and oversold levels are like signals in the market that tell us when things might be getting a bit out of hand. If a stock is "overbought," it means it's gone up in price really quickly, maybe too quickly, and it might be time for it to take a breather and come back down a bit. On the other hand, if a stock is "oversold," it means it's dropped in price a lot, possibly too much, and it could be ready to bounce back up. Think of it like a rubber band - stretch it too far in one direction, and it's bound to snap back eventually. When an asset is overbought, it's a warning sign to be careful about buying more, as the price might drop soon (retrace or reverse). When it's oversold, it could be a good time to wait for a pullback, as the price might be lower than it should be and could start going up again, before it resumes its downtrend.

Generally, overbought conditions actually indicate strength and a buildup of momentum. When a stock gets overbought, it means there's been a powerful push, and unless that momentum fades, the stock is likely to keep climbing. So, overbought conditions aren't a signal to sell or exit a position. Instead, they tell us the stock has serious momentum behind it, possibly due to big investors buying in or some exciting news. The smart move here is to wait for a slight pullback or "breather" where the stock retests a support level, and then consider entering a long position (buying) to ride the continuing upward trend.

In contrast, when a stock becomes oversold, it's usually due to unusual selling pressure, and this pressure could persist if the trend has indeed reversed. Oversold levels essentially push the price to an extreme, hinting at a potential pullback. However, this pullback might be short-lived. If it encounters resistance and shows signs of failing, it further confirms the downtrend. Therefore, oversold conditions shouldn't be seen as an immediate buy signal. Instead, it's wiser to wait for the price to pull back towards a resistance level, offering a better opportunity to enter a short position (selling in anticipation of further decline).

Different indicators come with their own unique overbought and oversold levels. For banded indicators, these levels are pre-defined. For example, the RSI, being a banded indicator, has fixed overbought and oversold levels at 70 and 30, respectively. Similarly, the Stochastic Oscillator also has fixed levels at 80 and 20. However, for non-banded indicators like MACD & ADX, there are no preset levels. To determine overbought and oversold zones for these, we need to analyze historical data to see which levels have acted as overbought or oversold in the past, and then apply those levels to the current market context.

In the charts we’ve seen, both RSI and Stochastic are banded indicators, meaning their overbought and oversold levels are fixed. This means that the 70 and 30 levels for RSI, and 80 and 20 levels for Stochastic, remain constant regardless of the security being analyzed. These fixed levels provide a consistent reference point for traders to assess potential overbought or oversold conditions, making it easier to compare across different stocks or timeframes.

In the chart above, we see that MACD is a non-banded indicator, so it doesn't come with preset overbought or oversold levels. Instead, we need to refer to past price extremes to establish suitable thresholds. We can look back at previous upswings and downswings, and use those points where the price made significant moves as reference points for overbought and oversold levels. Basically, we're looking for levels where the price historically struggled to go further up or down. These levels become our anchor points when using non-banded indicators like MACD to gauge potential overbought or oversold conditions.

How to interpret the Overbought & Oversold Signals

In the chart above, we can observe that Wipro’s price started entering overbought territory on the RSI around December 14th, 2023. Now, when a stock’s price enters an overbought zone, it’s a sign of growing momentum and increased buyer interest. However, instead of rushing to buy or short the stock at that moment, it’s wiser to wait and see how the subsequent pullback plays out. We can see that at point A, the overbought levels retreated, and the price touched the trendline before bouncing back up.

So, should we jump in and buy when the stock pulls back and finds support at the trendline after becoming overbought? Not quite yet! As I always emphasize, price action is the ultimate confirmation, and indicators are merely supporting evidence. Notice the horizontal resistance level on the chart that has previously halted the price’s upward movement. We need the price to decisively break above this resistance before considering an entry. This ensures that we’re not just chasing an overbought condition, but rather confirming a true breakout with price action.

On December 22nd, 2023, (refer the chart above) we saw the resistance level finally give way, and the price surged upward, once again entering the overbought zone. However, the size of that breakout candle suggests that the risk-reward ratio for entering a new trade at that point wouldn't be ideal. Additionally, it's generally not recommended to initiate new long positions when the RSI or any other indicator is already in overbought territory.

So, what's the smart move? We should wait for a retracement. Ideally, we want the price to pull back to the previous resistance zone, which has now flipped into a potential support level. This area is even more attractive because it coincides with the trendline, creating a confluence of support. This confluence zone offers the best opportunity to enter a long trade, as the risk-reward ratio is likely to be favorable, and the trend isn't overly extended at this point.

When considering shorting an oversold stock, exercise caution and avoid immediately selling. Instead, patiently wait for a pullback to a resistance area and observe the price action. If the price struggles to move higher and shows signs of rejection at the resistance, it could present a favorable shorting opportunity. This approach allows you to confirm the weakness and increase the probability of a successful trade. Remember to always analyze the context, consider other technical tools, and manage your risk effectively.

Analyzing the above chart, it’s evident that shorting the stock on September 19th when it was oversold would have been risky due to high volatility. A smarter approach was to wait for the pullback to the resistance area on September 23rd. The weak price action at that level confirmed the bearish momentum, making it a more favorable shorting opportunity. This highlights the importance of waiting for confirmation at resistance before entering a short trade, even when a stock appears oversold.

The Stochastic Oscillator can be used to identify overbought and oversold conditions, similar to the RSI. When the price enters the overbought zone (above 80), it suggests strong momentum and a potential buying opportunity on a pullback to support. Conversely, when the price enters the oversold zone (below 20), it indicates potential weakness and a possible shorting opportunity on a bounce to resistance.

Observing the strong upward move in ITC towards the end of June, accompanied by the Stochastic Oscillator entering the overbought zone above 80, suggests strong bullish momentum. However, instead of chasing the move, a prudent approach would be to wait for a pullback to a support level. This allows for a better entry point with less risk. The combination of the strong move and the overbought Stochastic indicates a high probability that the uptrend will continue, making it a favorable buying opportunity when the price retraces to a support level.

In early August, ITC retraced to a significant support level that previously acted as resistance, making it a crucial zone to watch. The formation of a bullish candlestick pattern at this support further strengthens the potential for a bounce. Additionally, the Stochastic Oscillator, instead of dipping into oversold territory, found support at the centerline and reversed, providing a double confirmation of potential buying pressure. This confluence of factors suggests a favorable buying opportunity as the price finds support at both the historical level and the centerline of the oscillator.

Keep in mind that the most reliable pullbacks are those that don’t push indicators to oversold extremes. When an indicator plunges into the oversold zone during a pullback, it might signal a trend change rather than a buying opportunity. Ideally, look for pullbacks that hold above the centerline of the indicator. This indicates a healthier pullback with a higher probability of trend continuation. Indicators like the Stochastic Oscillator can help you assess the strength of the pullback and guide your buying decisions. By analyzing the indicator’s behavior during retracements, you can determine whether to “buy the dip” or anticipate a potential trend reversal.

Examining the chart, the pullback in August pushed the Stochastic Oscillator into oversold territory below 20. This sharp retracement, coupled with the price briefly halting at the support, hinted at a potential trend change rather than a buying opportunity. The subsequent weak upward movement that failed to sustain further confirmed this notion. Ultimately, the price reversed and began forming lower lows, indicating a shift in trend. This example demonstrates that a pullback driving the indicator into its oversold zone can signify a deep retracement capable of changing the trend’s course.

From the examples above, it’s evident that when a stock or security becomes overbought, it signifies building momentum and indicates the stock is poised for an upward movement. Therefore, an overbought condition shouldn’t be interpreted as a signal for an impending correction or reversal. Instead, it should be seen as a sign of a new trend emerging with strong momentum. Similarly, when a security becomes oversold, it shouldn’t be considered a buying opportunity. Rather, an oversold condition suggests the security is weakening, and any subsequent pullbacks should be closely monitored for potential short positions.

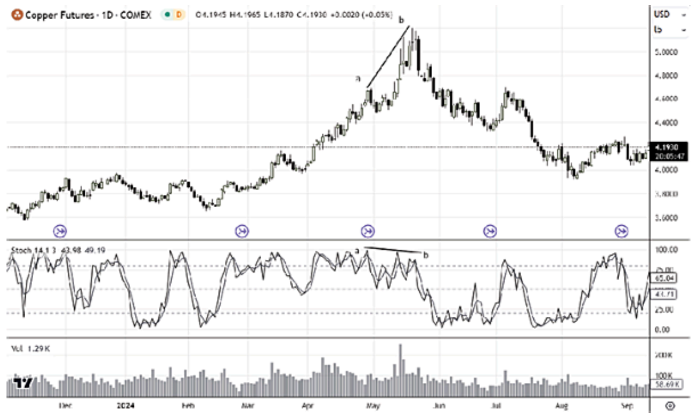
As previously discussed, identifying oversold levels in non-banded indicators is challenging and often becomes guesswork. We will avoid discussing such subjective methods. Therefore, when using overbought or oversold signals for trading, prioritize indicators with defined bands, such as the RSI (banded between 0 and 100) or stochastic oscillator (also banded between 0 and 100), which provide clear levels.

Divergence

Let's now discuss another important feature of momentum indicators: divergence. Divergence is a very popular and powerful signal among traders, representing one of the strongest signals when there's a discrepancy between price movements and indicator swings. If the price is moving at a certain speed but lacks momentum after a correction, divergence occurs. In this section, we'll understand divergence generically, and then explore it in greater depth when we delve into the RSI, as it's one of the most important signals any indicator can provide.

Divergence can be of two types, occurring during both uptrends and downtrends. In uptrends, we observe what's called "bearish divergence," while in downtrends, we see "bullish divergence." Bearish divergence indicates that the momentum driving the previous price movement has weakened after a correction. Even though the price makes new highs or new closing highs, the indicator fails to do the same, and in such cases, bearish divergence occurs.

In the copper chart above, the price made a new high moving from point A to point B. However, the RSI failed to follow suit, instead making a lower high. This indicates that the price movement from A to B lacked sufficient momentum. Consequently, a divergence occurred on the RSI indicator, and the trend subsequently reversed following this divergence.



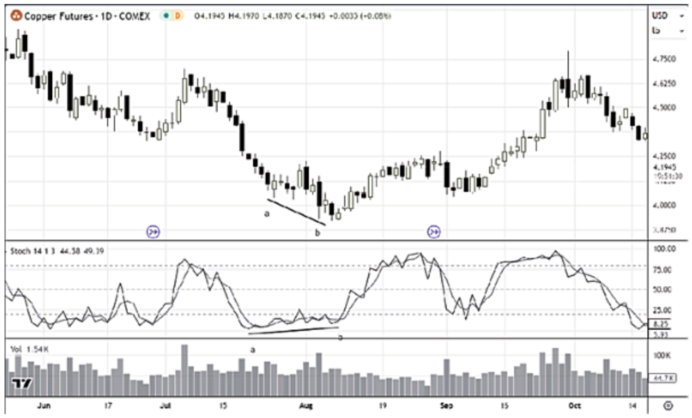
A similar divergence can also be observed on the stochastic oscillator, where prices create new highs while the stochastic fails to do so, instead forming a lower high. This indicates a divergence between price movement and the indicator.

It’s important to note that while the RSI calculation uses closing prices, the stochastic considers highs and lows. Therefore, when illustrating divergence with RSI, a line chart is appropriate, while candlestick charts are suitable for the stochastic. A common mistake, even among seasoned analysts, is comparing price highs with the RSI to identify divergence, which is a significant error.

Divergence on the MACD is calculated similarly. In the chart below, while prices created a higher high and recorded a higher close, the MACD failed to record a higher close, instead recording a lower close. This divergence preceded a considerable correction in the stock.

Bullish divergence is determined similarly. When prices are correcting and create a new low, lower low, or lower close, while the indicator fails to create a corresponding new low or lower low, this is considered bullish divergence, and we typically expect prices to rebound.

In the provided chart, the price created a new low from point A to point B. However, the RSI failed to create a new low, instead forming a higher low from point A to point B. This is known as bullish divergence. This pattern typically occurs during downtrends, and when bullish divergence is observed, it suggests that the price is likely to bounce back or that the downtrend will attempt to correct in the opposite direction, as seen in the chart.



Divergence in Stochastics (chart)

Similarly, a divergence can be seen on the stochastic oscillator. While the price created a new low, the stochastic failed to do so, creating a bullish divergence from which the price attempted to rebound or pullback.

Divergence in MACD (chart)

The same principle applies to the MACD. When the price creates a new low, but the MACD fails to do so, instead creating a higher low, this divergence often leads to a price rebound or pullback.

You might be wondering why I haven't discussed divergence signals on the ADX. This is because the ADX isn't the best indicator for identifying divergences due to its distinct calculation method compared to RSI, stochastic, or MACD. ADX divergence isn't a reliable way to determine trend momentum; it's more of a directional indicator, showing the trend's direction and strength. For divergence analysis, it's more appropriate to use the two indicators that accompany ADX: +DMI and -DMI. These are the indicators where divergences can be effectively identified.

As you can see in the chart above, I've introduced the +DMI indicator, which demonstrates how divergence can be identified when using +DMI instead of the ADX itself. While no divergence is apparent when using ADX alone, applying the +DMI subset reveals a divergence: while the stock made a new high, the +DMI failed to do so, and the prices subsequently corrected. Therefore, ADX is not ideal for determining divergence on its own; rather, we must use its components, +DMI and -DMI, to identify divergences.

We've now seen how momentum indicators can provide valuable insights into price action. From this point forward, we will delve deeper into the RSI, exploring its various functions and how it can be used in conjunction with price action to enhance our trading. Alongside the RSI, we will also discuss other momentum indicators and examine how to use them in combination with the RSI and price action to further refine our trading strategies.

Chapter 3

RELATIVE STRENGTH INDEX (RSI)

The Birth & Upbringing

The Relative Strength Index (RSI) was developed by J. Welles Wilder Jr., a mechanical engineer turned technical analyst, in the late 1970s.

Wilder first published the RSI in his 1978 book “New Concepts in Technical Trading Systems,” which introduced several technical indicators that are now considered fundamental to technical analysis, including the RSI, Average True Range (ATR), and the Parabolic SAR.

The idea behind RSI was to create a momentum oscillator that measures the speed and change of price movements on a scale of 0 to 100. Wilder’s innovation was to develop a formula that compares the magnitude of recent gains to recent losses to determine overbought and oversold conditions in the price of a security.

Wilder designed RSI to help traders identify potential reversal points in the market by measuring the internal strength of a security’s price action. The indicator was intended to provide signals when a market becomes overextended in either direction—above 70 indicating overbought conditions that might lead to a downward correction, and below 30 indicating oversold conditions that might trigger an upward correction.

What made RSI particularly valuable was its ability to work across different markets and timeframes, making it a versatile tool for technical analysts and traders in stocks, commodities, currencies, and other financial instruments.

Andrew Cardwell's Innovations with RSI

Andrew Cardwell is a technical analyst who significantly expanded on J. Welles Wilder's original RSI concept in the 1990s. He developed what's now known as the "Cardwell RSI Methodology." Here's how he refined and enhanced the RSI:

Cardwell's Key RSI Innovations

1. Positive and Negative Reversals

Cardwell identified special patterns where the RSI moves in the opposite direction from what would be expected based on price movement:

- **Positive Reversal:** When price makes a higher low but RSI makes a lower low (showing hidden bullish strength)
- **Negative Reversal:** When price makes a lower high but RSI makes a higher high (showing hidden weakness)

2. RSI Range Shifts

Cardwell noticed that RSI behaves differently in bull and bear markets:

- In bull markets, RSI typically ranges between 40-90 (rarely falling below 40)
- In bear markets, RSI typically ranges between 10-60 (rarely rising above 60)

This insight helps traders adjust their RSI interpretation based on the overall market trend.

3. RSI Trend Lines

Cardwell emphasized drawing trend lines directly on the RSI chart, not just on price charts. Breaking these RSI trend lines often signals major market moves before they appear in price.

4. Bull/Bear Market Identification

He developed methods to identify whether a market is bullish or bearish based on RSI behavior:

- Bull markets: RSI stays above 40 and frequently reaches 70+
- Bear markets: RSI stays below 60 and frequently drops to 30 or below

5. Failure Swings

Cardwell refined the concept of "failure swings" in RSI readings, which signal potential major reversals when RSI fails to make new highs or lows alongside price.

Why Cardwell's Work Matters

Cardwell's approach turned RSI from a simple overbought/oversold indicator into a more comprehensive analysis tool. His methods help traders:

- Identify the market's overall direction
- Spot hidden strength or weakness
- Time entries and exits more precisely
- Recognize when a trend might be changing

Many traders now use these Cardwell RSI techniques alongside the traditional RSI approach, giving them a more nuanced understanding of market conditions.

In this book, we will shed light on the original applications of the Relative Strength Index (RSI). Furthermore, we will explore the refinements and contributions of Andrew Cardwell, detailing how he enhanced the RSI's simplicity and effectiveness. I will also share my own innovations and work with the RSI, demonstrating how it can be applied with greater efficacy than previously understood.

Is RSI a Leading Indicator?

The Debate

The RSI (Relative Strength Index) is often called a “leading indicator” because it’s designed to signal potential future price movements before they actually happen. Let’s break this down:

What “Leading Indicator” Means

A leading indicator is a technical tool that attempts to predict future price movements. It’s meant to give signals ahead of actual price changes, allowing traders to position themselves before the market makes its move.

Why RSI Is Considered Leading

RSI is considered leading because:

1. It can show divergence from price (RSI moving in the opposite direction of price), which often precedes price reversals
2. It identifies overbought (above 70) and oversold (below 30) conditions that frequently occur before price corrections
3. It measures momentum changes that typically happen before price direction changes

Does RSI Actually Lead Price?

The reality is more nuanced:

- **Sometimes yes**: RSI can accurately signal upcoming reversals, especially when markets are trading in ranges rather than strong trends
- **Sometimes no**: During strong trends, RSI can stay overbought or oversold for extended periods without price reversing

- **Mixed results**: RSI signals work better in some market conditions than others

The Debate

The debate exists because:

1. No indicator is perfectly predictive
2. RSI actually uses past price data to calculate its values
3. Market conditions greatly affect RSI's predictive ability
4. False signals do occur

Many experienced traders view RSI as having both leading and lagging elements. It's calculated from past price data (lagging), but its design helps it anticipate potential future price movements (leading).

In simple terms, RSI tries to give you a heads-up about what might happen next with price, but it's not always right. That's why most traders use RSI alongside other tools rather than relying on it exclusively.

The RSI Calculations

A fundamental understanding of the RSI requires grasping its underlying mechanics, specifically the calculations involved. I've aimed to simplify these calculations to the greatest extent possible, avoiding excessive mathematical complexity. First, I will explain how the RSI is calculated. Then, I will detail the numerical and price values that define overbought and oversold areas. A mathematical understanding of these overbought and oversold thresholds will provide a much deeper insight into the RSI's interpretation

RSI Calculation Process

RSI uses a specific formula to measure the momentum of price changes on a scale from 0 to 100:

1. Track price changes for each period

2. Calculate average gains and losses
3. Find the relative strength (RS) by dividing average gain by average loss
4. Convert to RSI using the formula: RSI = 100 - (100 ÷ (1 + RS))

Detailed RSI Calculation and Interpretation

Complete Step-by-Step RSI Calculation

Let's calculate RSI using a 14-day period with real stock price examples:

Example Stock Price Data

Day	Price ($)	Change ($)	Gain ($)	Loss ($)
1	45.00	-	-	-
2	46.25	+1.25	1.25	0.00
3	45.75	-0.50	0.00	0.50
4	46.50	+0.75	0.75	0.00
5	47.25	+0.75	0.75	0.00
6	46.75	-0.50	0.00	0.50
7	47.50	+0.75	0.75	0.00
8	48.25	+0.75	0.75	0.00
9	48.00	-0.25	0.00	0.25
10	47.50	-0.50	0.00	0.50
11	48.25	+0.75	0.75	0.00
12	49.00	+0.75	0.75	0.00
13	49.75	+0.75	0.75	0.00
14	50.25	+0.50	0.50	0.00
15	49.50	-0.75	0.00	0.75

Step 1: Calculate First 14 Periods

For the first 14 periods (days 2-15):

- Sum of Gains = \$1.25 + \$0.75 + \$0.75 + \$0.75 + \$0.75 + \$0.75 + \$0.75 + \$0.75 + \$0.50 = \$7.00
- Sum of Losses = \$0.50 + \$0.50 + \$0.25 + \$0.50 + \$0.75 = \$2.50

Step 2: Calculate Average Gain and Average Loss

- Average Gain = \$7.00 ÷ 14 = \$0.50
- Average Loss = \$2.50 ÷ 14 = \$0.18

Step 3: Calculate Relative Strength (RS)

- RS = Average Gain ÷ Average Loss
- RS = $0.50 ÷ $0.18 = 2.78

Step 4: Calculate RSI

- RSI = 100 - (100 ÷ (1 + RS))
- RSI = 100 - (100 ÷ (1 + 2.78))
- RSI = 100 - (100 ÷ 3.78)
- RSI = 100 - 26.46
- RSI = 73.54

Our first RSI reading is 73.54, which is in the overbought territory (above 70).

How RSI Changes Over Time

For subsequent periods, the calculation uses a smoothing technique:

- Average Gain = ((Previous Average Gain × 13) + Current Gain) ÷ 14
- Average Loss = ((Previous Average Loss × 13) + Current Loss) ÷ 14

Example of Next Day Calculation (Day 16)

Assume the price drops to $48.75 (a $0.75 loss):

- New Average Gain = (($0.50 × 13) + $0) ÷ 14 = $0.46
- New Average Loss = (($0.18 × 13) + $0.75) ÷ 14 = $0.22
- New RS = $0.46 ÷ $0.22 = 2.09
- New RSI = 100 - (100 ÷ (1 + 2.09)) = 67.64

Notice how the RSI dropped from 73.54 to 67.64 with just one day of price decline.

How RSI Reaches Overbought (>70) Levels

RSI reaches overbought levels when:

1. There are many consecutive up days
2. The up moves are larger than down moves
3. There are very few down days

Scenario: Fast Move to Overbought

Day	Price ($)	Daily Change	RSI
1	50.00	-	-
2	51.00	+1.00	-
3	52.25	+1.25	-
4	53.75	+1.50	-
5	55.00	+1.25	-
6	56.50	+1.50	-
7	57.25	+0.75	-
8	58.00	+0.75	-
9	57.75	-0.25	-
10	58.50	+0.75	-
11	59.75	+1.25	-
12	61.00	+1.25	-
13	62.25	+1.25	-
14	63.50	+1.25	-
15	64.75	+1.25	81.35

In this scenario, we have 13 up days and only 1 down day in our 14-period sample, resulting in an RSI of 81.35 – strongly overbought.

How RSI Reaches Oversold (<30) Levels

RSI reaches oversold levels when:

1. There are many consecutive down days
2. The down moves are larger than up moves
3. There are very few up days

Scenario: Fast Move to Oversold

Day	Price ($)	Daily Change	RSI
1	50.00	-	-
2	49.25	-0.75	-
3	48.00	-1.25	-
4	46.75	-1.25	-
5	45.50	-1.25	-
6	44.00	-1.50	-
7	43.00	-1.00	-
8	43.50	+0.50	-
9	42.25	-1.25	-
10	41.50	-0.75	-
11	40.25	-1.25	-
12	39.50	-0.75	-
13	38.75	-0.75	-
14	38.00	-0.75	-
15	37.25	-0.75	22.65

In this scenario, we have 13 down days and only 1 up day in our 14-period sample, resulting in an RSI of 22.65 – strongly oversold.

Now, let's break down the formula to better understand the RSI. There are a few key elements to notice: 1) the look-back period of 14 days and 2) the closing price.We will break down each of these factors.

1) Why RSI Uses a 14-Period Lookback?

The RSI (Relative Strength Index) default setting of **14 periods** was first introduced by **J. Welles Wilder** in his seminal book *"New Concepts in Technical Trading Systems"* (1978). Wilder found this period optimal for capturing price momentum and smoothing short-term fluctuations, providing a reliable balance between sensitivity and accuracy.

Significance of the 14-Period RSI in Trading

1. Historical Standardization:

- Wilder extensively tested and found that **14-period RSI** consistently provided reliable momentum signals across various markets (stocks, commodities, and currencies).
- Became an industry benchmark, thus widely used by traders globally.

2. Optimal Balance:

- **Shorter periods (e.g., 5 or 7)**: Overly sensitive, generating frequent signals, increasing false alarms.
- **Longer periods (e.g., 20 or 25)**: Less responsive, fewer signals, slower identification of trends.
- **14-period RSI** provides a balance between responsiveness and reliability, effectively filtering out short-term noise without significantly lagging behind market movements.

3. Market Cycle Compatibility:

- 14 periods often coincide with half a typical market cycle (approximately one trading month on daily charts—since there are about 20-22 trading days per month).
- This period effectively captures half-cycle price swings, useful for spotting reversals or continuations.

4. Universality & Versatility:

- Works effectively across multiple time frames (intraday, daily, weekly) and markets (stocks, forex, crypto, commodities).
- Widely adopted, making signals based on the 14-period RSI a self-fulfilling prophecy in some cases.

The 14-period lookback has stood the test of time for its **balanced responsiveness and reliability** across various markets and remains a trusted foundation for momentum-based technical analysis.

2) Why Closing Price is Used in RSI Calculation?

The **Relative Strength Index (RSI)** developed by **J. Welles Wilder** explicitly utilizes the **closing price** for its calculation rather than open, high, or low prices. Here's the reasoning and significance behind this choice:

Why Closing Prices?

1. Psychological Significance:

- The closing price is the **final agreed-upon price** at the end of a trading period (day, week, hour).
- It reflects the consensus of market participants, signifying the level at which buyers and sellers settled, thus considered the most relevant indicator of market sentiment.

2. Reduced Market Noise:

- Closing prices typically smooth out intraday volatility, reducing "noise" that can occur from temporary price spikes or drops.
- This helps generate clearer and more reliable momentum signals.

3. Market Standardization:

- Financial institutions, mutual funds, and hedge funds often use closing prices for daily valuation and reporting.
- The closing price thus represents a widely-accepted and standardized benchmark across trading communities.

4. Historical & Technical Reliability:

- Wilder extensively tested indicators using closing prices, demonstrating superior consistency, accuracy, and ease of interpretation.
- Historical backtesting consistently proves that closing prices provide robust predictive insights.

Why Not Open, High, or Low Prices?

1. Open Price:

- Opening prices can be influenced by overnight gaps, news, or sentiment fluctuations, thus providing less stable indications of sustained momentum.

2. High or Low Prices:

- High/low values often represent momentary extremes driven by liquidity gaps or short-term emotions.
- Incorporating these can create misleading RSI signals, triggering false buy/sell alerts.

3. Increased Volatility and False Signals:

- Using OHLC (Open, High, Low, Close) or intra-period extremes could lead to unnecessary volatility and increased false signals.
- The objective of RSI is to identify sustained momentum trends rather than temporary extremes.

Using closing prices makes the RSI a stable, accurate, and effective indicator that identifies true momentum rather than short-lived market fluctuations. While some alternative indicators (like Stochastics) incorporate high and low values, RSI remains robust precisely because it deliberately excludes these less-stable prices.

Thus, **closing price** has been historically and practically proven to provide traders with **reliable, actionable insights** into market momentum and trend reversals, which makes it the ideal data point for calculating RSI.

Let's wrap up the RSI calculation part here, but we will revisit these calculations when we discuss some advanced RSI signals, as it will provide both logic and conviction. Now, in the next chapter, we will start looking at the part that you must have been waiting for since the beginning of this book.

Chapter 4

INTERPRETATION OF THE RSI

Now we will explore the various signals that the RSI provides, which aid us in better understanding price action. Remember this crucial point: the RSI is not a substitute for price action analysis; it complements it. Price and volume concepts are paramount. The RSI reinforces the interpretations we make through price and volume analysis. Never make the mistake of relying on RSI signals in isolation! The RSI's signals are only valid if the price action aligns. This means that if the RSI is displaying a signal that seems to contradict the price action, we must wait for confirmation of that signal from the price itself. Many learners struggle to grasp this concept, leading to the misconception that the RSI is useless. However, if we don't know how to use a tool correctly, that doesn't mean the tool itself is useless. If the approach to using a particular tool is flawed, then that tool will never benefit anyone

Here, we will explore various RSI signals and concepts. You might find that many of these concepts are discussed elsewhere, but the selection here is deliberate. I've focused on including only those concepts that have been time-tested and have proven effective for me and many other traders I know who use the RSI skillfully. These concepts draw from my learning of RSI from J. Welles Wilder Jr.'s writings, Andrew Cardwell's teachings, and my own observations. I will also incorporate the RSI formulas at various points to give you a deeper understanding of why a concept is valid! So, let's dive into the world of RSI signals and interpretations.

Overbought & Oversold

In the previous chapter, when we discussed the RSI calculation, we explored what price action drives the RSI to levels above 70 (termed 'overbought' by Wilder) mathematically, and what price action drives it below 30 (termed 'oversold' by Wilder) mathematically. To quickly summarize: when the RSI moves into overbought territory above 70, it generally means that prices have closed higher than previous highs for much of the last 14 days. Similarly, in the case of oversold conditions below 30, prices have frequently closed lower than previous lows in the same period. Examine the chart below to discern the relationship between price and RSI when the RSI moves above 70 and below 30.

NVDA Stock RSI Analysis

NVDA Stock Prices and Daily Changes

Day	Price ($)	Change ($)	Direction	Notes
1	48.11	-	-	Starting point
2	48.99	+0.88	Up	Small gain
3	48.83	-0.16	Down	Small loss
4	49.28	+0.45	Up	Small gain
5	49.42	+0.14	Up	Small gain
6	49.52	+0.10	Up	Small gain
7	49.52	0.00	Flat	No change
8	48.17	-1.35	Down	Big loss
9	47.57	-0.60	Down	Medium loss
10	48.00	+0.43	Up	Small gain
11	49.10	+1.10	Up	Big gain
12	52.25	+3.15	Up	Very big gain
13	53.14	+0.89	Up	Medium gain
14	53.49	+0.35	Up	Small gain

The Stock Price Story

When we look at the NVDA price movement, we can see three distinct phases:

Phase 1: Steady Small Gains (Days 1-7)

- The stock climbed gradually from $48.11 to $49.52
- Mostly small upward steps with just one tiny dip
- This created a mildly positive RSI of 52.57 (neutral territory)

Phase 2: A Brief Pullback (Days 8-9)

- The stock dropped from $49.52 down to $47.57
- Two consecutive down days
- This would have temporarily lowered the RSI

Phase 3: The Rocket Launch (Days 10-14)

- Five straight up days with no breaks
- The stock surged from $47.57 to $53.49 (a 12.4% jump)
- Day 12 had an explosive move upward of $3.15 (over 6% in one day)

Why This Pushed RSI Into Overbought Territory

Think about RSI like a "momentum thermometer" - it measures how fast and how far prices are moving. The RSI hit 72.29 because:

1. **The winning streak**: Five consecutive up days with no down days is like a basketball team scoring on 5 straight possessions
2. **The size of the gains**: That one-day $3.15 jump on day 12 was huge - like scoring a three-pointer instead of a regular basket
3. **Gains vs. losses**: During this 14-day period, the total price increases were much larger than the total price decreases (about 3.5 times bigger)

4. **Acceleration**: The stock started moving up faster and faster - like a car not just driving forward but pressing harder on the gas pedal

The RSI reaching 72.29 is like a warning light on your car dashboard. It's saying:

- "This stock is moving up unusually fast"
- "The buyers have been in complete control lately"
- "This pace of gains might be difficult to maintain"

<u>This doesn't automatically mean the stock will fall, but it suggests the stock might need to take a breather soon - either by falling a bit or by moving sideways for a while before continuing up.</u>

Now, let us understand the oversold condition in a similar way, as it will provide a lot of clarity as to what happens when the RSI enters oversold zones and what we have to do in oversold conditions.

Why Tesla's RSI Dropped Into Oversold Territory

TSLA Stock Prices and Daily Changes

Day	Price ($)	Change ($)	Direction	Notes
1	336.10	-	-	Starting point
2	355.94	+19.84	Up	Big gain
3	355.84	-0.10	Down	Tiny loss
4	354.11	-1.73	Down	Small loss
5	360.56	+6.45	Up	Good gain
6	354.40	-6.16	Down	Medium loss
7	337.80	-16.60	Down	Big loss
8	330.53	-7.27	Down	Medium loss
9	302.80	-27.73	Down	Very big loss
10	290.80	-12.00	Down	Big loss
11	281.95	-8.85	Down	Medium loss
12	292.98	+11.03	Up	Big gain
13	284.65	-8.33	Down	Medium loss
14	272.40	-12.25	Down	Big loss

Looking at your Tesla stock data, I can see exactly why the RSI dropped below 30 into the oversold zone. Let me explain what happened in simple terms:

The Tesla Stock Story

When we look at Tesla's price movement over these 14 days, we can see a dramatic change in the stock's behavior:

Phase 1: Strong Start (Days 1-5)

- Tesla started at $336.10 and jumped to $355.94 on day 2 (a big 5.9% gain)
- By day 5, it reached its highest point at $360.56
- This early strength would have created a fairly high RSI initially

Phase 2: The Downward Spiral (Days 6-14)

- The stock started falling on day 6 and barely stopped
- 8 out of 9 days were down days (only day 12 showed a gain)
- The drop was massive: from $360.56 down to $272.40 (a 24.5% crash)

- Several days had very large losses:
  - Day 7: - $16.60
  - Day 9: - $27.73 (a huge 8.4% single-day drop)
  - Days 10, 11, 13, and 14 also had significant losses

Why This Pushed RSI Into Oversold Territory

Think of RSI as a "selling pressure gauge" - it measures how fast and how far prices are falling. The RSI dropped below 30 because:

1. **The losing streak**: Having 8 down days out of 9 is like a basketball team missing shot after shot - it shows overwhelming selling pressure
2. **The size of the losses**: Those big down days (especially day 9's $27.73 drop) were like scoring negative points in bunches
3. **Losses vs. gains**: During the 14-day period, the total losses were about three times bigger than the total gains
4. **Persistence**: Even after a brief recovery on day 12 (+ $11.03), the selling immediately resumed with two more big down days

What This Means in Plain Language

The RSI falling below 30 is like a car's fuel gauge nearing empty. It's telling you:

- "This stock has been falling unusually fast"
- "The sellers have been in complete control lately"
- "There's been almost no relief from the selling pressure"
- "The stock might be getting 'oversold' and due for at least a temporary bounce"

This doesn't automatically mean the stock will rise, but it suggests that the selling pressure might be running out of steam - either setting up for a bounce or at least a pause in the decline.

Let me give you some additional insights about Tesla's RSI movement into oversold territory:

The Severity of Tesla's Drop

One thing that stands out in Tesla's price action is not just that it fell, but how dramatically it fell. Let's put some numbers to this:

- From peak ($360.56 on day 5) to trough ($272.40 on day 14), Tesla lost $88.16 per share
- That's a 24.5% crash in just 9 trading days
- The average daily loss during the declining phase was about $9.80 per day

This kind of severe, relentless selling is exactly what drives RSI into deeply oversold territory.

The Market Psychology Behind the RSI

RSI is really measuring the psychology of market participants:

1. **Panic Selling**: The accelerating downward movement (especially days 7-11) suggests panic rather than orderly selling
2. **Failed Bounce**: The brief recovery on day 12 (+ $11.03) that immediately failed is particularly telling - it shows buyers tried to step in but were overwhelmed by more selling
3. **No Support Levels Holding**: The price kept breaking through potential support levels without pausing, indicating strong bearish sentiment

How the RSI Formula Captures This

The RSI formula gives more weight to recent price actions, so those continuous down days toward the end had an outsized impact on pushing the RSI lower.

Each new down day:

- Increases the "average loss" component in the RSI calculation

- Decreases the "average gain" component
- Pushes the ratio of gains to losses lower
- Drives the RSI number down further

What Makes This Particularly Notable

What's especially interesting about Tesla's move is:

- The contrast between the early strength and later weakness
- The sheer number of consecutive down days (very rare to see 8 down days out of 9)
- The magnitude of individual down days (especially day 9's drop of $27.73)

When a stock that was previously strong suddenly shows this kind of persistent weakness, it often signals a significant shift in market sentiment that goes beyond normal price fluctuations.

What Traders Typically Watch For Next

After an RSI moves below 30:

- Look for signs of selling exhaustion (a very large down day followed by a much smaller down day)
- Watch for positive divergence (price makes a new low but RSI doesn't)
- Monitor volume patterns (declining volume on down days can signal selling pressure is waning)
- Pay attention to candlestick patterns that might indicate a reversal

So, hopefully, it's now clear why prices become overbought and oversold. When prices become overbought, there is strong buying pressure and more upward closes, which pushes prices above the 70 level and indicates strength. More people are buying the stock, thereby driving it into overbought territory. Therefore, once prices reach overbought zones, we should wait for a retracement and try to identify bullish price patterns to enter the trend in the next upward leg, rather than planning to sell or short. Similarly, when prices reach oversold zones below 30, it generally means that there are more downward closes than upward closes, indicating that more people are interested in selling than buying. So, when a stock reaches an oversold zone, rather than buying it, we should wait for a pullback and see if any bearish patterns develop on the price chart, and prepare to short. Look at the charts below:

Trend Transition using Overbought & Oversold Signal.

Another application of the RSI, beyond its conventional use, is to determine trend transitions. By applying the overbought and oversold function of the indicator in a slightly unconventional way, it can aid in confirming trend transitions from uptrend to downtrend or vice versa.

For a better understanding of the concept we're about to explore, it would be beneficial to first practice the overbought and oversold concepts discussed earlier. Aim to apply them to at least 100 different charts. This prior practice will make this concept much clearer.

So, we've established that if prices become overbought, it indicates that more traders are inclined to buy the stock, as evidenced by more upward closes than downward closes. Similarly, if a stock becomes oversold, it suggests that more traders are inclined to sell, with more downward closes than upward closes. With this in mind, consider what the RSI should look like in an uptrend. The RSI should more frequently reach overbought levels above 70 and should not enter oversold territory. As long as there is strong buying interest, the RSI should continue to rise and frequently exceed 70.

The above chart is a log chart of Tanla Platforms Limited. This stock rose by more than 1000% in just 150 trading days. The RSI began entering overbought territory from mid-July 2020, indicating increasing buying interest in the stock. This was also evident in the price action, as the stock was posting more upward closes than downward closes. The overbought condition persisted until December 2020, with the RSI reaching 97.76 on December 10th! This high RSI value illustrates the significant buying interest. Therefore, as long as buying interest remains strong, the RSI will consistently move into overbought zones after each cooldown period (price retracement).

Now, let's consider what happens when traders, particularly 'smart money,' begin to lose interest in a stock or decide to take profits.

Naturally, prices will start to decline. However, the crucial question is: how do we differentiate between a simple pullback and genuine selling pressure? As we've discussed, during an uptrend, the overbought condition, where buyers are actively interested, often experiences temporary pullbacks, after which buying interest returns, pushing prices back into overbought territory.

Now, imagine a scenario where, after a period of overbought conditions in an uptrend, prices cease to pull back to levels above 70. Instead, they gradually decline, eventually reaching below 30. Furthermore, the subsequent pullbacks become so weak that the RSI fails to reach overbought levels. Instead, the RSI enters oversold territory after these pullbacks.

What has occurred in this situation? The RSI, which was previously consistently reaching overbought levels above 70, has stopped doing so and has begun to reach oversold levels. Oversold conditions indicate that there are now more sellers in the market. This point, where the RSI stops reaching overbought levels during pullbacks and instead starts reaching oversold levels, marks a trend transition phase. You will also observe that the price action transitions from a pattern of higher highs and higher lows to a pattern of lower highs and lower lows.

Let's take a more detailed look. The chart below is the Jio Fin Services daily chart. Phase I was a comfortable buying uptrend phase where smart money was accumulating the stock. Prices were moving up, creating higher tops and higher bottoms, and the RSI was comfortably entering overbought zones after dips. During this phase, the RSI did not touch the oversold level of 30.

Now, looking at Phase II, from April 27th to December 5th, we observe that the RSI stops reaching overbought levels above 70. Prices move sideways to downwards, indicating that buying interest has diminished. The RSI hesitates to move into overbought zones after dips, and the prices fail to create new highs. This signifies a shift in trend from a strong bullish trend to a sideways or downtrend. This phase appears to be more of a distribution period, where stocks change hands from bulls to bears. The RSI oscillates within the 70-30 range, neither consistently reaching overbought nor oversold conditions.

Now look at the chart below, post December 10th, there was a strong downward push in price, and the RSI eventually moved into oversold levels below 30, failing to even reach the 50 level. Observe the angle of the price descent afterward! The stock moved downwards, creating lower tops and lower bottoms. The stock was in a free fall with no pause. This was a clear downtrend. During the second phase, which lasted for 160 bars, the price corrected by approximately 23%. In contrast, during the third phase, which lasted for 82 bars, the price corrected by more than 42%, almost double the correction in half the time. Therefore, we can see that once the price starts getting oversold, the downtrend becomes aggressive. This illustrates how we can determine the trend transition from uptrend to sideways to downtrend using price and RSI analysis.

So, we can now use RSI with price action more clearly to determine market phases, and we have an understanding of the phases where the trend can be moving with speed.

The 70-30 levels for overbought and oversold conditions were determined by J. Welles Wilder Jr. However, the interpretation of their application was not entirely clear in his writings. Here, I've attempted to provide a clearer interpretation. As we applied the 70/30 levels and correlated the outcome with the ongoing trend, the concepts became clearer. But Andrew Cardwell took the understanding of overbought and oversold conditions a step further. He determined two key points:

1. The trend has different overbought and oversold levels during uptrends and downtrends. The 70/30 levels are not universally applicable.

2. Trend transitions occur when the RSI ‘shifts’ from bullish market overbought and oversold levels to bearish market overbought and oversold levels.

Now, let’s delve into these two points and examine the RSI from Andrew Cardwell’s perspective.

Andrew brought a unique perspective to using the Relative Strength Index (RSI). Instead of sticking to traditional 70/30 overbought and oversold levels, he developed what he called “Range Rules,” which recognized that RSI behaves differently in various market conditions. During an uptrend, the RSI typically moves between 80-40, with 80 as overbought and 40 as oversold. In sideways markets, it ranges between 60-40, and in downtrends, it oscillates between 60-20, where 60 becomes overbought and 20 becomes oversold. This approach offered a more flexible way of understanding market momentum by adapting the RSI interpretation to the current market trend.

In the chart above, I’ve marked the points where the RSI reached 70, which traditionally signals an overbought condition. If a trader had stopped buying or closed their positions based on this signal, thinking a price correction was imminent, they would have missed out on significant market moves. The chart clearly shows that prices often continued to rise substantially after reaching the 70 RSI level. This demonstrates that strictly following overbought indicators can lead to missed trading opportunities and highlights the need for a more flexible approach to interpreting technical signals.

In the chart above, observe how the price correction pulled back to the 40 RSI level during an uptrend, without dropping to the 30 level. This pattern illustrates that a trader waiting for a complete oversold condition would have missed substantial rally opportunities. By the time the RSI reached a deeply oversold state, the market would have already begun its recovery, potentially causing the trader to enter late or miss the momentum. This demonstrates that in a strong uptrend, corrections often find support at higher levels, and waiting for an extreme oversold signal can mean sacrificing significant profit potential.

Examining the chart above, during the downtrend, we observed a distinct pattern of price action and RSI behavior. As prices continued to create lower tops and lower bottoms, pullback rallies were consistently halted around the RSI 60 level. Traders were selling into these rallies when the RSI approached 60, which then allowed the downtrend to resume. The downward momentum was so powerful that the RSI rarely reached the 70 levels typically associated with overbought conditions. This demonstrates a key insight: during strong downtrends, the overbought threshold shifts downward to 60, replacing the traditional 70 level. Such a dynamic RSI range provides a more accurate reflection of market sentiment and trend strength in bearish market conditions.

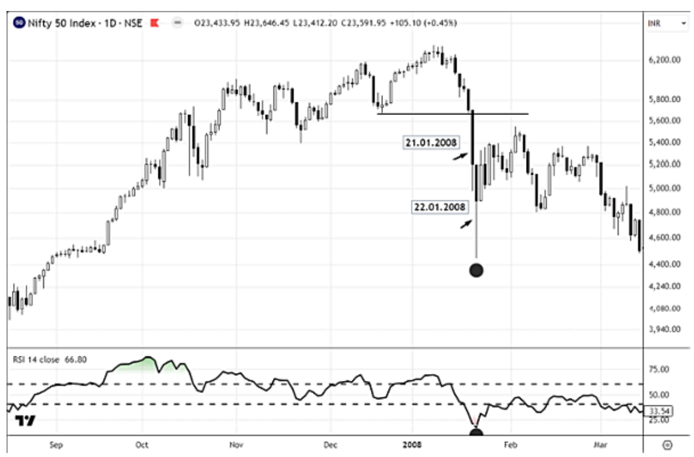
In the chart above, examine the points marked with arrows on the price panel, which correspond to traditional RSI oversold levels below 30. Contrary to conventional wisdom, these points reveal that prices did not experience a typical pullback. Instead, selling pressure intensified further, challenging the traditional oversold interpretation. The most notable observation is that prices began to turn upward only after the RSI touched the 20 levels. This demonstrates that during strong downtrends, the conventional 30 RSI level becomes less reliable as an oversold indicator. In such market conditions, the effective oversold threshold shifts downward to the 20 zone. Consequently, we can conclude that during downtrends, both overbought and oversold RSI levels adjust dynamically, moving to the 60-20 range instead of the standard 70-30 levels.

In the chart above, observe the mundane zone that emerges after a strong rally, where the stock transitions into a sideways consolidation phase and begins building a foundation for its next potential move. During this period, the Relative Strength Index (RSI) becomes trapped between the 60 and 40 levels, a clear technical signal indicating a sideways or range-bound market condition. This range suggests a temporary equilibrium between buyers and sellers, with the stock neither strongly trending upward nor downward, but instead creating a base that will set the stage for future price movement. Such consolidation periods are crucial in technical analysis, as they often represent a pause for the market to gather momentum before the next significant trend emerges.

By adapting and refining our understanding of traditional overbought and oversold indicators like RSI, we can gain significantly more clarity and insight into market trends. The common critique that technical indicators don't work in markets stems from a rigid, conventional approach. However, by developing a nuanced, context-sensitive interpretation—such as recognizing how RSI levels dynamically shift across different market conditions (uptrend, sideways, and downtrend)—we can transform these tools into powerful analytical instruments. The key is not to discard technical indicators, but to learn to read them with a more sophisticated, flexible perspective that considers the broader market context. This approach allows traders to better understand price movements, identifying subtle shifts in momentum and trend strength that might otherwise go unnoticed. It's not about the indicator itself, but about the depth of understanding and interpretation we bring to its analysis.

Let's explore the Range Shift concept in RSI, which demonstrates how the Relative Strength Index adapts its interpretation as price trends change. This concept reveals how the traditional fixed overbought and oversold levels of 70/30 are actually dynamic, shifting according to the market's current trend. By understanding these range shifts, traders can gain a more nuanced view of market momentum, avoiding the pitfalls of mechanically applying static RSI levels. The Range Shift concept shows that RSI behaves differently in uptrends, downtrends, and sideways markets, with distinct zones of overbought and oversold conditions that provide more meaningful insights into potential price movements.

In this chart above, we observe a clear uptrend with prices consistently moving higher, forming a pattern of higher tops and higher bottoms. Examining the RSI in correlation with price movements reveals a fascinating dynamic. During price advances, the RSI pushes above 70/80 levels, signaling bullish momentum. When prices retrace, the RSI finds support in the 60-40 zone, notably never breaking decisively below 40. This 80-40 range represents the characteristic RSI behavior in a bull market, where overbought conditions trigger controlled corrections. These pullbacks are measured, typically not breaking the previous higher low, while the RSI cools down from its overbought zones and stabilizes in the 60-40 range. This pattern indicates that the bullish momentum remains intact, with price corrections occurring without fundamentally disrupting the underlying upward trend. In essence, the market is experiencing a “correction with bullish momentum,” intact where pullbacks serve to consolidate gains rather than reverse the primary bullish direction.



In this chart above, we observe a critical transition as prices begin descending and break the previous swing low on January 21st, 2008. The following day, the price fall intensifies dramatically, with the RSI not only breaking below the 40 level but plummeting through 30 and approaching 20. This marks a significant moment, as it’s the first time the RSI decisively breaks its previous support level and enters oversold territory. While this breach suggests the potential breakdown of the bullish range, it’s crucial to understand that in real-time trading, such shifts are not immediately conclusive. Hindsight makes range identification seem straightforward, but traders must carefully assess the pullback's intensity to determine whether this represents a genuine range shift or merely a temporary deviation. The key is to avoid premature conclusions and instead wait for confirmatory signals that validate a true trend reversal or range transformation.

In the chart above, we observe the prices attempting to pull back after the RSI dipped into oversold zones, which is a typical market behavior following such a decline. The critical analysis lies in examining the nature of this pullback. If the rebound is weak—characterized by the RSI failing to reclaim its previous bullish range and struggling to reach beyond 60, or failing to breach 70—this suggests a potential range shift. On February 4th, 2008, we witnessed precisely such a scenario: the RSI encountered resistance around the 50 level, then quickly retreated, while prices simultaneously failed to break beyond a previous support level. This pattern represents a classic technical indicator of a range shift, transitioning from a bullish to a bearish market condition. The weak pullback and inability to restore previous momentum are key signals that the underlying trend may be changing, marking a significant shift in market dynamics.

Following this technical analysis, a trader or analyst would have a clear signal to exit long positions for themselves or their clients. The RSI shifted range when prices fell 15% from the top, which might seem like a significant drawdown. However, it's crucial to understand that indicators like RSI are not meant to be direct buy-sell mechanisms, but rather tools to help analyze market environments.

Exits should be planned through price action or other exit methods, not solely based on indicator signals. While one might initially think a 15% drop seems extensive for identifying a trend change, the subsequent market movement provides critical context. The price ultimately fell an additional 60% from the pullback on February 4th, 2008, revealing that the 15% drop was merely the tip of the iceberg. Have a look at the chart below:

This technical signal coincided with the beginning of the subprime crisis bear market of 2008, which eventually pushed the United States into a recession. The RSI effectively “bailed out” traders at the 15% mark, providing an early warning of the more extensive market downturn that was to follow. This example underscores the value of technical indicators not as precise timing tools, but as sophisticated market environment assessment mechanisms that can offer valuable insights into potential trend reversals and market sentiments.

In this chart, following the bearish range shift, we observe a notable market characteristic: the price experienced pullbacks, but the RSI consistently halted at 60, 50, and 40 levels, crucially never reaching overbought zones for an extended period of approximately 266 trading days. This prolonged RSI behavior in the bearish zone provides a clear technical signal of a persistent bearish market environment.

The RSI's inability to recover to overbought levels indicates sustained selling pressure and weak market sentiment. Each attempted rally was met with resistance, preventing the index from regaining its previous bullish momentum. This extended bearish RSI range serves as a critical indicator of the market's underlying weakness, suggesting that any price increases were merely temporary rebounds within a broader downtrend.

Traders and analysts would use this RSI behavior alongside price action to confirm the bearish trend. The key takeaway is that technical indicators like RSI are most powerful when viewed as tools for understanding market breadth and sentiment, rather than as direct buy-sell signals. In this case, the RSI provided a consistent, long-term warning of the prevailing bearish market conditions, guiding more informed trading and investment decisions.

I request you to go to the chart of 2019 and 2020 and try to repeat this exercise, which will give you a broad understanding of RSI and the right conviction in the tool. By examining the RSI behavior in the charts from 2019 and 2020, you'll observe how the indicator reflects market dynamics during one of the most volatile periods in recent financial history. The COVID-19 market crash and subsequent recovery provide an exceptional opportunity to understand RSI range shifts, trend changes, and momentum indicators. During this period, you'll likely see dramatic shifts in RSI levels that demonstrate how the indicator adapts to extreme market conditions. Studying these charts will reveal the nuanced ways RSI can help traders and analysts interpret market trends, showing how the indicator provides insights beyond simple buy-sell signals. This exercise will help you develop a more sophisticated understanding of technical analysis, moving beyond mechanical interpretations to a more contextual and dynamic approach to reading market movements.

Mega Overbought & Mega Oversold

In general, the RSI will typically range between 40-80 during a healthy uptrend and 20-60 during a downtrend. However, external factors can occasionally push the RSI into extreme zones beyond 80 or below 20, where market trends become erratic. This phenomenon is commonly observed in hourly or 4-hourly charts and indicates that momentum is topping out. When seen on daily charts, these extreme RSI readings may signal that exuberance or fear is dominating the market, potentially creating an exponential top or bottom that will be followed by price action. Such trends often manifest as nearly straight-line movements that eventually undergo heavy and rapid corrections. We term these conditions as Mega Overbought & Mega Oversold levels.

In the above chart of USD/INR, you may notice that a strong trend developed in the price in mid-January 2025. The RSI reached 90.52 levels, which is very rare and is termed as Mega Overbought. The momentum topped but the price continued to move up, as such powerful trends don't immediately reverse! RSI is called a leading indicator for this momentum property, as momentum typically tops and bottoms before the price does.

In the above chart, in late April 2011, silver topped out when RSI reached mega overbought levels of 88.54. In this case, the price reacted in tandem with the RSI, and silver topped along with its momentum indicator.

Similarly, in the above chart of BTC/USDT, the RSI dipped to 15.67, which is a Mega Oversold level, and both momentum and price bottomed together. We observed a V-shaped recovery in this case as well! Notice the trend on the price—it was a nose dive.

In technical analysis, when RSI reaches extreme levels, it can signal a potential trend reversal. However, there's an important nuance to understand: sometimes RSI reaches these extreme levels before the price actually reverses. The price might continue moving in the same direction for some time due to market euphoria in bullish trends or excess fear during bearish moves. This disconnect between the momentum indicator and price action highlights why it's crucial to use price action as your final validation point rather than relying solely on momentum indicators. While RSI can provide early warning signs, confirming these signals with actual price movement helps avoid false signals and improves trading decisions.

We will revisit this concept later in this book, where we'll deep dive into RSI and understand its behavior when it moves into overbought and oversold territories. Since we're just beginning, I wanted to keep the introduction light and accessible.

After just a few pages of exploration, you might feel like we've delved deep into the core of RSI, but this is merely scratching the surface. Believe me, we've only uncovered about 10% of the tool's potential efficiency. The Relative Strength Index holds vast, largely unexplored territories of insight waiting to be discovered. What we've discussed so far is just a glimpse into the profound analytical capabilities of this indicator. There are layers of complexity, nuanced interpretations, and sophisticated applications yet to be fully understood or revealed. The journey of understanding RSI is an ongoing process of discovery, with each new insight opening doors to deeper, more intricate ways of interpreting market dynamics.

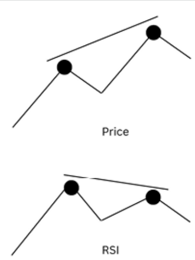
“There is so much more to discover—or rather, I would say, yet to be discovered!”

Chapter 5

DIVERGENCE

In the world of technical analysis, one of the most powerful features of the Relative Strength Index (RSI) is divergence—a concept that legendary analyst J. Welles Wilder eloquently described as a critical market turning point signal. Divergence occurs when there's a misalignment between price movement and the RSI's momentum. Specifically, this happens in two key scenarios: first, when the RSI is increasing while price action is either flat or declining, and second, when the RSI is decreasing while price movement is either flat or rising. This discrepancy between price and momentum serves as a powerful warning sign, suggesting that the current price trend may be losing steam and potentially preparing for a significant reversal. The beauty of divergence lies in its ability to reveal underlying market tensions—a moment when the price's visible movement doesn't match the underlying momentum, hinting at an impending shift in market dynamics.

RSI Bearish Divergence Explained



RSI bearish divergence is a technical analysis pattern that can warn traders of a potential downward price movement. Let me break this down in simple terms:

What is RSI Bearish Divergence?

RSI (Relative Strength Index) is a momentum indicator that measures the speed and change of price movements on a scale from 0 to 100.

A bearish divergence occurs when:

- The price of an asset is making higher closes (price is going up)
- BUT the RSI indicator is making lower closes (momentum is weakening)

This mismatch or "divergence" between price and momentum often signals that despite the price increase, the underlying buying pressure is actually decreasing.

Why It Occurs

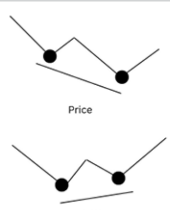
Bearish divergence happens for several key reasons:

1. **Exhaustion of buyers**: Even though the price continues to rise, there are fewer new buyers entering the market. The existing demand is gradually being satisfied.
2. **Smart money distribution**: Large investors (sometimes called "smart money") may be gradually selling their positions while the price is still rising, transferring assets to less experienced traders who are buying near the top.
3. **Loss of momentum**: The upward price movement is continuing mainly through inertia rather than strong conviction. Each new push higher takes more effort than the last.
4. **Hidden selling pressure**: While the price is still making new highs, there's increasing selling pressure that isn't immediately visible in the price action alone, but is captured by the RSI.

The weakening momentum shown by declining RSI values suggests that the uptrend may be running out of steam, potentially leading to a reversal or correction.

In the chart above you may notice that the prices were advancing through the month of September and made a higher close while RSI was unable to keep pace with the price and made a lower peak. This is a typical Bear Divergence which indicated that the trend may be losing steam moving up. The divergence between rising prices and weakening momentum captured by the RSI served as an early warning sign that buying pressure was diminishing despite the appearance of continued strength. This technical disconnect between price action and underlying momentum successfully signaled the upcoming reversal, as we subsequently saw a correction in the price when the exhausted uptrend finally gave way to selling pressure that had been building beneath the surface.

RSI Bullish Divergence Explained



RSI bullish divergence is a technical analysis pattern that can signal a potential upward price movement. Let me break this down in simple terms:

What is RSI Bullish Divergence?

RSI (Relative Strength Index) measures momentum on a scale from 0 to 100, helping traders identify overbought or oversold conditions.

A bullish divergence occurs when:

- The price of an asset is making lower closes (price is going down)
- BUT the RSI indicator is making higher closes (momentum is strengthening)

This mismatch between price and momentum often signals that despite the continuing price decrease, the selling pressure is actually weakening and a reversal might be coming.

Why It Occurs

Bullish divergence happens for several key reasons:

1. **Exhaustion of sellers**: Even though the price continues to fall, there are fewer new sellers entering the market. Most of those wanting to sell have already done so.
2. **Smart money accumulation**: Large investors may be quietly buying while prices are still falling, accumulating positions from less experienced traders who are selling near the bottom.
3. **Building momentum**: Each new price low requires more selling pressure, but that pressure is diminishing as shown by the improving RSI readings.
4. **Hidden buying pressure**: While the price is still making new lows, there's increasing buying interest that isn't immediately visible in the price action alone, but is captured by the RSI.

The strengthening momentum shown by the rising RSI values suggests that the downtrend may be running out of steam, potentially leading to a reversal or recovery.

In the chart above we may notice that the prices declined and registered lower closes through the month of March, but the RSI was taking a different path and was closing higher, diverging from the price. This classic bullish divergence served as an early indication that selling momentum was waning despite continuing price declines. The strengthening RSI readings against weakening price action signaled that smart money might be accumulating positions while retail investors continued selling. Eventually we saw prices bottom out and a rally followed, changing the trend and providing strong recovery. This pattern perfectly illustrates how RSI bullish divergence can identify potential reversal points before they become obvious in price action alone.

The above was a layman's guide to divergence which you must have encountered practically everywhere and on every analysis, probably you must have been approaching divergence in a similar way. I also did when I initially started learning RSI, looking at hindsight it seemed I had found the Holy Grail! But as my experience grew with RSI, many questions about divergences started to arise and then began the quest to get answers to those questions. I have put the following section in the question and answer format. What questions did I encounter when I was analyzing divergence and how did the market answer those questions! Let's start looking at them one by one. I am very sure if you have practiced RSI you must have also encountered these questions as well, and I am sure many have found the answers too, so let's match up the synergy.

Before moving into the nuances, you must have noticed that I've been illustrating divergences using line charts! Why didn't I use bar or candle charts? Let me share an important insight: I've seen even the smartest, oldest, and most experienced chartists make this mistake! They typically mark price highs and lows while identifying divergences on charts. The truth, however, is that RSI has nothing to do with price highs and lows! RSI is entirely calculated based on price closes! Recall the RSI formula once:

RSI = 100 - [100 / (1 + RS)]

Where RS = Average Gain / Average Loss

This formula clearly shows that RSI calculations depend solely on closing prices and their relative gains and losses, not the intraday highs and lows that are visible on bar or candle charts.

So let's dive into the questions. The first doubt that hit me while analyzing RSI divergence was that I started seeing divergences all over the chart—at all RSI levels. Some of them worked, and some left me stuck and confused. That's when I decided to catalogue all the divergences that had worked for me and all those that failed or gave unexpected outcomes. This catalogue helped me differentiate between types of divergences and filter out the ones with higher reliability. I then started adding statistical value to these patterns to assess their probability. What I discovered was interesting: bull and bear divergences occur frequently, regardless of the trend. A **bullish divergence** often acts as a trend **staller or changer** when RSI is in the **oversold zone**, but price confirmation is necessary. Similarly, a **bearish divergence** in the **overbought zone** can signal a potential reversal or stall, again requiring confirmation. One powerful observation I made: a bullish divergence during an uptrend near **support** often leads to **price recovery and trend continuation**. On the flip side, a bearish divergence near **resistance** during a downtrend may lead to **further downside continuation** from that level.

Divergences in Uptrends

In the chart above, you may notice a bearish divergence in the overbought zones that led to momentum weakness, which resulted in a deep correction of the trend.

In the next chart above, you may notice that again we see a bearish divergence, but this time the trend didn't correct price-wise; rather, it entered a sideways zone for a period and then continued upward.

In the chart above, the trend was moving up creating higher closes and after a very strong move, the price consolidated for some time approaching the support zones. As the price was taking its time at the support zone, the RSI was creating bullish divergence at these levels. This indicated that momentum was building up at the support levels, though the prices were creating lower closes, the RSI was diverging, showing that the momentum of sellers was now drying up. As we know, at demand levels or support zones we may find pending orders which can push prices up, and a loss of selling momentum (displayed by bullish divergence) will further help in price recovery from the support.

Divergences in Downtrends

In the above chart, you can see a bullish divergence following a downward price move. While the prices were moving down creating lower closes, the RSI refused to move down, and this created a bullish divergence which indicated that the selling momentum was drying up a bit. Following this, the price pulled back a little and then finally the trend reversed.

In the chart above, there were bullish divergences which didn't result in trend changes; rather, they led to small pullbacks, and ultimately the price remained sideways before the trend continued downward.

The next challenge was to determine which divergences have a higher probability of working, so that we can use this divergence analysis to filter out weak or failed divergences and get into trends early, particularly with our full position. Price Action is, of course, one of the most important parameters, but when analyzing RSI, I was looking to get confirmation from the indicator itself. So let's deep dive into this now. Get yourself a cup of tea as this will be a little intriguing.

The above chart analysis reveals a bullish RSI divergence, as indicated by the marked points a and b highlighting the divergence swing. If this divergence demonstrates substantial strength, we can expect prices to push forcefully upward, closing above the previous swing high. Such a movement would effectively break through the swing resistance level, paving the way for continued upward price momentum.

Now, looking at the chart above, we see that the price did pull back, but this pullback wasn't strong enough to break the resistance level just above the swing. As a result, the price moved down again. The divergence didn't help in reversing the trend.

Now the price has made a fresh low, but the RSI has once again formed a bullish divergence, as seen at points a and c. A resistance zone has now developed in this area. For the bullish divergence to be effective, the price needs to move up and close above this resistance zone.

In the chart above, we can see that the RSI divergence has pushed the price above the resistance area, and the RSI has also reached above the 70 level at 72.88 (d)—this is a classic sign of strength. If the price now pulls back and holds the resistance as support (known as the SR Flip concept, explained in my book *Money, Method & Mindset*), it would be a textbook case of trend reversal identified using RSI and price action. We can see that the price is holding the resistance level as new support, and the RSI is maintaining its position in the bullish zone even after being overbought.

I hope things are getting clearer now. Let's look at another example, this time for a bearish divergence.

In the chart above, a bearish divergence can be observed between the RSI and the price at the points marked a and b, where the price made higher highs while the RSI formed lower highs. This divergence led to a brief correction in the stock; however, the impact was short-lived. The stock soon recovered and went on to create a fresh high, indicating strong underlying momentum despite the initial signal of weakness.

Now look at the chart where another divergence is visible, this time between points a and c. Unlike the earlier divergence, this a-c divergence had a deeper impact — it pushed the price lower and even broke key support levels. This indicates that the a-c divergence is a stronger signal and could potentially cause more trouble for the stock. In contrast, the A-B divergence did not break any supports or alter the overall price structure, whereas the a-c divergence led to a structural shift by breaking supports, signaling increased weakness.

Later, towards the end of September 2024, the RSI dipped below the oversold levels and then struggled to move back above 60. This behavior indicated a "range shift," which eventually confirmed a shift in trend from bullish to bearish. The earlier divergence analysis would have served as an early warning, signaling that the trend might be losing strength and could be preparing for a reversal in character.

From the above case, we can conclude that when a divergence appears on the chart and is strong enough to break key support levels in the case of a bearish divergence—or resistance levels in the case of a bullish divergence—it increases the probability of a potential trend change. Therefore, whenever a divergence is observed, it is important to wait for the price to approach the relevant support or resistance level and closely monitor how it behaves at that zone. To strengthen the analysis, divergences can also be confirmed using additional tools such as moving averages and trendlines.

The next important question that left me confused was about the **time period** and **degree** of the divergence. By time period, I mean the number of days or the interval between the price swings when the divergence is forming. I wasn't sure how much spacing between the swing highs or lows is ideal for the divergence to be considered effective and meaningful.

So once again, I began analyzing divergences that formed over shorter intervals and those that developed over longer intervals. While many books and sources suggest that smaller interval divergences tend to be more effective, my own observations offered a different perspective. I noticed that while smaller divergences often disrupted momentum temporarily, more significant and lasting trend changes typically occurred with longer interval divergences. To clarify, I categorized these as follows: divergences forming between 3 to 14 periods can be considered **small-degree divergences**, while those forming between 14 to 30 periods fall into the category of **higher-degree divergences**.

In the chart above, you can see that there were 28 trading days between the two swing points. Once the divergence was confirmed by a break of support, the price trend reversed, leading to a sharp and deep correction.

Similarly, in the chart above, the interval between the two peaks is just 9 trading days. In this case, the price did not undergo a significant correction; instead, it experienced a mild time correction rather than a sharp decline in price.

In the chart above, we can observe that the two swing points where the divergence forms are spaced 39 candles apart. This divergence is strong enough to push the price above the resistance level and trigger a significant trend change.

Notice in the chart above that the bullish divergence, which formed with just 8 candles between the two swing lows, took its time to play out. The price remained in a consolidation phase for nearly two months following the divergence. Eventually, it broke through the resistance level and began a steady upward movement.

Divergences that take more time to form often indicate that the market is gathering proper momentum to support a stronger move in price. This usually reflects a phase of strong accumulation or distribution before the actual breakout or breakdown occurs. While there are certainly instances where short-interval divergences have led to meaningful price reversals, as technical analysts, our goal is to improve our odds by focusing on higher-probability setups—and longer-duration divergences typically offer a more reliable signal in that regard.

While small divergences over 3-7 periods aren't useless, they function most effectively at extreme overbought and oversold levels. Specifically, when RSI falls below 30, small bullish divergences tend to be more reliable signals, and likewise, when RSI exceeds 70, small bearish divergences become more dependable. Generally, the more extreme the overbought or oversold condition, the higher the probability that these minor divergences will produce successful trading signals.

In the above chart, you may notice that the stock was in a downtrend when a mini 3-period divergence appeared. The RSI was at extremely oversold levels of 23, after which prices began to pull upward. However, I would like to emphasize again that the RSI is merely a signal and requires strong price confirmation before taking action. This example demonstrates how minor divergences can be effective when they occur at extreme RSI readings, but they should not be used in isolation without additional price-based validation.

Similarly, we can observe an 8-period divergence when the RSI approached 80 levels, entering overbought territory. Following this divergence, the stock began its downward movement, reinforcing my earlier point that price action is necessary as confirmation. This example further illustrates how divergences at extreme RSI readings can provide valuable signals, but traders should always wait for corresponding price confirmation before executing any trades based on these indicators.

Start developing a thinking process about potential outcomes when divergences appear at extreme mega overbought and oversold levels. First, recognize that these extreme readings indicate the trend is already stretched too far. Next, understand that if a divergence occurs at these levels, it provides an even stronger signal for a potential price reversal. Once we begin developing this thought process, we'll see how all the dots become connected, creating a more comprehensive framework for technical analysis and trading decisions.

Validating Divergences

We have already explored one price action method to confirm divergences, so now let's examine another approach to validate trend changes after bullish or bearish divergence patterns appear. This additional confirmation technique will provide traders with a more comprehensive toolkit for making confident trading decisions following RSI divergence signals.

In the chart above, we recognized a divergence, but as I have repeatedly emphasized, relying solely on divergence signals is not advisable. Here, we've employed moving averages to confirm the trend change following the divergence. The first significant indication was when the divergence enabled the price to break below the 10-20 EMA, which had previously served as support—this was the initial signal, where risk-tolerant traders might consider entering short positions. However, I would prefer waiting for a role reversal (explained in detail in my first book "Money, Method & Mindset"). When the 10-20 EMA began functioning as resistance, this provided final confirmation after the price-EMA break. Trading at this point would be more prudent! This example illustrates how moving averages serve as excellent tools for trend determination.

Did you notice something else here? Look at the RSI when the price was hitting the EMAs as resistance! The RSI wasn't able to move above 60, as shown in the chart below. This is significant because it demonstrates how RSI confirms the strength of the resistance—even during attempted rallies, the momentum (as measured by RSI) couldn't reach bullish territory. Try connecting the dots now based on what you've learned previously from the readings. This relationship between price action, moving averages, and RSI behavior creates a comprehensive confirmation system for the bearish scenario developing after the initial divergence.

The chart below is a classical example of why one should always seek confirmation when using divergence as a signal. You may notice that there was a bullish divergence on the chart which did push the price up, but the price didn't have the momentum to break through the 10-20 EMA and sustain above it. This illustrates a critical trading principle: while divergences can indicate potential reversals, they must be validated by additional confirmation signals such as sustained breaks above key moving averages. Without this confirmation, traders might enter positions prematurely, as shown in this case where the initial bullish signal failed to develop into a significant trend reversal.

You may also notice that there was a price resistance if you look to the left, and the RSI stalled at 50 levels. The combination of the 10-20 EMA together with a pivot level created a strong resistance zone that ultimately pushed the price downward. This example demonstrates the importance of considering multiple factors when analyzing potential reversals, as the confluence of historical resistance, significant EMAs, pivot points, and RSI behavior collectively provided a more reliable signal than the divergence alone.

Looking at the chart below, this represents an ideal setup where divergence occurs 16 periods apart, with the 10-20 EMA being strongly breached after the divergence appears, and prices subsequently holding above this level. A price pivot break is also evident. Additionally, the RSI demonstrates strength by breaking through the 60 level and maintaining this position afterward, further confirming the bullish sentiment in this technical pattern.

Other price and volume signatures, such as breaking moving averages with strong candle patterns accompanied by higher volumes, will always provide an additional layer of confirmation to your analysis. However, the core principle remains understanding the overall price movement that follows after a divergence occurs. This fundamental concept should be your primary focus when evaluating potential trade setups, with these supplementary indicators serving to strengthen your conviction in the identified pattern.

Sometimes it's a very common occurrence on charts to observe serial divergences. These serial divergences don't necessarily indicate strong momentum buildup—they simply represent detours within an ongoing trend. Once a divergence appears and price pulls back, the divergence has served its purpose. If price breaks resistance, then the trend changes; otherwise, price merely takes a detour before resuming the original trend. Therefore, don't become overwhelmed when you encounter multiple divergences on charts, as they're often just temporary deviations rather than significant trend reversals.

In the above chart, you may notice three divergences occurring back-to-back. After divergence 1, the price pulled back up, hit resistance, and then the downtrend continued. Similarly, with divergence 2, a temporary detour occurred before price resumed its original direction. However, with the third divergence, we observe the price making additional efforts by pulling back above the 10-20 EMA. The price action from this point forward will play a key role in determining whether this divergence successfully leads to a trend reversal or merely represents another temporary detour in the ongoing trend.

As we move forward, we will explore another powerful method for confirming these divergences using multiple timeframe analysis, so stay tuned for this valuable approach that will enhance your trading strategy.

Chapter 6

REVERSALS

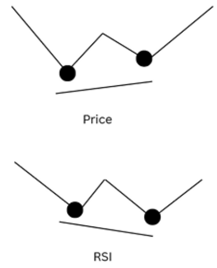
While divergence was a concept originally mentioned in the works of Welles Wilder (though not in such detailed manner as we have discussed), Andrew Cardwell discovered another type of setup on RSI called Reversals. Many have given this different names such as Hidden Divergence or Reverse Divergence, but I prefer the term “reversals.” Andrew placed significant emphasis on divergence but also used reversals extensively. While working with RSI, I tried to further enhance this signal in an unconventional style, which I will share as we move forward.

Let’s understand what reversals are. While divergences were signals of trend weakness and sometimes reversals, the RSI reversals generally indicate trend continuations. It’s a bit confusing that continuation signals are named as “reversals,” but don’t worry—as we move through the book, you will become comfortable using this term for continuation patterns.

Like RSI divergence, there are two types of reversals: the **Positive Reversal and the Negative Reversal**. The appearance of a positive reversal indicates the probability of an **upward trend continuation**, while the appearance of a negative reversal indicates the probability of a **downward trend continuation**. Let’s break down both of them.

Positive Reversals

In an uptrending market, price makes higher bottoms. Under normal conditions, RSI should follow the price, but sometimes the RSI creates a lower bottom. This creates a positive reversal. This is generally a continuation pattern—after a positive reversal, the trend is expected to continue upward.



In the above illustration, we can notice that the price made a higher bottom while trending up, but the RSI created a lower bottom. This indicates a positive reversal and suggests the probability of the trend continuing upward.

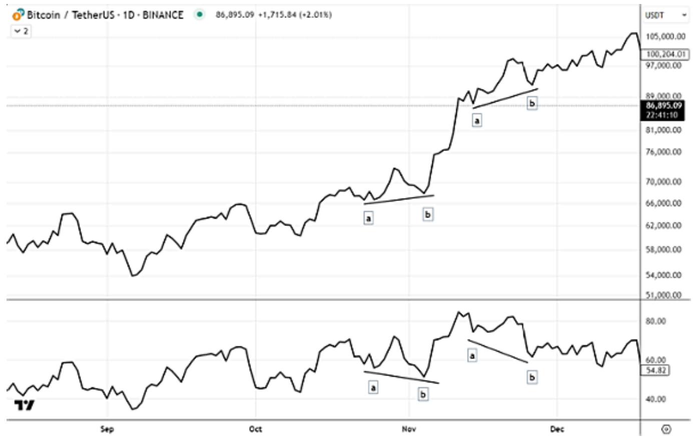
When price makes a higher bottom (higher low) during an uptrend, but RSI makes a lower bottom (lower low), it occurs because of how RSI measures momentum.

The math behind this happens because:

1. RSI measures the ratio between average gains and average losses over a specific period
2. When a price pulls back in an uptrend, it creates a temporary dip
3. Even though the second price dip is higher than the first one, the rate of change during this pullback can be steeper (faster decline)
4. This steeper decline creates stronger downward momentum for that brief period
5. The stronger downward momentum causes RSI to make a lower reading, even though the actual price level is higher

Think of it like a car climbing a hill: The car (price) might be at a higher position on the second stop compared to the first stop, but it might have slowed down more dramatically during the second stop (creating a lower RSI reading).

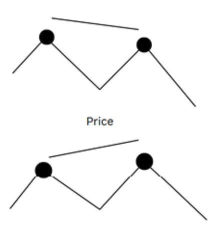
This is actually a bullish sign because it shows that while the price is maintaining its uptrend structure (higher lows), the temporary selling pressure (momentum) is already diminishing, suggesting buyers will likely step in to continue the uptrend.



In the above chart, you may notice that the price is in an uptrend. At point a-b (first instance), the price creates a higher bottom while the RSI created a lower bottom (a-b). This is a positive reversal signal indicating trend continuation. As long as the trend remains strong in an uptrending market, the positive reversals keep appearing.

Negative Reversals

While in downtrending markets when prices are creating lower closes in both tops and bottoms, the RSI may sometimes create a higher close or top and then continue creating lower tops, which creates a negative reversal pattern. This phenomenon is called a negative reversal and may indicate that the trend will continue to move down. The initial divergence where RSI makes a higher high while price makes a lower low might suggest weakening selling pressure, but when the RSI subsequently fails to maintain its strength and begins making lower tops alongside the declining price action, it confirms that the downtrend maintains its momentum and is likely to persist.



In the above illustration, you may notice that the price is creating a lower top while the RSI creates a higher top. This indicates a negative reversal with a probability of the trend continuing down. This reversal pattern suggests that although the RSI is showing some temporary strength or momentum, the underlying price action remains weak, and the downward trend is likely to persist as the bearish market structure continues to dominate.

The math behind a negative reversal happens because of how RSI measures momentum during downtrends:

1. RSI measures the ratio between average gains and average losses over a specific period (typically 14 days).
2. When price is in a downtrend and making lower lows, there can be brief periods where the decline temporarily slows down.
3. Even though the overall price level continues lower and makes a new low, the rate of change during this specific period might be less severe compared to the previous sharp decline.
4. This slower rate of decline creates relatively weaker downward momentum for that brief period.
5. The weaker downward momentum causes RSI to make a higher reading, even though the actual price level is lower than before.

Think of it like a ball rolling down a steep hill: The ball (price) might be at a lower position on the second measurement compared to the first, but if it temporarily rolled through a less steep section, it would have slowed down during that period (creating a higher RSI reading).

This is actually a bearish continuation sign because it shows that while the RSI temporarily improved due to slower selling pressure, the price is still making new lows, suggesting that once the temporary relief ends, the downtrend will likely resume with renewed selling pressure.

In the chart above, you'll notice something interesting happening during the downtrend. While the price was consistently making lower closes (a & b on price pannel) and moving downward, the RSI occasionally created higher peaks or closes (a & b in the RSI pannel). This pattern is exactly what a negative reversal looks like in action.

Here's the key insight: as long as we continue to see these negative reversals on the RSI - where the indicator temporarily moves higher while prices keep falling - we can expect the downward price movement to continue. These temporary RSI improvements are false signals that don't translate into actual price recovery, confirming that the bears are still in control and the downtrend has more room to run.

Think of it as the market taking a brief breather during its decline, but not actually changing direction. The RSI shows this momentary pause in selling pressure, but since prices keep making new lows, it tells us the downtrend remains strong and will likely persist.

Now let's connect this back to the RSI range shifts we discussed earlier. Understanding where these reversals should appear is crucial for proper interpretation.

Reversals with RSI Ranges

Uptrend - Bullish Range (80-40): During uptrends, the RSI operates in the bullish range between 80 and 40. This is where you should expect to see RSI positive reversals. A positive reversal occurs when the RSI makes a lower close while the price makes a higher close. When this happens within the 80-40 range during an uptrend, it confirms that the upward momentum will likely continue, as the price is still making progress upward even though RSI momentum has temporarily weakened.

Downtrend - Bearish Range (60-20): During downtrends, the RSI shifts to operate in the bearish range between 60 and 20. This is where you should expect to see RSI negative reversals. A negative reversal occurs when the RSI makes a higher peak while the price creates a lower peak (on a closing basis). When this happens within the 60-20 range during a downtrend, it indicates that the downward momentum will likely persist, as the price continues making new lows despite temporary RSI strength.

The key insight here is that these reversals are most reliable when they occur within their appropriate ranges. A positive reversal in the 80-40 range during an uptrend suggests continued bullish momentum, while a negative reversal in the 60-20 range during a downtrend suggests continued bearish momentum.

Now have a look at the chart above, where I have marked the bearish range of 60-40 on the RSI. You can clearly see that the negative reversals are forming within this 60-40 threshold zone.

This is a perfect example of how RSI ranges work in practice. During this downtrend, the RSI is operating within the bearish range, and the negative reversals - where RSI makes higher peaks while price creates lower peaks - are occurring right within this 60-40 zone. This confirms that the market is in a bearish phase and validates our expectation that the downward price movement will likely continue.

Notice how the RSI isn't reaching the traditional overbought levels of 70-80, but instead is confined to this lower range. This range-bound behavior of the RSI, combined with the negative reversals appearing within the 60-40 threshold, gives us strong confirmation that the bears are in control and the downtrend has momentum to persist.

Similarly, in the chart above, you may notice that the stock was in a strong uptrend and the RSI was operating within the bullish range of 80-40. During this uptrend, the RSI was making positive reversals - where the RSI made lower closes while the price made higher closes.

We can now see how multiple signals and concepts work together to confirm the trend and price action. The uptrend structure, the RSI operating in the bullish 80-40 range, and the positive reversals all align to paint a consistent bullish picture. When these different technical elements support each other like this, it gives us much stronger confidence in our analysis.

This is the power of combining RSI range analysis with reversal patterns - instead of relying on just one indicator signal, we get multiple confirmations that all point in the same direction. When the RSI range, the reversal patterns, and the overall price trend are all in harmony, it creates a compelling case for the continuation of the existing trend.

When I was first introduced to RSI reversals and started backtesting them, I went ahead and identified thousands of reversals across various charts in different timeframes. Once you start going back and marking these setups, lots of revelations begin to form, and you discover many things that are simply not taught or written about in most trading materials.

Through this extensive backtesting process, I found several important considerations while using reversals - the range rules with reversals was one of the most crucial discoveries. These practical insights only come from real market experience and detailed analysis of actual price movements.

Now let's move to the next level and discuss the advanced concepts that will make your RSI reversal trading truly effective:

1. **How much lookback period is best for reversals** - Understanding the optimal timeframe for identifying reliable reversal patterns.
2. **Which reversals are best to trade** - Not all reversals are created equal; some offer much better risk-reward opportunities.
3. **When reversals fail** - Recognizing the warning signs when a reversal setup is likely to break down.
4. **Reversals with price action** - Combining RSI reversals with key support/resistance levels and candlestick patterns.
5. **Reversals with divergences** - Using divergence analysis to strengthen reversal signals and improve timing.

These advanced topics will transform your understanding from basic pattern recognition to sophisticated trade selection and risk management.

Optimal Distance Between RSI Reversal Swing Points

Based on extensive research and practical trading experience, the reliability of RSI reversal signals depends heavily on the distance between the swing points being compared. Understanding this concept is crucial for separating genuine reversal opportunities from market noise.

Minimum Requirements for Reliable Signals

For RSI reversals to be trustworthy, you need a **minimum of 20-25 periods** between swing points. Any reversal pattern with less than 15 periods between swings should be avoided, as these typically represent temporary market fluctuations rather than meaningful momentum shifts.

The **optimal range of 25-40 periods** between swing points provides the best balance between signal frequency and reliability across most timeframes. This distance ensures that the comparison points represent genuine changes in market sentiment rather than short-term volatility.

The “Sweet Spot” Rule by Timeframe

Different timeframes require different approaches to swing point identification:

- **Short-term Charts (5-minute to 1-hour):** Look for 20-30 periods between swing points. This shorter distance accommodates the faster pace of intraday trading while still filtering out noise.
- **Medium-term Charts (4-hour to Daily):** The ideal range is 25-40 periods between swings. This timeframe captures meaningful momentum shifts without being too restrictive on signal frequency.
- **Long-term Charts (Weekly and above):** Require 30-50 or more periods between swing points. The longer timeframe demands greater separation to ensure the reversal represents a significant change in long-term market dynamics.

Quality Over Quantity

The most important principle to remember is that mechanical period counting should never override common sense analysis. Focus on identifying swing points that represent genuine momentum shifts and meaningful changes in market sentiment. A reversal pattern becomes significantly more reliable when the two comparison points are separated by sufficient time and price movement to reflect a true shift in underlying market dynamics.

Rather than chasing every potential reversal signal, patience in waiting for properly spaced swing points will dramatically improve your success rate and reduce false signals that can erode trading capital.

Which Reversals Are Best to Trade

Now we move to the next critical factor: understanding which reversal patterns offer the best trading opportunities. As we've established, reversals are continuation patterns - positive reversals appear during uptrends while negative reversals occur during downtrends. The key to successful reversal trading lies in properly identifying the underlying trend direction.

Trend Determination Methods

There are numerous approaches to determining market trends. Traditional price action methods include Dow Theory and Wyckoff principles, while indicator-based approaches rely on tools like moving averages. However, since we're focusing on RSI analysis, we'll apply the RSI trend determination concept we learned earlier through our Range Rules.

RSI Range Rules for Trend Identification

The beauty of using RSI for both trend identification and reversal signals creates a cohesive trading approach. In bullish markets, the RSI operates within the 80-40 range, while bearish markets confine the RSI to the 60-20 range. This range-based trend identification becomes the foundation for selecting the best reversal trades.

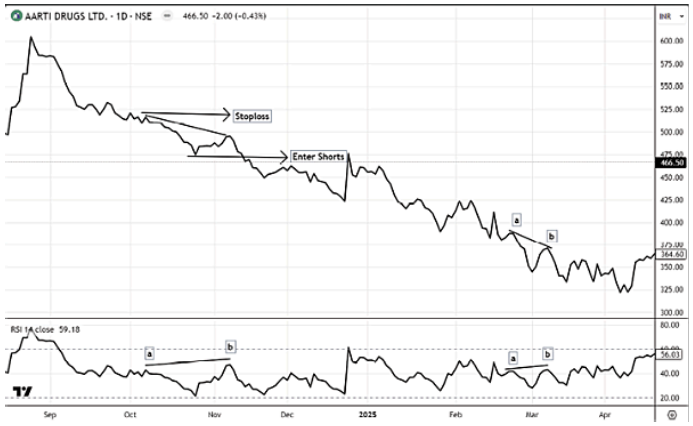
Optimal Reversal Trading Zones

Since positive reversals are inherently bullish signals, we should focus on timing these patterns when they appear within the bullish RSI range of 80-40. This alignment ensures we're trading reversal patterns that support the dominant trend direction, significantly increasing our probability of success.

Similarly, negative reversals are bearish signals, making them most effective when they occur within the bearish RSI range of 60-20. Trading negative reversals in this zone means we're capitalizing on continuation patterns that align with the prevailing downtrend.

This approach eliminates the common mistake of trading reversals against the primary trend direction, which often leads to premature entries and reduced profitability. By combining RSI range analysis with reversal pattern recognition, we create a powerful framework for identifying high-probability trading opportunities.

In the chart above, both reversal patterns have formed within the optimal bearish zone of 60-20, which provides the ideal conditions for negative reversal trades. Additionally, you'll notice that the required distance between the swing points has been properly maintained, ensuring these are high-quality reversal signals rather than market noise. This combination of correct RSI range positioning and adequate swing point separation creates the foundation for reliable trading opportunities that align with the prevailing bearish trend.



Though in the above chart I have demonstrated a technique for timing entries based on RSI reversals, I very strongly warn that this entire method should not be relied upon in isolation. RSI reversal patterns provide valuable insights into market probability, but they must be combined with solid price action analysis for effective trade execution. We can take a trade at the break of the swing low that forms between the two peaks of the negative reversal pattern, as this provides price action confirmation of the RSI signal. The stop loss should be placed at peak “a” which serves as our invalidation level for the reversal pattern. Remember, successful trading requires the marriage of indicator analysis with price action confirmation - RSI reversals show us the potential, but price action tells us when and how to act on that potential.

In the above chart, we are looking for positive reversals within the bullish RSI zone of 80-40. Since RSI positive reversals are bullish continuation signals, finding and timing them within the bullish range of 80-40 makes perfect sense. This alignment ensures that our reversal signals are working in harmony with the underlying bullish trend, rather than fighting against it. When positive reversals appear in this optimal zone, they provide strong confirmation that the uptrend has momentum to continue, making these some of the highest probability trading opportunities available in RSI analysis.

Similarly, to time your trade using positive reversals, we can enter above the swing high that forms between point A and point B. This approach provides price action confirmation that the positive reversal is playing out as expected. The stop loss should always be placed at point A, which serves as our invalidation level - if price breaks below this point, it signals that the positive reversal pattern has failed and the bullish continuation scenario is no longer valid.

Reversals to Calculate Price Targets

Andrew Cardwell used reversals in a unique way to calculate price targets. When a reversal occurred, he applied his method to determine how much the price could move upwards or downwards from that point. This approach gave traders a specific tool for measuring the potential extent of price movements after a reversal had taken place.

In the chart above, we can see a downtrend happening. The RSI range rules confirm this because the RSI is stuck between the 60 and 20 levels. A negative reversal appears on the chart, which suggests that the downtrend will likely continue from this point.

We can calculate the minimum downtrend target using the swing points. The formula is simple and works like this: first, find the difference between the second swing value and the first swing value of the negative reversal on the price chart. Then subtract this difference from the swing between points a and b of the negative reversal.

The minimum target for the downward move can be calculated as (b-a) - x. In this example, the calculation would be (32.02 - 33.51) - 30.58 = 29.09. This gives us the minimum target of 29.09 for the downside move.

Similarly, we can calculate the target for an uptrend. For uptrends, the process is slightly different. We subtract swing point b from point a, and then add this result to point x. This gives us the next probable minimum upside target.

In this example, the calculation would be (91.63 - 63.98) + 109.53 = 137.18. So the minimum upside target is 137.18.

You must have noticed that the approach we discussed earlier for taking entries based on reversals will not give us a good risk and reward trade if we use target-based trading. Here, we need a more aggressive approach, which may be riskier than the previous method.

In the chart below, a risky trade can be taken at point b based on strong candle formation. The stop loss should be placed below point b. Other tools like moving averages and Fibonacci levels can be used to create strong support confluence at this point, which helps strengthen the trade setup.

These additional methods will help in taking aggressive entries while reducing uncertainty. But remember, nothing is certain in stock markets. Always be prepared for the opposite scenario - what if you get stopped out! Always have stops in place.

The positive reversal and negative reversal targets help us with one more important thing! Let's rethink this - what if the targets generated by the reversals are not met?

When Reversals Fail

When the targets of negative and positive reversals are met, the trend is expected to stay strong. In an uptrend, positive reversals are formed, which generate upside targets. As long as these upside targets are met, the trend is expected to remain strong and keep moving up. However, once these upside targets start to fail, it may indicate that the uptrend is starting to prepare for a reversal. The same principle works in reverse for downtrends. I have seen this happen more often on "weekly charts"

In the above chart, there was a positive reversal that indicated a strong upward trend was in progress. This positive reversal signal suggested that the price had good potential to move higher from that point. Using Cardwell's reversal target calculation method, we can determine the expected price target for this upward move.

The price target formed by this reversal was calculated as (239.65 - 222.15) + 284.35, which equals 301.85. This means that based on the reversal pattern, the minimum expected target for the price to reach during this upward movement would be 301.85. This target gives traders a clear level to watch for as the trend develops.

Now have a look at what actually happened. Though the price turned up after the reversal formation, the target of 301.85 was missed. The price failed to reach this calculated target level. We ultimately see that the trend corrected more than 50% from its top, which shows a significant reversal in the opposite direction.

This failure to meet the reversal target was an early warning sign that the uptrend was losing its strength. When reversal targets are not achieved, it often indicates that the trend may be preparing for a change in direction, which is exactly what happened in this case.

Another method to understand the impending trend change using reversals is through negation of the pivot formed at point "a". The pivot corresponding to both RSI and price at point "a" serves as a strong pivot point. If prices break below this level and stay below it, this may indicate an impending correction in the trend. Point "a" serves as very strong support for the price. If this support turns into resistance, then we may expect a quick trend transition.

In the chart above, point “a” is where the negative reversal initiated. This point will serve as a very strong pivot point for future price action. If the prices retrace back strongly and break above this pivot level, and then stay above it, this may be considered as a negative reversal failure. When this happens, the trend may start to move up instead of continuing downward.

This observation was derived from analyzing thousands of charts on a daily basis. Through extensive chart study, this pattern of reversal failure at key pivot points has proven to be a reliable indicator of potential trend changes.

Observe now in the chart above that point “a” broke and then the same point which was acting as a resistance pivot now started acting as a support pivot. This is one of the strongest signals called “SR Flip” (Support-Resistance Flip).

When a previous resistance level becomes support, it shows that market sentiment has shifted significantly. This SR Flip may indicate a stronger pullback is coming, or it may even signal a complete trend change. The transformation of resistance into support is a powerful confirmation that the market dynamics have changed at that level.

After the negative reversal failure, the trend changed, which was confirmed by the formation of higher tops and higher bottoms on the price chart. At the same time, the RSI shifted ranges from bearish to bullish territory.

This combination of price structure change and RSI range shift provided strong confirmation that the trend had indeed reversed from down to up. Remember, price action will always be required to confirm any indicator action. No matter how strong an indicator signal appears, it must be backed up by actual price movement to be considered reliable.

Chapter 7

REVERSAL & DIVERGENCE

We have seen divergences and we have also learned how reversals work. Now let us combine these two concepts and see what outcome emerges from this combination. There may be two scenarios that can occur: first, divergences occur before reversals, and second, divergences occur after reversals.

We will look into the significance and treatment of both conditions. Understanding how these two powerful RSI concepts interact with each other will help us make better trading decisions and improve our market timing.

Divergences Occur Before Reversals

In the chart below, the price was trending down, creating lower tops and lower bottoms. We notice that a bullish divergence is formed at a support level. Now from this zone, if the divergence pushes the price into a bullish RSI zone above 70, we know there is a strong chance of trend transition from down to up.

This combination of bullish divergence at support and RSI moving above 70 creates a powerful signal. The divergence shows that selling pressure is weakening, while the RSI breaking into bullish territory confirms that buying momentum is taking over. Together, these signals suggest the downtrend may be ending and an uptrend could be starting.

In the above chart, prices approached a support zone and RSI created a bullish divergence.

In the chart below,the price was pushed up by the divergence but not enough to send the RSI to the overbought levels. However, the momentum push was strong enough to lead the prices into creating a higher high by breaking the last swing high.

Now let's think about the Dow theory concept learned in your first book "Money, Method & Mindset." If the prices retrace and don't create a new low, there is a very strong probability that the prices will reverse. This is because the failure to make a new low while having already made a higher high suggests that the selling pressure has weakened and buyers are starting to take control of the market.

Prices retraced but this time there was a creation of a higher bottom - refer the next chart below, which indicated that there was demand at the support level. This is a typical strength signal according to Dow theory.

The formation of a higher bottom shows that buyers stepped in at a higher price level than before, preventing the price from falling to the previous low. This buying interest at higher levels demonstrates that market sentiment is improving and that the downtrend may be losing its momentum.

But in the chart below, do you notice something else with the formation of a higher bottom? Exactly yes! We notice there is a formation of a positive reversal as well!

Now this positive reversal indicates that there is a very high probability for the trend to create another higher high and higher low. This is because positive reversals are trend continuation signals. When we see a positive reversal forming along with the higher bottom, it strengthens the bullish case and suggests that the upward momentum will likely continue further.

And the first reference point “a” on the price will act as strong support. We can now deduce that if this level remains safe, we can expect the trend to continue moving up.

Point “a” becomes a critical level to watch because it represents the foundation of the new uptrend structure. As long as prices stay above this support level, it confirms that the bullish momentum is intact and the trend has a good chance of continuing higher.

Thereafter in the chart below, we see there is a convincing break of the accumulation zone. Prices start to trend upward, creating higher tops and higher bottoms, and RSI finally reached the 70 levels, which indicated momentum strength as well!

This breakout from the accumulation zone confirmed that the buyers had taken full control. The combination of higher tops and higher bottoms in price action, along with RSI reaching overbought levels above 70, provided strong confirmation that a genuine uptrend was now in progress with solid momentum behind it. Also, a series of positive reversals appears and holds, indicating strong trend strength!

The case and setup in an uptrend may differ a bit as generally there are no resistance zones if the prices are trading at all-time highs. Also, an extra bit of confirmation is required when calling a top because tops are fueled by euphoria and madness, which no one is sure when it will burst. As the Wall Street quote says, “The market can stay irrational longer than you can stay solvent.”

This means that even when we see bearish signals at potential tops, we need to be more cautious and wait for stronger confirmation. The lack of overhead resistance at all-time highs makes it harder to predict where the uptrend might end, and the emotional buying during euphoric phases can push prices much higher than logic would suggest.

In the above chart, we can see that a bearish divergence is noticed. We have seen in our previous readings that if this divergence holds at support levels, then it will probably resume the upward trend. But if it breaks the support levels, then we may assume that the prices may be getting ready for a deeper correction.

This makes the support level a critical decision point. The way the price reacts at this support will determine whether the divergence is just a temporary pause in the uptrend or the beginning of a more significant reversal.

In the above chart, we noticed that the price broke the key support level “a” and started progressing to the next level “b” from where it tried to pullback. In the process of reaching level “b”, the RSI slipped and broke into the oversold zone below 30, reaching 23.

Now this situation gets tricky because when RSI gets oversold, it indicates that the sell-off has been quite serious. We have to wait and see how the pullback pans out here. If the pullback is strong enough to reclaim the 70 levels, it may result in trend continuation. Otherwise, the prices might be up to something else entirely. The oversold RSI reading suggests significant selling pressure, which makes any recovery attempt more challenging to sustain.

Now notice the chart above. The price did pullback but not strong enough to create a thrust that drives the RSI above 70. Also, this pullback resulted in the creation of a negative reversal, which indicated that there is a very bright chance of trend change here.

Look at the RSI chart below to notice the prominent negative reversal, which may not be clearly understood in the underlying price chart. The weak pullback that failed to push RSI into bullish territory, combined with the formation of a negative reversal, creates a strong bearish setup. This suggests that the selling pressure is likely to continue and the uptrend may be coming to an end.

The momentum conditions for a trend transition have been fulfilled, and now if the price breaks the support, then the trend will be confirmed down. The RSI helped us with various cues to understand the trend transition before the price does, but the final confirmation is always sought from price action.

Once support breaks, it will be a confirmed trend transition as in the case below. This shows how RSI can give us early warning signals about potential trend changes, but we must always wait for price to confirm these signals before taking any decisive action. The combination of RSI momentum analysis and price confirmation creates a powerful framework for identifying trend transitions.

Divergence After Reversals

Reversals are continuation signs and divergences are pullback indications generally. We will look at two cases where reversals were followed by divergences. First, we will see when a bullish divergence follows a positive reversal, and second, when a bearish divergence follows a negative reversal.

Understanding how these two RSI concepts interact when they appear in sequence will help us better interpret market conditions and make more informed trading decisions about whether trends will continue or face temporary corrections.

The divergence followed by reversals are longer patterns and take time to develop. So when we are looking for these reversals, a larger time frame data has to be taken.

These extended patterns require patience and a broader perspective to identify properly. Since they unfold over longer periods, traders need to analyze charts with wider time horizons to capture the complete development of these combined signals.

In the above chart, point a to b on price makes a higher bottom while on RSI it creates a lower bottom. This is a positive reversal formation which indicates that the trend may continue up. Immediately, a bullish divergence follows from point b to c, which indicates that the prices may be pushed higher as there is momentum divergence.

Notice that point b is the common link in the formation. What is the bullish divergence actually trying to do here? Yes, it’s launching the positive reversal setup. This signal generally launches strong moves because the positive reversal confirms trend continuation while the bullish divergence provides the momentum fuel needed to drive prices significantly higher. The combination creates a powerful bullish setup with both trend and momentum working together.

In the chart above, you can see the strength with which the prices moved up! The combination of the positive reversal followed by the bullish divergence created such a powerful signal that it resulted in a very strong upward move, demonstrating the effectiveness of this pattern when both signals work together.

In the chart below, we can see the negative reversal formation which indicates that the trend is continuing down. This is further followed by a bearish divergence which indicates that the price is ready to turn down. Since the trend is already down as indicated by price action and formation of negative reversal, the appearance of bearish divergence launches the continuation move down.

The negative reversal confirms the downward trend direction, and when the bearish divergence follows, it provides the momentum push needed to accelerate the decline. This combination creates a powerful bearish setup where both trend direction and momentum work together to drive prices lower.

Note that the common link between the negative reversal and bearish divergence is point “b”. This point serves as the connecting element that links both patterns together, making it a critical reference point in the formation. Point “b” acts as the pivot where the negative reversal concludes and the bearish divergence begins, creating a seamless transition between the two bearish signals.

There is an important point to note in these setups: reversals are larger patterns while divergences are smaller patterns. This makes the overall pattern more effective.

The combination works well because the larger reversal pattern establishes the broader trend direction, while the smaller divergence pattern provides the precise timing and momentum thrust needed to launch the move. This approach creates a more reliable and powerful signal than either pattern would produce on its own.

I hope this section has cleared all your doubts about divergences and reversals. Understanding these concepts and putting them into practice takes lots of time and effort, so practice them well.

These RSI techniques are powerful tools, but they require consistent study and application to master. The more you practice identifying these patterns on different charts and timeframes, the better you will become at spotting them in real market conditions and using them effectively in your trading decisions.

RSI and Multiple Timeframe Correlation.

Determining Trend Transitions using RSI.

Another very important concept which is generally overlooked while analyzing markets using indicators is multiple time frame correlation. Using multiple timeframes helps to enhance the RSI analysis as well as increase the efficiency of the tool. Let us deep dive into multiple time frame concepts using RSI.

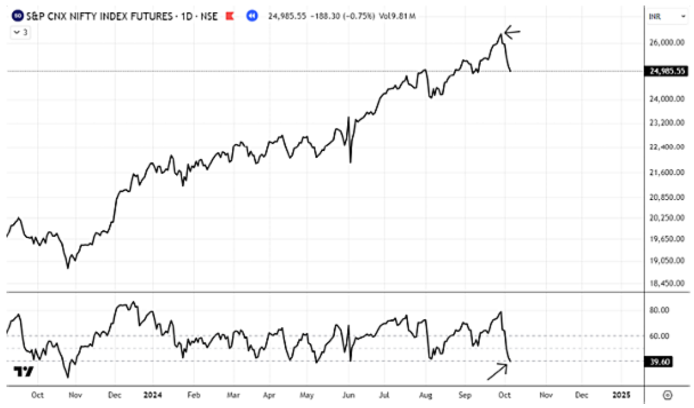
Multiple timeframe analysis provides a broader perspective on market conditions and helps traders make more informed decisions. By examining RSI signals across different timeframes, we can better understand the overall market structure and identify high-probability trading opportunities with greater confidence.

Just imagine that you are encountering a bearish divergence on a weekly chart, while RSI on the daily chart is in a bullish zone. How will we decipher this move? Should we consider the weekly bearish condition and ignore the momentum on the daily chart? Or shall we ignore the momentum weakness on the weekly chart?

This is a common dilemma that traders face when analyzing multiple timeframes. The conflicting signals between different timeframes can create confusion about the market's true direction. Understanding how to prioritize and interpret these mixed signals is crucial for making sound trading decisions.

Also take note that the momentum strength and breakdown signals appear on the lower charts first, then these spill over to higher timeframe charts. In a down trending market, momentum will start establishing on the lower timeframes first. Then once the momentum stabilizes on lower timeframes, the effect spills over to higher timeframes and ultimately the higher timeframes also start to stabilize.

So while using RSI, a multiple timeframe approach helps us to time ourselves very early into the trend. This gives traders a significant advantage because they can spot trend changes as they develop from smaller timeframes and position themselves before the signals become obvious on the higher timeframes that most traders watch.

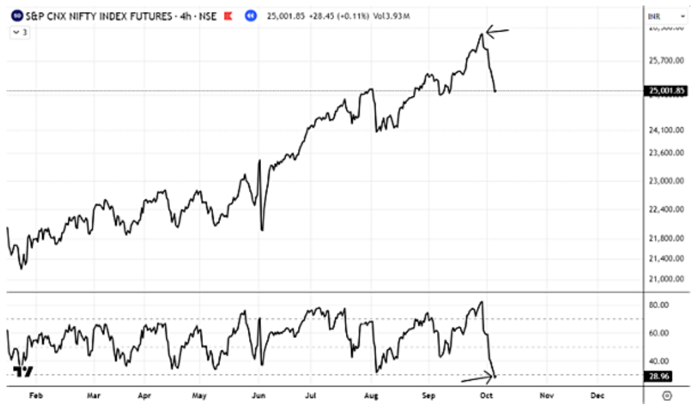


Have a look at the above chart. The market's Nifty created a higher top on 30th September 2024 and then it started to correct. On the daily timeframe, it may be looking like a normal correction where prices take support at the previous swing bottom and RSI approaches 40. All looks good so far.

This type of correction appears healthy and typical in an uptrend, where the market pauses to consolidate before potentially moving higher again. The RSI reaching around 40 levels suggests a reasonable pullback without entering oversold territory.

Let's drop to the 4 hourly chart (below) and see what has happened! Something else was panning out here. The RSI has dropped below the 30 levels, and this has happened for the first time since the trend was up.

This is a significant development because while the daily chart looked like a normal correction, the 4-hour timeframe revealed that the selling pressure was actually much stronger than it appeared. The RSI breaking below 30 on the shorter timeframe suggests that the correction might be more serious than what the daily chart was indicating.

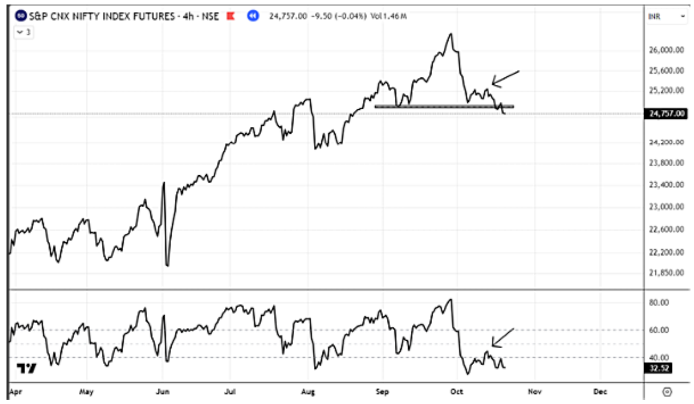


Now as we have already seen how overbought and oversold levels work, we understand that if the markets were to recover, the RSI will have to reclaim the 70 levels. Failing to do so may result in momentum loss on the 4-hour timeframe. And if this loss of momentum stays persistent on the 4-hour timeframe, then ultimately the momentum on the daily timeframe will start taking a hit as well.

Once momentum is down, the trend won't survive because momentum is the fuel to the trend. This cascading effect from lower to higher timeframes shows how weakness first appears on shorter timeframes and gradually spreads to longer ones, eventually threatening the overall trend structure.

The best way to catch trends early is to monitor them on the lower timeframes. Now in the chart below, we may notice that on a 4-hour chart, post getting oversold, the RSI struggled to get into overbought zones. And we know for the trend to survive, it's important that the RSI gets back into the overbought zones above 70.

Ultimately, the support broke and RSI started hitting the bear zones of 60-20. This failure of RSI to reclaim the bullish territory above 70 was an early warning sign that the uptrend was losing its strength. The subsequent break into bearish zones confirmed that the momentum had shifted from bullish to bearish on the shorter timeframe.



The trend goes into a deeper correction and the point where the RSI failed to get overbought on the lower timeframe chart served as the transition point for the trend change.

This demonstrates the power of multiple timeframe analysis - what appeared as a minor pullback on the daily chart was actually a significant trend shift that could be identified much earlier by watching the RSI's failure to reach overbought levels on the 4-hour timeframe. This transition point became the critical moment where the trend's character fundamentally changed from bullish to bearish.

Now run the conditions in your head and try to figure out what would a transition from downtrend to uptrend look like? If you are finding it challenging, then I suggest you start over the book again. Let me explain - the price will start to pullback, but this time the RSI should not halt at the 60 levels. It should get past 60 and get overbought, which will indicate that the pullback move is backed by strong bullish momentum! Have a look at the chart below.

This is the opposite scenario of what we just saw. For a bearish trend to reverse into a bullish one, any upward price movement needs to be supported by RSI breaking above 60 and reaching overbought levels above 70. This shows that buyers have enough strength to push momentum into bullish territory, suggesting a genuine trend change rather than just a temporary bounce. (look at the chart below)

The pullback was strong and backed by momentum, which provided confidence that the move was strong enough to push the RSI into overbought zones above 70. The trend transition occurred once the last swing highs were broken.

This combination of strong momentum confirmation through RSI reaching overbought levels and the price breaking above previous swing highs created a clear signal that the downtrend had ended and a new uptrend was beginning. The momentum backing gave validity to the price breakout, making it a reliable trend transition signal. (Refer the chart below)

Hence, analyzing the chart on multiple timeframes makes it easier for us to catch the trend transition early. As I have mentioned previously, RSI is not just an overbought-oversold or a divergence indicator! It's much more beyond that. By now you must have understood that there is lots more to uncover.

RSI is a comprehensive momentum tool that can reveal market structure, trend strength, potential reversals, and timing signals when used properly across different timeframes. The concepts we've covered show that RSI has multiple layers of analysis that go far deeper than the basic overbought and oversold readings that most traders focus on.

Chapter 8

DETERMINING THE VALIDITY OF REVERSALS & DIVERGENCES USING MULTIPLE TIMEFRAMES

Validating Divergence on Multiple Time Frames

In our previous discussions, we learned that a divergence on the RSI indicator can work as a trend detour. What does this mean? Simply put, when a divergence appears, it often pushes the price back down to a support level. This movement helps the market relax from overbought conditions, giving the trend a chance to catch its breath before continuing.

However, not all divergences behave the same way. While some divergences create just a small pullback, others can cut much deeper into the trend. In certain cases, a divergence can even reverse the entire trend direction. This is where things get tricky for traders.

As a trader, it becomes very important to understand which trends are likely to recover and continue, and which ones are showing signs of a complete reversal. You don't want to hold onto a position expecting recovery when the trend is actually reversing against you. Similarly, you don't want to exit a good trade just because of a temporary pullback.

This is where multiple time frame analysis becomes your best friend. By looking at divergences across different time frames, you can get a much clearer picture of what's really happening in the market. This analysis helps you determine whether the divergence is just a temporary correction or a sign of something bigger.

Let’s explore both scenarios in detail. First, we’ll look at situations where a divergence actually changes or reverses the trend completely. Then, we’ll examine cases where a divergence simply creates a mean reversion back to the support level, after which the original trend resumes its course. Understanding these two scenarios will significantly improve your trading decisions.

Let’s take a look at the chart of Nestle India to understand this concept better. In this chart, we can clearly notice a bearish divergence forming. What’s happening here is quite interesting – the price is making a higher close, which normally looks bullish. However, when we look at the RSI indicator at the same time, it’s making a lower close. This mismatch between price action and the RSI indicator is what we call a bearish divergence.

To spot this divergence properly, we need to compare the swings on both the price chart and the RSI. When you draw lines connecting the swing highs on the price and then do the same on the RSI, you’ll see they’re moving in opposite directions. The price is climbing higher, but the RSI is dropping lower. This contradiction is a warning signal that something might be changing beneath the surface.

Now, let’s talk about the support levels. On this chart, we’ve marked an important support zone around the 1320 level. This is a crucial area to watch. After a bearish divergence appears, prices typically need to cool down from overbought conditions. We expect the price to move down toward this support level as part of a mean reversion process – basically, the price returning to a more normal or average level.

The big question is: what happens at this 1320 support level? This is where the price is expected to make its decision. It could reverse and bounce back up, or it could break through and continue falling. The support level acts as a resting point where the overbought conditions can relax and the market can reset itself.

So how do we figure out whether this support level at 1320 will hold strong or break down? This is where multiple time frame analysis on the RSI becomes extremely valuable. Instead of just looking at one time frame and making our decision, we're going to dig deeper by switching to a lower time frame.

When we move to a lower time frame, we get a much closer and more detailed view of what's happening with the price action and the RSI indicator. Think of it like zooming in with a camera – suddenly, you can see details that weren't visible from far away. This closer look gives us important clues about the strength of the support level.

Once we're on the lower time frame, we'll perform what's called a range analysis. This means we'll study how the price is behaving within a specific range, looking at patterns, support and resistance levels, and how the RSI is moving during this period. We'll examine whether buyers are stepping in with strength or if sellers are dominating the action.

This range analysis on the lower time frame acts like a magnifying glass on the support zone. It helps us see early warning signals that might not be visible on the higher time frame. Are buyers defending the support aggressively? Is the RSI showing signs of bullish divergence on the lower time frame? Or are we seeing weakness that suggests the support might crack?

By combining what we see on both the higher and lower time frames, we can make a much more informed decision about whether the support will hold or break. This multi-layered approach significantly improves our accuracy in predicting what comes next.

Now, let's switch our view to a one-hour chart (above) to get that closer look we were talking about. When we examine this lower time frame, something important catches our attention – the RSI is approaching the 30 level. This is a critical observation because the 30 level acts as a boundary line for oversold conditions.

Here's what's really interesting: despite the bearish divergence we spotted earlier, the RSI hasn't actually dropped below the 30 mark yet. Why does this matter? Because once the RSI falls below 30 and enters oversold territory, it's a sign that weakness is starting to show up in the trend. The trend is losing its strength, like a runner getting tired. As long as the RSI stays above 30, the trend still has some energy left in it.

Based on what we're seeing, we can anticipate two possible scenarios. Let's understand both of them clearly.

Scenario One: The Trend Continues

In the first scenario, the RSI bounces back from near the 30 level and moves upward. It then crosses back above the 70 level, reclaiming overbought territory. If this happens, it's a strong signal that the original uptrend is still alive and well. The bearish divergence we saw earlier was just a temporary detour – a brief pause or pullback in the trend. Think of it as the market taking a quick breather before continuing its upward journey. In this case, traders who stayed patient and held their positions would be rewarded as the trend resumes.

Scenario Two: Weakness Creeps In

The second scenario is quite different and more concerning for those holding long positions. Here, the RSI fails to hold above 30 and drops into the oversold zone below 30. But that's not all – after dropping below 30, the RSI tries to recover but fails to climb back above the 70 level. This failure is significant. It tells us that the momentum has shifted, and weakness has started to creep into the trend like cracks appearing in a wall.

When the RSI can't reclaim the overbought territory above 70, it indicates that buyers are losing control and sellers are gaining strength. In this situation, the trend may start correcting more deeply than just a simple pullback. In some cases, this could even signal a complete trend change or reversal. This is when traders need to be extra cautious and consider protecting their profits or adjusting their positions.

Understanding these two scenarios helps you prepare for what might come next and make smarter trading decisions based on actual market behavior rather than just hope or fear.

Looking at the chart above, we can clearly see that Scenario Two is unfolding right before our eyes. The RSI has dropped below the 30 level and entered the oversold zone, just as we discussed. But here's the critical part – after becoming oversold, the RSI is now struggling to climb back up. More importantly, it's unable to break back into overbought territory above the 70 level.

This inability to reclaim overbought conditions is a red flag. It's telling us that the buyers who were previously in control are now losing their strength. The momentum that was driving the price higher has faded, and weakness is clearly setting in. This is not just a minor pullback anymore – the character of the trend is changing.

Now, let's talk about what this means for that support level we identified earlier at 1320. Remember, we were watching this level to see if prices would bounce back from there. However, given the weakness we're now seeing on the RSI, this support level may not hold as we initially hoped. In fact, there's a good chance that 1320 may flip its role entirely and start acting as a resistance level instead. This is a common occurrence in technical analysis – when support breaks, it often becomes the new resistance.

With this shift happening, we should prepare ourselves for a deeper correction. The pullback we're seeing is likely to extend further downward rather than quickly reversing. Prices may continue to fall as the selling pressure builds up and buyers remain hesitant to step in.

So, how long might this correction continue? The key is to keep watching the RSI on the hourly chart. This correction is expected to persist until we see some clear signs of momentum strength returning on the RSI. We need to watch for the RSI to start making higher lows, or to break back above key levels with conviction. Until we see such signs of renewed strength, it's wise to assume that the correction still has room to run.

Now that the first support level has failed to hold, we need to identify where the price might find its footing next. We've marked two important support levels below the current price action – one at 1220 and another at 1160. These are the next potential areas where buyers might step in and attempt to stop the decline.

However, just because we've identified these support levels doesn't mean the price will automatically bounce from them. We need to be smart about how we evaluate what happens when the price reaches these zones. This is where our RSI analysis becomes crucial once again.

When the price approaches either the 1220 or 1160 support level, we're not just going to assume it will hold. Instead, we'll carefully watch the bounce-back intensity on the RSI indicator. Here's what we're looking for: if the price does bounce from these support levels, the momentum behind that bounce needs to be strong enough to push the RSI back above the 70 zone – back into overbought territory.

Why is this important? Because a strong bounce with the RSI reclaiming overbought conditions tells us that buyers have genuinely regained control. It shows that there's real conviction behind the recovery, not just a weak, temporary bounce. When the RSI pushes back above 70 after bouncing from support, it's a sign that the downward correction might be over and the original uptrend could be ready to resume.

On the other hand, if the price bounces from these support levels but the RSI fails to climb back above 70, we have a problem. This failure indicates that the bounce is weak and lacks the momentum needed for a true reversal. The buyers are trying, but they don't have enough strength to take back control from the sellers.

When we see this kind of weak bounce – where the RSI can't reclaim overbought territory – it's a warning sign that these support levels are prone to breaking. The levels might hold temporarily, giving false hope, but they're likely to crack under continued selling pressure. In such cases, the downward trend may very well continue, pushing prices even lower toward the next support zone or beyond.

The key takeaway here is that we're not just marking support levels and hoping they hold. We're using the RSI to measure the quality and strength of any bounce that occurs. This gives us a much more reliable way to determine whether a support level is truly solid or just a temporary pause in a continuing decline.

Looking at the chart above, we can now see exactly how this scenario played out in real-time. The price did reach those support levels we had marked at 1220 and 1160, and just as we anticipated, it attempted to bounce from these zones. At first glance, you might have thought the support was working – the price stopped falling and started moving back up.

However, this is where our RSI analysis proved its value. When we examined the RSI during these bounce attempts, we noticed something critical – the bounces from these support levels were simply not strong enough. The RSI tried to climb higher but failed to push into the overbought zone above 70. It couldn't generate that powerful momentum we were looking for as a sign of genuine strength.

This lack of momentum told us the real story. The bounces were weak and half-hearted. The buyers were trying to step in and defend these support levels, but they didn't have enough conviction or buying power to really turn things around. It was like watching someone try to lift a heavy weight but not having enough strength to actually raise it up.

Because these bounces didn't have the required momentum – as confirmed by the RSI's failure to reach overbought territory – the support levels couldn't hold for long. What happened next was predictable based on our analysis: the price eventually broke through both of these support levels. The weak bounces gave way to renewed selling pressure, and the downward trend continued.

This is a perfect example of why we don't just blindly trust support levels. By using the RSI to measure the strength of the bounce, we could see in advance that these levels were vulnerable and likely to break. Traders who recognized this weakness could have avoided getting trapped in false bounces or could have even positioned themselves to profit from the continued decline.

Now, let's zoom out and look at what's happening on a larger scale. We've been tracking the oversold conditions on the hourly chart for quite some time now. The trend has remained oversold on this lower time frame for an extended period, with the RSI staying below 30 for much longer than usual. This prolonged weakness on the hourly chart is significant, but what happens next is even more important.

When a trend stays oversold on the lower time frame for such a long duration, it starts to impact the higher time frames as well. In this case, we can see in the chart above that the RSI on the daily chart has now also dropped into the oversold region below 30. This is a major development that we need to pay close attention to.

Why does this matter so much? Because when the RSI starts getting into oversold zones on larger time frame charts – like the daily chart – it tells us that the weakness we initially spotted has now exaggerated and spread throughout the entire trend structure. It's no longer just a short-term pullback or a minor correction. The weakness has become more serious and deeply rooted.

Think of it this way: if you have a small crack in a wall, it might not be a big problem. But if that crack keeps growing and spreading to other walls in the building, you know you're dealing with something much more serious. The same principle applies here. The oversold condition moving from the hourly chart to the daily chart shows us that the selling pressure is intensifying and becoming more widespread.

When we see this kind of multi-timeframe weakness – with both lower and higher time frames showing oversold conditions – it's a strong signal that the trend may correct even deeper than we initially expected. The decline could extend much further, and the recovery might take longer to materialize. This is when traders need to be extremely cautious and prepare for a potentially prolonged downward movement before any meaningful reversal occurs.

As we continue to track this downward movement, we can see that prices are now approaching the next major support zone at the 1050 level on the daily chart. This is a critical area where we might finally see some significant buying interest come into play. However, we're not going to simply assume that this support will hold just because it's marked on our chart.

Instead, we're going to apply the same analytical approach that we've been using throughout this process. When the price reaches this 1050 support level, we need to immediately switch our focus back to the hourly chart. This is where we'll conduct our detailed analysis to determine whether this support has the strength to actually reverse the trend or if it's just another temporary pause before the decline continues.

Here's what we'll be watching for: when the price bounces from the 1070 - 1050 level, we need to see strong momentum on the RSI indicator on the hourly chart. The bounce must be powerful enough to push the RSI back into overbought territory above 70. This is our confirmation that buyers have stepped in with real conviction and are genuinely taking control of the market.

If we see the RSI climb back above 70 after bouncing from 1070-1050, it signals that the momentum has shifted in favor of the buyers. It means the correction might be over and a recovery could be underway. This would be a positive sign that the support level is actually holding with strength.

However, if the price bounces from 1070 - 1050 but the RSI on the hourly chart fails to reach overbought territory, we know what that means by now. It indicates another weak bounce without sufficient momentum. In that case, despite the temporary uptick in price, the underlying weakness remains. The trend will likely continue its downward path, breaking through the 1050 support level just as it broke through the previous ones.

The lesson here is consistent: we're measuring the quality of every bounce using the RSI as our strength gauge. This disciplined approach keeps us from getting fooled by weak, temporary bounces and helps us identify when a real reversal is actually taking place.

Now that we've seen how a bearish divergence can lead to a deeper correction or even a trend reversal, let's look at the other side of the coin. We need to understand cases where a bearish divergence simply creates a temporary detour in an ongoing uptrend, rather than changing the trend entirely. This is equally important because you don't want to exit a good trade prematurely just because you spotted a divergence.

Let’s examine the chart above as our case study. Here, we can clearly notice that the price has created a higher close compared to the previous swing high. However, when we look at the RSI indicator at the same time, we see something different – the RSI wasn’t able to close higher than its previous swing high. This mismatch between the price action and the RSI is our bearish divergence signal.

Now, based on what we’ve learned, we know this divergence will likely push the price down as the market corrects from overbought conditions. But here comes the million-dollar question: is this divergence going to reverse the entire uptrend, or is it just going to create a temporary pullback before the trend continues higher?

This is where we cannot jump to conclusions. We cannot simply assume that every divergence means the same thing. Instead, we need to carefully observe how both the price and the RSI behave across multiple timeframes. This multi-timeframe analysis is what separates successful traders from those who keep getting caught on the wrong side of the market.

We’re going to watch how the price reacts when it pulls back to support levels. We’re going to examine whether the RSI on lower timeframes shows strength during any bounce. And most importantly, we’re going to look for clues that tell us whether this is a reversal scenario or just a detour scenario. By analyzing the behavior across different timeframes, we can make an informed decision about whether to exit our positions or simply ride out this temporary pullback.

Let's now switch our focus to the hourly chart (refer the chart above) to get that detailed, close-up view we need. When we examine the hourly timeframe, something important immediately stands out – the RSI is already sitting right at the 30 level. This means it's at the edge, at the verge of getting oversold. The RSI is essentially at a critical decision point right now.

Here's what we need to watch carefully: if the price continues to decline from here, even by a small amount, the RSI on the hourly chart will drop below 30 and enter oversold territory. Now, you might think that oversold conditions are normal during pullbacks, and you'd be partly right. However, in this context, it carries significant meaning for our analysis.

If the RSI does get oversold on the hourly chart, it may indicate that the momentum has actually broken down on this lower timeframe. It's not just a healthy pullback anymore – it's a sign that the buying pressure that was supporting the uptrend has weakened considerably. The sellers are gaining more control than we'd expect in a simple detour scenario.

But here's the critical part that many traders miss: this momentum weakness on the lower timeframe doesn't stay isolated there. Just like we saw in our previous Nestle India example, weakness on lower timeframes has a tendency to spill over and affect higher timeframes as well. If the hourly chart shows sustained oversold conditions and genuine momentum breakdown, this weakness will eventually start reflecting on the daily timeframe too.

When momentum weakness spreads from the hourly chart to the daily chart, it transforms what might have been just a temporary detour into something more serious – potentially a deeper correction or even a trend change. This is why monitoring multiple timeframes is so crucial. The hourly chart is giving us an early warning system, alerting us to potential problems before they fully manifest on the daily chart.

So right now, we're at a pivotal moment. The RSI at 30 on the hourly chart is like a canary in a coal mine – if it drops into oversold territory and stays there, we need to seriously reconsider whether this is just a detour or something more significant.

Looking at the chart above, we can now see that our concern has materialized – the RSI has indeed slipped below the 30 zone on the hourly chart. This confirms that we're experiencing a momentum break, not just a minor pullback. The buying pressure has weakened significantly, and the sellers have pushed the indicator into oversold territory.

At the same time, we notice that prices have also approached the support levels we identified earlier. This is where things get really interesting, and frankly, this is where the real analysis begins. We've reached a critical juncture where the market is about to reveal its true intentions, and we need to be extremely careful and observant in how we interpret what happens next.

From this point forward, we need to analyze both the price action and the RSI behavior very carefully. Every move matters because we're trying to answer the most important question: is this a trend reversal that will lead to a full bearish trend, or is this just a normal, healthy correction within the ongoing uptrend?

Here's how we'll determine which scenario is unfolding:

If This is a Trend Reversal

If the uptrend is actually over and we're transitioning into a bearish trend, the RSI will fail to move back into overbought zones above 70. Even if the price bounces from the support level, the RSI won't be able to reclaim that overbought territory. This failure tells us that buyers have lost their strength and are no longer in control. The momentum has genuinely shifted to the downside, and any price bounces are just temporary relief rallies within a new downtrend.

If This is Just a Normal Correction

On the other hand, if this is simply a normal correction – a temporary detour in the ongoing uptrend – the RSI will show us something completely different. After dipping below 30, the RSI will recover strongly and reclaim its overbought zones above 70. More importantly, going forward, the RSI will stay comfortably in the bullish zone and will respect the 30 level as a floor on the hourly chart. It won't keep breaking below 30 repeatedly. This behavior indicates that the underlying uptrend remains intact, and buyers are still in control despite the temporary pullback.

This is the moment where patience and careful observation pay off. We're not guessing or hoping – we're waiting for the market to show us clear evidence of which path it's taking. By watching how the RSI behaves after this momentum break, we'll know whether to prepare for a reversal or stay confident in the continuation of the uptrend.

Looking at the chart above, we can now see how the price action has unfolded from the support level. The prices did bounce from the support zone, just as we might have hoped. At first glance, this bounce might seem encouraging – after all, the support is doing its job of preventing further decline, right?

However, when we examine the RSI on the hourly chart, the picture becomes much less optimistic. The momentum behind this bounce was simply not strong enough to push the RSI into the overbought zone above 70. In fact, the RSI struggled significantly and couldn't even manage to cross the 60 level on the hourly chart. This is a major red flag.

Think about what this means: the price bounced, but the bounce lacks conviction. The buyers are attempting to defend the support level, but they're doing so weakly, without the power and confidence needed to drive a genuine recovery. The RSI's inability to even reach 60 – let alone 70 – tells us that the buying pressure is anemic and insufficient.

But here's another crucial observation: notice that despite this weak bounce, the price hasn't actually broken through the support zone yet. The support is still technically holding, even if just barely. So what does this tell us?

This situation indicates that the momentum has become seriously weak on the lower timeframe. The hourly chart is showing us clear signs of deterioration in the uptrend's strength. The buyers are hanging on by a thread, defending the support level with diminishing energy. This is like watching a tired boxer leaning on the ropes – still standing, but clearly running out of strength.

Here's the critical insight: once this support eventually breaks – and with such weak momentum, it's likely just a matter of time – this momentum crack that we're currently seeing on the hourly chart will become visible on the higher timeframe as well. The weakness will spread from the lower timeframe to the daily chart, just as we discussed earlier. What starts as a crack on the hourly chart often becomes a full break on the daily chart.

This is why we don't just look at whether support is holding or breaking in isolation. We measure the quality of the defense at that support level. A support that's holding with weak momentum is a vulnerable support, one that's likely to fail when the next wave of selling pressure arrives.

Now let's shift our attention to the daily timeframe chart above, where something very interesting is developing. We can see that the RSI on the daily chart has come down to the 50 level and has stalled right there. This is a significant observation that adds another layer to our analysis.

The 50 level on the RSI is what we call the neutral zone – it's the midpoint between overbought and oversold conditions. When the RSI sits at this level, the market is essentially balanced between buyers and sellers, neither side having a clear advantage. The fact that the RSI has stalled here means the market is at a decision point on the daily timeframe.

Now things are getting really interesting because we're seeing a conflict between timeframes. Let's break down what we're observing across both charts:

On the daily timeframe, the RSI is sitting at the neutral 50 level, showing indecision. Meanwhile, on the hourly timeframe, the RSI is unable to climb above 70 and reclaim overbought territory. Instead, it's stuck in a range, holding between the 60 and 20 levels. This tells us that on the lower timeframe, momentum is clearly struggling and buyers can't establish control.

This setup creates a fascinating and critical scenario that we need to watch very carefully. Here's what could happen next:

If Weakness Prevails

If the price breaks below the support level we've been monitoring, and simultaneously the RSI on the daily chart breaks below the 50 level, we'll have a double breakdown. This would mean breaking both the price support structure and the momentum support on the daily timeframe. When both price and momentum break down together on the daily chart, it's a powerful confirmation that the trend is genuinely weakening or reversing. This would be a clear signal that the correction is deepening and could turn into a full trend change.

If Strength Returns

On the other hand, strength will only be truly determined and confirmed when we see the RSI on the hourly chart reclaim the 70 level, get back into overbought territory, and then stay comfortably in the bullish zone. If this happens, it would signal that buyers have regained control on the lower timeframe, which would then support the daily RSI holding above 50 and potentially moving higher.

Right now, we're in a waiting game. The market is showing us indecision on the daily chart and weakness on the hourly chart. The next few moves will be crucial in determining whether this weakness turns into a full breakdown or whether buyers can step up and reclaim control. This is exactly why multi-timeframe analysis is so powerful – it helps us see these critical decision points before they fully play out.

Looking at the chart above, we can now see a significant shift in the market dynamics. The buying pressure has resumed with force, and most importantly, the RSI has been pushed back above the 70 level on the hourly chart. This is exactly the kind of development we were waiting for to confirm strength.

This move above 70 is not just a minor detail – it's a crucial signal that indicates the momentum has recovered in favor of the buyers. Remember, we were watching the RSI struggle between the 20 and 60 levels on the hourly chart, unable to break into overbought territory. That struggle showed weakness. But now, the buyers have stepped up with enough conviction to drive the RSI back into overbought zones, demonstrating that they've regained control of the short-term momentum.

What does this tell us? It suggests that the pullback we witnessed was likely just a temporary correction – a detour in the ongoing uptrend – rather than a complete trend reversal. The buyers used the support level as a launching pad to rebuild their strength, and they've now shown that strength by pushing the RSI back above 70.

However, we're not out of the woods yet, and we shouldn't jump to conclusions too quickly. The real confirmation of trend continuation will come from what happens next. Here's what we need to watch carefully going forward:

If the bullish zone on the hourly chart remains intact – meaning the RSI stays comfortably above key levels and doesn't keep breaking back below 30 – it will indicate that this is indeed a trend continuation. We want to see the RSI respecting the 30 level as a floor, not repeatedly crashing through it. When the RSI maintains its position in the bullish zone on the hourly chart, bouncing off higher lows rather than making new lows, it confirms that the underlying uptrend is healthy and intact.

This is the behavior we associate with a strong uptrend that's simply experiencing normal, healthy pullbacks. The key now is to monitor whether this strength holds or if it's just a temporary burst that fades away. Sustained strength on the hourly RSI will give us the confidence that the trend is continuing upward.

Now, take a close look at the chart above and notice something very important about how the RSI is behaving. After reaching overbought levels above 70, the RSI is now pulling back during minor corrections. But here's the key observation – the RSI is stopping around the 40 zone during these pullbacks, not dropping all the way down to oversold levels below 30.

This behavior is extremely significant and displays what we call trend transition. The trend has successfully transitioned from the correction phase back into a healthy bullish phase. More importantly, this RSI behavior confirms that the strength and momentum remain intact in the bullish move.

Let me explain why this matters so much. In a strong uptrend, the RSI doesn't need to drop into deeply oversold territory during pullbacks. Instead, it finds support at higher levels – typically around the 40 to 50 range – before bouncing back up. This shows that buyers are stepping in early during pullbacks, not waiting for the price to fall all the way down. They have confidence in the trend and are eager to buy at relatively higher levels.

Think of it this way: when the RSI keeps getting overbought (above 70) during rallies but only pulls back to around 40 during corrections, it's like watching a staircase going up. Each step goes higher, and the rests between steps are brief and shallow. This is the signature pattern of a healthy, robust uptrend.

So here's the rule we can follow going forward: as long as the RSI continues to get overbought without getting extremely oversold on the lower timeframe – in our case, the one-hour chart – the uptrend will remain intact. We want to see the RSI repeatedly pushing above 70 during rallies while finding support around 40-50 during pullbacks. This pattern tells us that buyers are firmly in control and the bullish momentum is sustainable.

If this pattern breaks and the RSI starts dropping below 30 and getting extremely oversold on the hourly chart, that would be our warning signal that the trend strength is deteriorating again. But as long as the current pattern continues, we can have confidence that the uptrend is healthy and likely to continue.

Notice carefully in the chart how the following correction also makes the RSI halt at the 40 level once again. This is not a coincidence or a random occurrence – it's a consistent pattern that's developing, and it tells us a lot about the health and character of this trend.

When we see the RSI repeatedly respecting the 40 level as a support during multiple corrections, it confirms that the bullish structure is solid and well-established. The market is showing us a reliable behavioral pattern: the RSI gets overbought above 70 during rallies, then pulls back to around 40 during corrections, and then bounces back up to overbought levels again. This cycle repeating itself is the hallmark of a strong, sustained uptrend.

This consistent character of the RSI is incredibly valuable for us as traders. It serves as a guide to understanding whether a divergence – when it appears – will actually change the course of the trend or will merely correct it temporarily. This is the crucial distinction we've been working to understand throughout this entire discussion.

Here's how to use this knowledge practically: when you spot a bearish divergence in a trend, don't immediately assume the trend is reversing. Instead, look at how the RSI has been behaving on the lower timeframe. If the RSI has been consistently finding support around 40-50 levels during previous corrections without dropping into deep oversold territory, then any new divergence is more likely to just create another temporary correction rather than a full reversal.

On the other hand, if the RSI starts breaking its established pattern – dropping below 30 and getting deeply oversold when it previously was holding at 40 – that's when you should take the divergence much more seriously as a potential trend change signal.

The key insight here is that the RSI's character and behavioral patterns give us context. A divergence doesn't exist in isolation – it needs to be interpreted within the framework of how momentum has been behaving throughout the trend. By watching these patterns on multiple timeframes, we can make much more informed decisions about whether to treat a divergence as a warning to exit our positions or simply as a signal to prepare for a normal, temporary pullback.

This is the power of combining divergence analysis with multi-timeframe RSI behavior – it transforms divergences from confusing signals into clear, actionable information.

Now that we've thoroughly explored bearish divergences and how to interpret them using multi-timeframe analysis, let's shift our focus to the other side of the market. It's time to look at bullish divergences and understand how they work in changing or continuing trends.

Let us examine an example where a bullish divergence actually changed the course of the trend. Just like bearish divergences can signal either a temporary correction or a full reversal in an uptrend, bullish divergences can also signal either a temporary bounce in a downtrend or a complete trend reversal to the upside. Understanding which scenario is unfolding is equally important for traders looking to catch the bottom of a declining market or avoid getting trapped in a false recovery.

In the following case study, we'll see how a bullish divergence developed during a downtrend and ultimately led to a significant trend change. We'll apply the same multi-timeframe analysis approach that we used for bearish divergences, examining how the price and RSI behaved on both the daily and hourly charts. This will help us understand the early warning signals that indicated this wasn't just a temporary bounce, but rather a genuine shift in market direction from bearish to bullish.

Let's dive into this example and learn how to identify when a bullish divergence has the power to reverse a downtrend.

Let’s take a look at the chart above, which shows AU Small Finance Bank Limited. This stock provides us with an excellent real-world example of a sustained downtrend and how a bullish divergence can signal a trend reversal.

The stock reached its peak in September 2024, marking the top of its previous uptrend. After hitting this high point, AU Small Finance Bank entered into a consistent downtrend that persisted for several months. From September 2024 all the way through to March 2025, the stock was under continuous selling pressure, making lower lows and lower highs – the classic signature of a bearish trend.

During these months, anyone holding this stock would have experienced a prolonged decline, watching the price steadily drop as the downtrend remained firmly in place. This wasn’t just a quick correction – it was a sustained bear phase that lasted approximately six months, giving plenty of time for sellers to dominate and for bearish sentiment to build up in the market.

Now, the question becomes: how do we identify when such a prolonged downtrend is finally coming to an end? How can we spot the early signs that the selling pressure is exhausting itself and that buyers might be ready to take control? This is where our multi-timeframe analysis of bullish divergences becomes invaluable, and this AU Small Finance Bank chart will show us exactly how to read these signals.

Looking at the chart above, we can identify a very important pattern that developed between mid-February and mid-March 2025. During this period, the price action was continuing its bearish behavior by creating a lower low formation. Each swing low was dropping below the previous one, which is exactly what we'd expect to see in a downtrend – the price keeps making new lows as selling pressure persists.

However, when we examine the RSI indicator during this same period, we notice something completely different happening. The RSI was not making lower lows like the price. Instead, the RSI was creating a higher low formation. This mismatch between what the price is doing and what the RSI is doing is what we call a bullish divergence.

This bullish divergence is telling us that even though the price is falling to new lows, the momentum behind those declines is weakening. The selling pressure is not as strong as it was during previous drops. It's like watching someone trying to push a boulder downhill – each push is getting weaker, suggesting they're running out of energy.

But here's the critical question that every trader needs to answer: will this bullish divergence actually change the course of the trend and lead to a reversal, or will it just create a temporary bounce before the downtrend resumes? We cannot simply assume that every divergence means a trend reversal. We need confirmation and deeper analysis.

To find early clues about whether this divergence has the power to reverse the trend, we need to apply our multi-timeframe analysis approach once again. We will switch to a lower timeframe – preferably the hourly timeframe – to examine the price and RSI behavior more closely. The hourly chart will give us the detailed, zoomed-in view we need to see how buyers and sellers are actually battling it out at these critical levels. This analysis will help us determine if this is the real deal or just another false hope in a continuing downtrend.

In the chart above, we've zoomed into the one-hour timeframe and selected the same area where the bullish divergence was created on the daily chart. This gives us that detailed, close-up view we need to understand what's really happening with the momentum.

When we examine the RSI on this hourly chart, we can see the characteristics of a weakening downtrend. The RSI is getting oversold during the price declines, which is normal in a downtrend. However, here's what's important: after the RSI gets overbought on temporary bounces, it's unable to hold on to the 40 zone. Instead, it keeps falling back below 40 and dropping into oversold territory again. This pattern shows that the downtrend has been in control, with sellers repeatedly pushing the RSI back down.

But now we need to watch for signs that this dynamic is changing. The first sign of genuine strength will be when the RSI manages to break into the 70 zone and gets overbought on the hourly chart. This would indicate that buyers are stepping in with enough force to push the momentum into bullish territory – something that hasn't been happening consistently during the downtrend.

However, just getting to 70 once isn't enough for full confirmation. The next and more important confirmation will be when the RSI shifts its entire operating range. We want to see the RSI transition from the bearish range it's been stuck in (constantly dropping below 40 and getting oversold) to a bullish range of 80-40. In this new range, the RSI would be getting overbought above 70 (even touching 80 during strong rallies) and then finding support around the 40 level during corrections, without dropping into deep oversold territory below 30.

This shift in the RSI's range on the hourly chart is crucial because it shows a complete change in market character – from bearish behavior to bullish behavior. And here's the key point: once this momentum strength establishes itself on the hourly chart, it won't stay confined there. This strength will spill over and extend further to the higher timeframe chart – that is, the daily chart. The hourly chart is essentially giving us an early warning system, showing us the shift in momentum before it becomes fully visible on the daily timeframe.

Looking at the chart above, we can now see how the bullish divergence has played out. The divergence has created a strong price push upward, and this surge in buying pressure has successfully driven the RSI above the 70 level on the hourly chart. This is our first confirmation that buyers are stepping in with real force – exactly what we were waiting to see.

But this is just the beginning of the story. We cannot celebrate yet or assume the trend has reversed based on this one move alone. What happens next is absolutely critical in determining whether this is a genuine trend reversal or just another temporary bounce that will eventually fail.

Here's what we need to watch carefully going forward: the RSI must prevent itself from getting oversold again. During the downtrend, we saw the RSI repeatedly dropping below 30 into oversold territory. If the RSI can now stay above those deeply oversold levels and instead find support around the 40 zone during pullbacks, it will show that the market character is truly changing.

Additionally, we need to see the RSI move up again with the price after any minor corrections. If the price continues to climb and the RSI keeps pushing back into overbought territory above 70 – maintaining that bullish range we discussed – it confirms that buyers are maintaining control.

Now, let’s talk about a crucial price level confirmation on the daily chart. If the swing high on the daily chart gets cleared – meaning the price breaks above the previous significant high – it will be the first major indication that the trend is waking up for a reversal. Breaking above a previous swing high is a powerful technical signal because it breaks the pattern of lower highs that defined the downtrend. It shows that buyers are not just creating a bounce, but are actually strong enough to take out resistance levels.

If all these pieces come together – the RSI holding above oversold levels on the hourly chart, the RSI maintaining strength in the 70-40 range, and the price clearing the swing high on the daily chart – then we can say with confidence that this bullish divergence has the power to change the course of the trend. This combination of signals across multiple timeframes gives us a high-probability indication that we’re witnessing a genuine trend reversal from bearish to bullish.

Now, refer to the chart above, and we can see that the scenario is unfolding beautifully in favor of the buyers. This is exactly the kind of behavior we were hoping to see as confirmation of genuine strength and a potential trend reversal.

Look at what happened after that initial push above 70 on the RSI. The price experienced a retracement – a normal pullback after a strong move up. During downtrends, such retracements would typically push the RSI all the way back down into oversold territory below 30, or at least significantly below the 40 level. However, that's not what we're seeing here.

The price retracement failed to push the RSI below 70, and instead, the RSI found solid support and stopped at the 50 level. This is a significant development. The 50 level on the RSI represents that neutral zone, the midpoint between bulls and bears. The fact that the RSI held at 50 and didn't drop any lower shows that the underlying momentum remains positive. Buyers stepped in during the pullback and prevented any deeper correction in momentum.

But here's the really exciting part: after holding at 50, the RSI didn't just stay there or drift sideways. Instead, it moved back into the overbought zones again, climbing above 70 once more. This is displaying genuine strength and confirms the shift in market character we've been monitoring.

This pattern – getting overbought above 70, pulling back only to 50, and then getting overbought again – is the signature behavior of a strong emerging uptrend. It's completely different from the weakness we saw during the downtrend, when the RSI would get briefly overbought and then crash back into oversold territory below 30. The contrast couldn't be clearer.

What we're witnessing is the RSI establishing a new, bullish operating range. The buyers are firmly in control now, and the momentum structure has shifted from bearish to bullish on the hourly timeframe. This strength on the lower timeframe is exactly what we need to see before it eventually confirms on the higher daily timeframe as a full trend reversal.

As we continue watching the price action, something important happened next. The prices did react when they reached the daily swing high levels – that previous resistance we discussed. The price moved down in response to this resistance, which is completely natural and expected. When prices approach significant resistance levels, some selling pressure typically emerges as traders take profits or test whether the level will hold.

However, here's the critical observation that separates this situation from what we saw during the downtrend: this time, when the price pulled back, the RSI didn't break below the 40 level. More importantly, it didn't fall below 30 and drop into oversold territory. This is huge.

During the downtrend, any price decline would push the RSI deep into oversold zones below 30, showing that sellers were firmly in control and momentum was weak. But now, even though the price reacted negatively to the resistance level, the RSI held its ground and maintained support above 40. This behavior tells us that the pullback wasn't driven by genuine bearish momentum or a return of the downtrend.

Instead, this indicates that the reaction was just the price's natural response at a resistance level – a normal and healthy behavior in any market. Prices often pause, pull back, or consolidate when they reach significant resistance before making another attempt to break through. The fact that the RSI remained strong during this pullback shows that buyers are still in control underneath the surface. They haven't abandoned their positions, and the underlying momentum remains positive.

This is clear evidence that the trend is ready to move up from here. The trend has successfully changed its course from down to up. What started as a bullish divergence on the daily chart, followed by momentum strength on the hourly chart, is now confirming itself through resilient RSI behavior during pullbacks.

And here's what happens next: this momentum strength that we've been tracking on the hourly timeframe will now also become clearly visible on the daily timeframe. The lower timeframe was giving us early signals, and now those signals are translating into confirmed strength on the higher timeframe. The trend reversal is complete, and the uptrend is establishing itself across all timeframes.

Take a comprehensive look at the chart above and observe the complete journey of how the trend transitioned from down to up. This is a perfect case study that demonstrates the power of multi-timeframe analysis when applied systematically and carefully.

We started by identifying a bullish divergence that was created on the daily chart – the price was making lower lows while the RSI was making higher lows. This divergence was our initial signal that something might be changing beneath the surface, even though the downtrend appeared to still be in control based on price action alone.

However, we didn't just blindly trust this divergence and immediately assume the trend would reverse. Instead, we took a disciplined approach by zooming into the bullish divergence using a lower timeframe – the hourly chart. This allowed us to examine the momentum dynamics in much greater detail and watch how buyers and sellers were actually battling for control.

On the hourly chart, we observed the RSI behavior closely. We watched as it initially struggled during the downtrend, repeatedly getting oversold and failing to hold above 40. Then we saw the shift – the RSI pushed above 70, showing the first signs of genuine buying strength. After a pullback, instead of collapsing back into oversold territory as it would have during the downtrend, the RSI held at 50 and then moved back above 70 again.

We then monitored how the price reacted at the daily swing high resistance level. When the price pulled back from that resistance, we didn't panic or assume the downtrend was resuming. Instead, we checked the RSI on the hourly chart and saw that it maintained support above 40 and didn't drop below 30. This confirmed that the pullback was just a natural reaction at resistance, not a return to bearish momentum.

By using this multi-timeframe approach – starting with the daily chart to spot the divergence, then zooming into the hourly chart to confirm the momentum shift, and finally watching how both timeframes aligned to show strength – we were able to determine with confidence that the trend had truly transitioned from down to up. This wasn't guesswork or luck; it was systematic analysis that gave us clear, actionable signals at each step of the reversal process.

This is exactly how professional traders navigate trend changes and avoid getting caught on the wrong side of the market.

Validating Reversals with Multitimeframe Analysis

Positive Reversal & Multitimeframe Analysis

Before we move forward, let's quickly refresh our understanding of positive reversals, as they play an important role in identifying trend continuation opportunities. We already know that during uptrends, positive reversals occur and they indicate that the uptrend is likely to continue rather than reverse.

So what exactly is a positive reversal? It occurs when the price is creating higher lows – showing that buyers are stepping in at progressively higher levels and defending the uptrend. However, at the same time, the RSI is creating a lower low within the bullish zone of 80-40. This might sound contradictory at first, but it actually makes perfect sense. Basically, the RSI is relaxing and cooling off from overbought conditions, while the price structure remains strong and continues making higher lows.

This divergence between price and RSI during an uptrend is different from a bearish divergence that signals weakness. Instead, a positive reversal is healthy – it shows that the momentum is taking a breather without the price structure breaking down. The uptrend remains intact because buyers are still supporting higher price levels.

Now, here's something important we've discussed before: the first reference point of a positive reversal on the price chart acts as a very strong pivot level. This is the initial higher low that the price creates when the positive reversal forms. This level becomes critical because it can be used to determine whether the positive reversal will remain valid or if it's going to fail.

If the price holds above this first reference point during subsequent pullbacks, the positive reversal stays valid and the uptrend continues. However, if the price breaks below this reference point, it signals that the positive reversal has failed and the trend might be losing its strength.

But here's where things get even more interesting: we don't have to wait for the price to break that reference point to know whether the positive reversal is valid or not. We can determine the validity of the positive reversal much earlier by using multi-timeframe analysis. By zooming into lower timeframes like the hourly chart and examining how the RSI and price are behaving, we can get early warning signals about whether the positive reversal has genuine strength behind it or if it's likely to fail. This gives us a significant advantage in our trading decisions, allowing us to act before the obvious signals appear on the daily chart.

Looking at the chart above, we can see that the uptrend is progressing nicely, with the price moving higher over time. As the trend develops, a positive reversal appears on the chart – the price is making a higher low while the RSI is making a lower low within the bullish zone. This is our signal that the trend might be preparing to continue after this momentum relaxation.

Now, pay close attention to the point marked “a” on the chart. This point is extremely important because it represents a critical pivot level. Point “a” is where the higher low was created on the price chart – it’s the exact point that initiated the formation of this positive reversal pattern. Because of its role in creating the positive reversal, this level will act as an important support going forward.

Think of point “a” as the foundation of this positive reversal. As long as the price holds above this level, the positive reversal remains valid and the uptrend structure stays intact. If the price were to break below point “a,” it would invalidate the positive reversal pattern and signal that something might be going wrong with the uptrend.

But here’s the question we need to answer: will this positive reversal successfully push the price up and allow the trend to continue, or will it fail and lead to a deeper correction or even a trend change? We don’t want to simply wait and hope – we want to find early clues that help us make an informed decision.

To determine whether this positive reversal has the strength to push prices higher and continue the trend, we're going to apply our multi-timeframe analysis approach once again. We will switch to a lower timeframe – the hourly chart – to examine the price action and RSI behavior in detail. The hourly chart will give us that zoomed-in view we need to see how buyers and sellers are behaving at this positive reversal formation, helping us assess whether this is likely to be a successful continuation pattern or a failed one.

Now, let's understand what needs to happen for this positive reversal to complete successfully. To create a higher low at point "b" – which would confirm the positive reversal pattern and validate the continuation of the uptrend – the price will have to retrace from the recent high. This retracement is a natural and necessary part of the pattern formation.

Here's the critical insight: this retracement will hold the key to understanding whether the positive reversal is genuine or not, and we can find these clues on the lower timeframe – the hourly timeframe. The hourly chart will show us the quality and character of this retracement. Is it a healthy, controlled pullback with buyers still lurking beneath the surface? Or is it a weak, momentum-breaking decline that signals trouble ahead?

In the chart below, we can see that the price has indeed retraced from its recent high and is forming what could become the higher low at point "b." This is the moment of truth for the positive reversal pattern. The retracement is happening, and now we need to carefully analyze how both the price and RSI are behaving during this pullback on the hourly timeframe.

This is where our multi-timeframe analysis becomes invaluable. By examining the hourly chart during this retracement, we can see early warning signals about whether point “b” will hold as a strong higher low that propels the trend forward, or whether it will break down and take the price below point “a,” invalidating the entire positive reversal setup.

Now, let’s apply the overbought and oversold concept that we’ve been using throughout our analysis to this positive reversal scenario. This will help us determine whether the retracement forming point “b” is healthy or problematic.

Here’s what we need to watch carefully: the retracement created on the price chart to form point “b” should not be deep enough to drag the RSI into oversold levels below 30 on the hourly timeframe. If the RSI stays above 30 during this pullback and finds support around the 40 level – maintaining that bullish zone we discussed – it indicates that the retracement is shallow and controlled. This would be a sign of strength, showing that buyers are still in control and are simply allowing the market to take a healthy breather before the next leg up.

However, markets don’t always behave perfectly, and sometimes retracements can be sharper than expected. So what happens if the RSI does drop below 30 and gets oversold during this retracement? Does that automatically mean the positive reversal has failed? Not necessarily, but here’s what must happen for the positive reversal to remain valid:

If the RSI does slip into oversold territory below 30 during the pullback, the recovery that takes place afterward becomes absolutely critical. The bounce from point “b” must be strong enough to take the RSI back to overbought levels above 70 on the hourly chart. This recovery above 70 would confirm that the momentum is intact on the lower timeframe despite the temporary weakness.

Why does this matter? Because when we see the RSI reclaim overbought territory above 70 on the hourly chart after a pullback, it proves that buyers are still firmly in control. It shows that any dip into oversold conditions was just temporary and that the underlying bullish momentum hasn’t been damaged. This strength on the hourly timeframe, in turn, ensures that the trend remains intact on the higher daily timeframe.

Think of it this way: the hourly chart is like an early warning system. If the hourly RSI maintains the bullish zone (80-40) or quickly recovers back above 70 after any dip, it confirms that the daily chart’s uptrend structure is solid. The positive reversal is working as intended, and the trend continuation is likely. But if the hourly RSI gets oversold and fails to recover above 70, it’s a red flag that the positive reversal might be failing and the uptrend could be in trouble.

Now, take a close look at the chart above and see what actually happened. This is the moment where our multi-timeframe analysis pays off and confirms our expectations.

The RSI moved above the 70 zone and got overbought on the hourly timeframe! This is exactly the confirmation we were waiting for. After the retracement to form point "B," the RSI didn't stay weak or struggle in the neutral zone. Instead, it pushed decisively back into overbought territory, demonstrating strong buying momentum.

This behavior indicates that the momentum on the lower timeframe – the hourly chart – was intact and remains healthy. The buyers stepped in during the retracement and pushed the market back up with enough force to drive the RSI above 70. This is a clear sign of strength, not weakness.

Now, here's what this means for the bigger picture: the positive reversal that we noticed on the daily timeframe is valid. It's not a false signal or a failed pattern. The multi-timeframe analysis has confirmed that this positive reversal has genuine strength behind it and will push the price up as expected.

With this confirmation in place, we can now anticipate that the trend should continue moving upward. The uptrend will remain intact and should keep progressing as long as the price continues to create higher tops and higher bottom formations. Each new swing should be higher than the previous one, maintaining that classic uptrend structure we look for.

This is the beauty of combining positive reversal analysis with multi-timeframe RSI behavior. We don't have to wait until the price has already made its next major move to know the trend is continuing. The hourly RSI gives us that early confirmation, allowing us to stay confidently positioned in the trend while others might be uncertain or getting shaken out during the retracement.

As long as the price keeps making higher highs and higher lows, and the RSI continues to maintain its bullish character on both timeframes, this uptrend has room to run. We'll continue monitoring for any signs of breakdown, but for now, all signals point to trend continuation.

Now that we've seen how a successful positive reversal works and how to confirm it using multi-timeframe analysis, let's look at the opposite scenario. It's equally important to understand what happens when a positive reversal fails and the trend actually reverses. This knowledge will help you avoid staying in trades that are about to turn against you.

We will apply the same multi-timeframe analysis concept here to identify the early warning signs of failure.

Looking at the chart above, we can see that the trend was moving up nicely, progressing through several successful swings. As the uptrend developed, there was a formation of a positive reversal pattern – the price created a higher low while the RSI made a lower low within the bullish zone.

Just like in our previous example, point "a" on the chart represents a critical level. This is where the initial higher low was formed, making it an important pivot point for positive reversal validation. As we discussed before, point "a" acts as the foundation of this positive reversal pattern. If the price holds above this level, the positive reversal should remain valid. But if something goes wrong and the price breaks below point "a," it would signal that the positive reversal has failed.

But we don't want to wait until the price breaks point "a" to know there's trouble. We want to spot the warning signs much earlier so we can protect ourselves or even position for the reversal. This is where the power of multi-timeframe analysis comes in.

Let's move to the hourly chart and examine what the price action and RSI have to say there. The hourly timeframe will reveal the quality of the momentum during the retracement and show us whether this positive reversal has genuine strength or if it's already showing signs of weakness that could lead to failure and a potential trend reversal.

Take a look at the hourly chart above, and the very first glance reveals that there is a problem developing. Can you spot what's wrong? The RSI has dropped below 30 – that is, it has gotten oversold on the hourly timeframe.

This instantly gives us a crucial understanding: this positive reversal is weak inherently! Unlike the successful positive reversal we examined earlier, where the RSI maintained the bullish zone and stayed above 30 during the retracement, here the RSI has been pushed deep into oversold territory. This is an early warning signal that something is not right with the momentum structure.

Remember, in a healthy uptrend with a valid positive reversal, the retracement should be shallow enough to keep the RSI above 30, or at worst, it should dip briefly below 30 and then quickly recover. But when we see the RSI getting pushed into oversold zones during what should be a minor, controlled pullback in an uptrend, it tells us that sellers are exerting more pressure than they should be. The buyers are not defending the trend with the strength we'd expect to see.

Now, here's what we need to watch going forward: we have two critical confirmation points that will tell us whether this positive reversal has failed completely.

First, if point "a" – that important pivot level we identified on the daily chart – gets broken and the price falls below it, that's a major red flag. It means the higher low structure that defines the positive reversal has been violated.

Second, and equally important, we need to see if the RSI can recover and reclaim overbought territory above 70 on the hourly chart. If the RSI fails to move above 70 after becoming oversold, it confirms that the buying momentum is truly broken and buyers cannot regain control.

If both these conditions occur – point “a” is broken and the RSI fails to reclaim overbought territory – we can confidently assume that the positive reversal has failed. This failure indicates that the trend may not continue upward from here. In fact, it could signal that a trend reversal is underway, shifting from bullish to bearish. This early detection through multi-timeframe analysis gives us the opportunity to exit positions or prepare for the potential downtrend before the majority of traders realize what’s happening.

Looking carefully at the chart above, we can notice that the price is indeed trying to pull back and bounce as it approaches a support level. This makes sense – support levels typically attract buyers who see value at lower prices. The price is attempting to recover, which might give false hope to traders who are expecting the uptrend to resume.

However, here’s the critical problem: the pullback is simply not strong enough to push the RSI into the 70 zone on the hourly timeframe. This lack of momentum strength is extremely telling. In a healthy uptrend with a valid positive reversal, any bounce from support should be accompanied by the RSI surging back into overbought territory. But that's not what we're seeing here.

In fact, the situation is even more concerning when we look closer. Two pullback attempts were made by the price. On both occasions, the price tried to recover and move higher, but both attempts were characterized by weak momentum. The RSI struggled significantly during both of these bounces and couldn't even get close to overbought zones above 70. It's like watching someone try to climb a hill but running out of energy halfway up – twice in a row.

This repeated failure to generate strong momentum on the bounces confirms what the oversold RSI already warned us about: the buyers have lost control, and they don't have the strength to defend the uptrend anymore. The momentum is broken.

And then, as we feared, the inevitable happened – point "a" broke. The price fell below that critical pivot level that was supposed to validate the positive reversal. This breakdown was the final confirmation that the positive reversal had failed and the trend is changing direction.

This is a perfect example of how weakness on the lower timeframe ultimately spills onto the higher timeframe. We saw the warning signs first on the hourly chart – the RSI getting oversold, the weak bounces failing to reach 70, and the lack of genuine buying momentum. This hourly weakness didn't stay contained; it eventually manifested on the daily chart as the breakdown of point "a" and the failure of the entire uptrend structure.

By using multi-timeframe analysis, we could see this trend change developing before it became obvious on the daily chart. This early detection is invaluable because it allows traders to exit positions, avoid losses, or even position for the new downtrend well ahead of those who only watch the daily timeframe.

Now, take a comprehensive look at the chart above and notice the complete picture of how this trend reversal unfolded. Pay close attention to all the pullback attempts that occurred as the price was declining. Each time the price tried to bounce and recover, these attempts were characterized by low momentum – and this weakness was clearly shown in the RSI behavior.

During every single pullback attempt, the RSI was failing to move above 70 and get overbought on the hourly timeframe. This consistent failure across multiple bounces was not just a coincidence – it was the market telling us loud and clear that buyers had lost control and couldn't generate the strength needed to reverse the decline. Each weak bounce was just a temporary pause in the selling pressure, not a genuine recovery.

As a result of this persistent momentum weakness, the trend kept falling and creating the classic structure of a downtrend – lower tops and lower bottoms. Each swing high was lower than the previous one, and each swing low broke below the previous support. This is the signature pattern of a bearish trend firmly in control.

What's powerful here is how the hourly RSI gave us advance warning at every step. We didn't have to wait for the daily chart to confirm the full breakdown. The hourly timeframe was consistently showing us that momentum was broken through its inability to reach overbought levels, giving us early signals that each bounce would fail.

This is the true value of multiple timeframe analysis – it helps to increase the signal efficiency to a great extent! By combining what we see on the daily chart with the detailed momentum analysis on the hourly chart, we get a much clearer, earlier, and more reliable picture of what's really happening in the market. We can identify trend continuations with confidence and spot trend reversals before they fully develop. This approach transforms us from reactive traders who only respond after trends have changed, into proactive traders who can anticipate and position for changes as they're developing.

Multiple timeframe analysis is not just a technique – it's a complete edge that separates informed traders from those who are constantly surprised by market movements.

Now, let's quickly run through negative reversal cases as well to complete our understanding of how reversals work across all market conditions. Negative reversals occur during downtrends and signal potential trend continuation to the downside, just as positive reversals signal uptrend continuation.

Looking at the chart below, we can see a clear downtrend where prices are making lower lows and keep descending downward. This is the classic structure of a bearish trend – each swing is lower than the previous one, with selling pressure dominating the market.

As this downtrend progresses, we notice something important: the RSI creates a higher high while the price created a lower high. This divergence between price and RSI is what we call a negative reversal. It's the bearish equivalent of the positive reversal we studied during uptrends.

What does this negative reversal tell us? Essentially, even though the price is still making lower highs and the downtrend structure remains intact, the RSI is showing a higher high. This means the RSI is relaxing and bouncing within the bearish zone (typically 60-20), while the price structure continues to show weakness. This is actually healthy for a downtrend – it allows the momentum to reset without breaking the bearish price structure.

But here's the key question we need to answer: whether this negative reversal will be successful and the price will keep descending down, or whether it will fail and lead to a trend reversal to the upside. Just like we did with positive reversals, we don't want to simply assume the outcome. Instead, we need to analyze what's happening beneath the surface.

This is where we turn once again to our multi-timeframe analysis. By switching to the hourly timeframe, we can examine the quality and character of the momentum during this negative reversal formation. The hourly chart will reveal whether the downtrend still has the strength to continue or if buyers are starting to gain control, potentially invalidating the negative reversal and reversing the trend.

So how do we determine whether this negative reversal will successfully continue the downtrend or fail? The answer lies in examining the RSI behavior on the hourly timeframe, just as we did with positive reversals.

Here's what we need to watch: if the RSI on the hourly chart fails to get overbought and cannot push above the 70 level during bounces, it's a sign that buyers are weak and unable to mount meaningful rallies. More importantly, if the RSI fails to hold the bullish zone of 80-40 and keeps getting oversold below 30 repeatedly, it will indicate that the downtrend momentum remains firmly in control.

Think about what this means: during any price bounces or relief rallies in the downtrend, a healthy recovery would push the RSI into overbought territory and establish a bullish range. But if the RSI can't even reach 70 and instead keeps falling back into oversold zones below 30, it tells us that sellers are dominating every bounce attempt. The buyers try to step in during pullbacks, but they simply don't have enough strength to change the momentum character from bearish to bullish.

When we see this pattern – the RSI consistently getting oversold during declines and failing to get overbought during bounces – it confirms that the negative reversal is valid and this downtrend will continue. The trend down will keep progressing with lower lows and lower highs as long as this momentum weakness persists on the hourly chart.

In the chart above, we have marked the negative reversal swings on the price, referring to the daily chart where we initially identified the pattern. Now we'll examine how the hourly chart RSI behaves during and after these negative reversal swings to determine whether the downtrend has the strength to continue its descent.

Now, notice carefully on the chart above how the RSI behaves during each pullback attempt in this downtrend. This pattern is extremely revealing and confirms the strength of the bearish momentum.

On each pullback – every time the price tries to bounce and recover – the RSI hits the 70 zone and immediately turns back down. It can't break through or sustain itself in overbought territory. Instead, it reaches that 70 ceiling, gets rejected, and then falls back down, eventually getting into oversold levels below 30 again as the next leg of decline begins.

This consistent pattern shows us that 70 has become a resistance level for the RSI itself on the hourly timeframe. Buyers attempt rallies, pushing the RSI up toward 70, but they simply don't have enough strength to push it into truly overbought territory or establish a bullish momentum structure. Each time they try, sellers step back in aggressively and push both the price and RSI back down.

Meanwhile, the price keeps creating lower lows and keeps moving down, maintaining that classic downtrend structure. Each decline pushes the price to new lows, and the RSI accompanies this by repeatedly getting oversold, confirming that selling pressure remains dominant.

Here's the key takeaway: as long as this RSI relationship does not change on the lower timeframe – meaning the RSI continues to get rejected at or below 70 during bounces and keeps falling into oversold territory during declines – we can confidently expect the trend to keep moving down. The negative reversal is working as intended, the downtrend momentum is intact, and there's no sign of buyers regaining control.

This is the power of monitoring the hourly RSI during a negative reversal. It gives us ongoing confirmation that the downtrend has legs and will continue, allowing us to stay positioned correctly or avoid trying to catch a falling knife by buying too early.

Now that we've seen how a successful negative reversal works to continue a downtrend, let's examine the opposite scenario. It's equally important to understand what happens when a negative reversal fails and the downtrend is about to reverse into an uptrend. This knowledge is crucial for traders looking to catch the bottom of a declining market or to exit short positions before the trend turns against them.

We will determine whether the negative reversal is failing by using multiple timeframe analysis, just as we've done throughout this guide. The beauty of this approach is that it allows us to identify the failure early – before it becomes obvious on the daily chart and before the majority of traders realize what's happening. This early detection gives us time to get ready, whether that means exiting bearish positions, preparing to enter long positions, or simply protecting our capital.

By examining the hourly timeframe in detail while keeping an eye on the daily chart structure, we can spot the warning signs that buyers are regaining control and that the negative reversal is losing its validity. These early signals will help us avoid staying in a downtrend that's about to reverse, giving us a significant advantage in our trading decisions.

Let's dive into this case study and see what warning signs appear when a negative reversal is about to fail.

Looking at the chart above, we can clearly see a downtrend in progress where prices are descending downward, forming the classic pattern of lower highs and lower lows. The selling pressure has been dominant, with each swing taking the price to new lows as the bearish trend maintains its grip on the market.

As this downtrend develops, we identify and mark a negative reversal pattern. We can see the reference points "a" and "b" marked on both the price chart and the RSI indicator. Let's understand what's happening at these points.

At these reference points, the price makes a lower high – continuing its downtrend structure where each peak is lower than the previous one. However, when we look at the RSI at the same time, we notice something different: the RSI created a higher high at point "b" compared to point "a"

This divergence between the price action and the RSI is what forms the negative reversal pattern. The price is still behaving bearishly by making lower highs, but the RSI is showing a higher high, indicating that it's relaxing within the bearish zone. This is typically a sign that the downtrend is healthy and ready to continue after this momentum reset.

But now comes the important question: will this negative reversal successfully push the price down and continue the downtrend, or will it fail and lead to a trend reversal? To answer this, we need to examine what's happening on the lower timeframe – the hourly chart

– where we can see the early warning signs of whether this pattern will hold or break.

On the hourly chart, we need to carefully observe the momentum behavior to determine whether this negative reversal will hold or fail. Here's what we're looking for: if the pullback has strong momentum, then the RSI on the hourly chart will get overbought, pushing above 70. More importantly, it will fail to drop back into oversold zones below 30 during subsequent corrections.

This shift in RSI behavior is critical because it indicates that the momentum has started building on the lower timeframe in favor of the buyers. When we see this happening, we know that this strength won't stay confined to the hourly chart – it will soon spill over to the higher timeframe, the daily chart, potentially reversing the entire downtrend.

Now, refer to the chart above and let's see how this scenario actually played out. The negative reversal ultimately fails at point "a" How do we know it failed? Because the price breaks above point "a" and starts to trade above it. Once the price clears this reference point, the lower high structure that defined the negative reversal is broken, and the pattern is invalidated.

However – and this is the crucial part – we didn't have to wait for the price to break point "a" to know this negative reversal was in trouble. The hourly RSI gave us early warning signals well before the obvious breakdown occurred.

Notice that the pullback had already pushed the RSI above 70 on the hourly chart, which indicates strong momentum building in favor of the buyers. This is the opposite of what we want to see in a continuing downtrend, where bounces should be weak and the RSI should struggle to even reach 70.

Even more telling, after the RSI got overbought above 70, the subsequent pullback halted near the RSI 50 level. It didn't get into oversold zones below 30 anymore. This is a dramatic change in character from what we saw in the successful negative reversal, where the RSI kept getting oversold repeatedly.

These RSI behaviors on the hourly chart were providing us with early clues that the trend may change and the negative reversal may fail – all before point "a" was actually broken on the price chart. By watching the hourly momentum closely, we could prepare for the potential trend reversal while others who only watched the daily chart were still unaware of the shift taking place.

This is the power of multi-timeframe analysis: it gives you advance notice of trend changes, allowing you to act before the obvious signals appear.

Take a look at the chart above and observe how the trend has completely transformed. The downtrend has ended, and now the trend starts to move up, creating higher tops and higher bottoms – the signature pattern of an emerging uptrend. Most significantly, the price breaks above point "a" as well, confirming that the negative reversal has completely failed and a new bullish trend is now underway.

But here's what makes this particularly interesting from a momentum perspective: notice how each higher high that the price creates takes the RSI into overbought zones above 70 on the hourly chart. This shows that buyers are stepping in with strong conviction during each rally, pushing the momentum decisively into bullish territory.

Equally important, notice what happens during pullbacks. Each pullback or correction halts well above the 30 level on the RSI, without getting into oversold zones. The RSI is finding support around the 40-50 area during these corrections, which is exactly the behavior we associate with a healthy, strong uptrend. This is the complete opposite of what we saw during the downtrend, when the RSI kept getting oversold repeatedly.

This behavior clearly indicates that the trend is very strong and has fully transitioned from bearish to bullish. The hourly chart is showing us a robust momentum structure that supports continued upward movement.

Now, here's the crucial connection: this strength that started showing up on the hourly timeframe has already started showing its effect on the daily chart as well. Refer to the chart below, and you'll see how the daily chart has also transitioned into an uptrend structure, confirming what the hourly chart was already telling us earlier.

Chapter 9

MULTI-TIMEFRAME MOMENTUM MONITOR SYSTEM

This is the perfect example of why multi-timeframe analysis is so powerful. It always helps to determine the validity of the signals that have formed on the higher timeframe – in this case, whether the negative reversal on the daily chart would hold or fail. More importantly, it helps us understand trend clues early, often days or even weeks before the trend change becomes obvious on the daily chart alone.

By combining the detailed momentum analysis on the hourly chart with the structural patterns on the daily chart, we gain a complete picture of market dynamics and can make informed decisions with confidence and timing that others simply cannot match.

Now, let's discuss another powerful concept using RSI on multiple timeframes. I call this the Momentum Monitor System. This is a practical trading approach that builds on everything we've learned so far and takes it to the next level by creating a systematic timing method for our trades.

We have already seen throughout our previous discussions that strong price advances take place when the RSI is in the bullish range or keeps getting overbought above 70. The price climbs higher with conviction when the momentum structure supports it. Similarly, we've observed that strong downward moves occur when the RSI is in the bearish range, repeatedly getting oversold as selling pressure dominates.

These observations are valuable, but we can take this knowledge further. We can fine-tune this understanding and create a precise timing method for our trading that significantly improves our entry and exit points.

Here's how the Momentum Monitor System works: we analyze the momentum strength on various higher timeframes – such as the monthly and weekly charts. These higher timeframes give us the big picture view of where the dominant momentum lies. They tell us whether we should be looking for buying opportunities or selling opportunities based on the larger trend.

Once we've identified the momentum direction on these higher timeframes, we then shift our focus to timing our actual entries on the daily timeframe. We wait for the daily chart to confirm that the bullish range is being maintained – meaning the RSI is staying above key levels and getting overbought during rallies while finding support at higher levels during pullbacks.

This top-down approach – from monthly to weekly to daily – ensures that we're trading in alignment with the strongest momentum flows in the market. We're not fighting against the bigger trend; instead, we're timing our entries to catch moves that have the wind of higher timeframe momentum at their backs. This dramatically increases the probability of our trades working out successfully.

Have a look at the chart above of NVIDIA (NVDA). This is a perfect real-world example that demonstrates the power of monitoring RSI on higher timeframes. I have highlighted the specific area on the price chart where the RSI was above 70 on the monthly chart. This is a crucial observation, so let’s examine what happened during this period.

What do we notice? Strength! Tremendous, undeniable strength! When the RSI stayed above 70 on the monthly timeframe, the price action was extremely strong and powerful. This wasn’t just a normal uptrend – it was a robust bull run characterized by consistent, forceful buying pressure.

During this highlighted period, the price was scaling new highs repeatedly, breaking through resistance levels with ease. Each month brought new all-time highs as the stock continued its relentless climb. And this wasn’t happening on weak or questionable volume – the price was advancing with strong volumes, confirming that real institutional money and serious buying conviction were behind these moves.

This is what happens when the RSI on a monthly chart stays above 70. It signals that the momentum on the largest timeframe is overwhelmingly bullish. When you see this kind of monthly momentum strength, it tells you that the stock is in a powerful bull phase where dips are buying opportunities and the path of least resistance is clearly upward.

This is why the Momentum Monitor System is so valuable. By identifying when the RSI is above 70 on the monthly chart, we know we’re in an environment where strong upward moves are highly likely. We’re not guessing or hoping – we’re observing a clear momentum signal that has a proven track record of accompanying major price advances.

Now, with the same highlighting and markings applied, I've switched the chart to the weekly timeframe. Notice that I've also added a 10-week EMA (Exponential Moving Average) to this chart. This addition is strategic and serves a specific purpose in our Momentum Monitor System.

Here's the question we need to ask: can a dip to the 10-week EMA be applied as a timing tool for our trades? The answer is a resounding yes, and let me explain why this works so effectively.

As we already know from looking at the monthly chart, we have the monthly RSI above 70, which indicates strong momentum on the largest timeframe. This tells us that the dominant trend is powerfully bullish and that any pullbacks are likely to be temporary rather than the start of a major reversal. We're in a "buy the dip" environment based on the monthly momentum reading.

Now, when prices retrace to a support level on the weekly chart – and here we're using the 10-week EMA as our support reference – it creates an excellent opportunity to time our entries. Think about what's happening: the monthly momentum is strongly bullish (RSI above 70), but the price has pulled back to a logical support level on the weekly timeframe (the 10-week EMA). This pullback gives us a lower-risk entry point rather than chasing the price at highs.

This combination is powerful because we're aligning multiple factors in our favor. The higher timeframe (monthly) confirms the strong momentum and trend direction. The intermediate timeframe (weekly) provides us with a specific, objective support level where we can time our entry. We're not randomly buying – we're buying at a support level within a confirmed strong uptrend.

This is the essence of the Momentum Monitor System: use the higher timeframe to identify momentum strength, then use lower timeframes to find precise, lower-risk entry points when the price pulls back to key support levels.

To make our analysis clearer and easier to follow, I've organized the different periods when the RSI was above 70 on the monthly chart into distinct phases. For the identification of each phase when the RSI was above 70 on the monthly chart, I have named them as Sphere 1, Sphere 2, and Sphere 3.

Each sphere represents a separate period of strong monthly momentum where the RSI climbed above 70 and stayed there for an extended time.

Now, let's analyze each sphere by zooming into the daily chart to see how we can actually time our entries. To keep things simple and practical, I have applied three EMAs on the daily chart: the 10 EMA, 20 EMA, and 50 EMA. These moving averages will serve as our support and timing reference points.

Let's start by looking at the movement in Sphere 1. Remember, we already know from our monthly chart analysis that the momentum during this period is strong – the monthly RSI is above 70. This is the foundation of our entire approach. With this strong monthly momentum confirmed, our mindset should be clear: any pullback on the lower timeframe charts should be utilized as a trading opportunity to buy the dip.

Here's the key insight: during periods of strong monthly momentum, declines are temporary and provide better entry points rather than being signals to stay away. So any dip to the EMAs on the daily chart can be utilized to time our entry into the stock. When the price pulls back and touches the 10 EMA, 20 EMA, or 50 EMA, it creates a specific, actionable moment to consider entering a position.

Now, of course, we need to seek more confirmation beyond just the EMA touch – things like price action behavior at the EMA, volume patterns, and perhaps RSI behavior on the daily chart itself. But the core principle here is timing. The EMAs give us objective, clear levels where we watch for entries rather than randomly buying or chasing the price at highs.

During Sphere 1, with the monthly momentum strongly bullish, dips to these EMAs on the daily chart should be viewed as opportunities, not threats. This is the mental shift that the Momentum Monitor System creates – it gives you confidence to buy pullbacks because you know the larger momentum structure supports higher prices.

Now, in the chart above, I want you to pause for a moment and really study Sphere 2 carefully. This is where the learning becomes interactive and practical. I want you to put on your trader's hat and run your brain through this sphere as if you were trading it in real time.

Ask yourself: how would I approach this sphere? What timing tools or strategies would I apply to capture the opportunities during this period of strong monthly momentum?

This is your chance to experiment and think critically. Try running through your charts and apply different technical tools that you're comfortable with. Maybe you prefer using trendlines to identify support and resistance. Perhaps you like working with pivot points to find key price levels. Or maybe Fibonacci retracements speak to you and help you identify potential reversal zones. Apply whatever technical analysis methods you feel suit your trading style and personality.

The goal here is not to find the "perfect" answer, but to engage actively with the chart and figure out the results for yourself. When you analyze Sphere 2 using your preferred methods, what patterns do you notice? Where would the timing signals have appeared? How many quality entry opportunities can you identify?

By doing this exercise yourself, you'll develop a deeper understanding of how the Momentum Monitor System works in practice. You'll see how combining the strong monthly momentum (RSI above 70) with your own timing tools on lower timeframes creates a powerful framework for identifying high-probability trade setups.

Take some time with this. The insights you gain from your own analysis will be far more valuable than anything I simply tell you.

Similarly, just like we analyzed Sphere 1 using the moving averages as our timing tool, the third sphere can be analyzed using the exact same approach! The beauty of the Momentum Monitor System is that it works consistently across different time periods when the core condition is met – strong monthly momentum with RSI above 70.

Look at Sphere 3 carefully and notice how beautifully entries could have been timed when the price moved down to the moving averages during pullbacks. Each time the price retraced and touched the 10 EMA, 20 EMA, or 50 EMA, it presented a clear, objective opportunity to enter the trade at a support level rather than chasing the price higher.

These weren't random dips or scary selloffs that you should have feared. Instead, with the knowledge that the monthly RSI was above 70 – confirming powerful underlying momentum – these pullbacks to the moving averages were gift-wrapped buying opportunities. The price would touch the EMA, find support, and then resume its upward movement, rewarding those who had the confidence to buy the dip.

What makes this particularly powerful is the repeatability of the pattern. Across Sphere 1 and Sphere 3, we can see the same behavior: strong monthly momentum creates an environment where dips to daily EMAs become high-probability entry points. This isn't a one-time lucky observation – it's a systematic pattern that traders can build a strategy around.

By identifying when the monthly RSI is above 70 and then patiently waiting for pullbacks to key moving averages on the daily chart, you create a disciplined, objective approach to timing your entries during strong trending markets. This removes the emotion and guesswork, replacing it with a clear, rule-based method.

Just for your information and to put the power of this Momentum Monitor System into perspective, let me share the actual returns that were generated during each sphere from the point where the RSI went above 60 on the monthly chart:

Sphere I: 85% gain **Sphere II**: 200% gain

Sphere III: 70% gain

These are not hypothetical or cherry-picked numbers – these are the actual percentage moves that occurred in NVIDIA stock during these periods of strong monthly momentum. Let those numbers sink in for a moment.

When the monthly RSI climbed above 60 and then stayed above 70, signaling powerful momentum, the stock delivered gains ranging from 70% to an incredible 200% during these spheres. And remember, these gains weren't achieved by perfectly timing the absolute bottom or holding through extreme volatility with white knuckles.

Instead, by using the Momentum Monitor System – identifying strong monthly momentum and then timing entries on pullbacks to daily EMAs – traders could have participated in these substantial moves with far less stress and much better entry points. Each dip to the moving averages during these spheres offered opportunities to enter or add to positions within trends that ultimately delivered these exceptional returns.

This is the real-world validation of why monitoring momentum across multiple timeframes matters. It's not just theory or interesting chart patterns – it's a systematic approach that, when applied during periods of genuine strong momentum, can capture significant market moves with better timing and lower risk than simply buying and holding or trying to guess market direction without a framework.

Just to add important context to this study and bring to your attention why technical analysis is one of the most beautiful and interconnected studies in trading – look at how nicely this Momentum Monitor System concept finds its place with Elliott Wave Theory.

If you're familiar with Elliott Waves, you'll notice something remarkable here: the spheres we've identified coincide beautifully with Elliott Waves I, III, and V. Wave I represents the initial strong impulse move, Wave III is typically the longest and most powerful wave, and Wave V is the final push in the upward direction. These are the momentum waves – the waves where the trend moves with the greatest force and conviction.

Though the wave structure is simplified in the above example for clarity, and we're not getting into all the complexities of Elliott Wave counting, nonetheless it matches the Elliott Wave principle very well. The periods when the monthly RSI stays above 70 align almost perfectly with these powerful impulse waves.

This is not a coincidence. It's a validation of how different technical analysis methods often point to the same market truths from different angles. Elliott Wave Theory tells us that certain waves carry strong momentum. The RSI Momentum Monitor System tells us the same thing but uses momentum indicators instead of wave counting. Both approaches are identifying the same underlying reality – periods when the market is in a powerful trending phase.

This beautiful convergence shows that technical analysis, when understood deeply, is not a collection of random disconnected tools. Instead, it's an integrated system where different methods complement and confirm each other. Whether you're using Elliott Waves, RSI momentum analysis, moving averages, or other tools, they're all reading the same market language – just in different dialects.

This interconnection is what makes technical analysis so powerful and, frankly, so beautiful to study and apply.

Now, let's apply the same Momentum Monitor System concept when trying to gauge weakness – that is, when a security is in an extreme downtrend. Just as we used monthly RSI above 70 to identify powerful uptrends, we should theoretically look for the monthly RSI to fall below 30 to identify extreme bearish momentum.

However, here's where real-world observation becomes more valuable than textbook theory. My observation from studying numerous charts is that only in a few rare cases does the monthly RSI actually move below 30. This makes sense when you think about it – the monthly timeframe holds significant weight and represents a massive amount of price action condensed into each candle.

Getting below 30 on the monthly timeframe would require such extreme, sustained selling pressure that it would blow the price down to extremely low levels. In most cases, this simply doesn't seem feasible or doesn't occur before some recovery takes place. The security would have to be in complete collapse mode for the monthly RSI to reach traditional oversold levels below 30.

So, for identifying monthly oversold levels and extreme weakness, we need to adjust our threshold. Instead of waiting for the RSI to drop below 30, we should consider levels around 40 on the monthly chart as our signal for extreme bearish momentum. When the monthly RSI falls to 40 or below, it's already indicating serious weakness that creates opportunities for timing short trades or avoiding long positions.

Similarly, on the bullish side, to catch bigger moves on the advance without missing too much of the move, the RSI levels can be shifted to 60 from 70 as our entry threshold. Why? Because monthly charts are heavier and move more slowly. If we wait for the monthly RSI to climb all the way above 70 before we start looking for entries, we may have already missed a significant portion of the advance.

By adjusting to a 60 threshold on the upside and 40 on the downside for monthly momentum, we create a more practical and responsive system that captures major moves earlier without sacrificing the core principle of trading in alignment with strong monthly momentum. This adjustment acknowledges the reality of how monthly timeframes actually behave in the markets.

In the chart above, I have marked the specific areas where the RSI fell below the 40 level on the monthly chart. These highlighted zones represent periods of extreme weakness and bearish momentum on the highest timeframe we're analyzing.

Now, take a close look at what's happening in these marked areas. We can clearly see that the trend is already down and moving lower with sustained selling pressure. But here's the important observation: by the time the monthly RSI falls below 40, the stock has already corrected more than 60% from its previous highs.

This is a crucial insight that validates our earlier discussion about adjusting the threshold to 40 instead of waiting for 30. When the monthly RSI reaches these extreme oversold levels below 40, it confirms that a substantial decline has already occurred. The damage is significant, the trend is clearly bearish, and the momentum is weighted heavily to the downside.

What does this mean for traders? If you're looking to short or trade from the bearish side, identifying when the monthly RSI drops below 40 gives you confirmation that you're in an environment of genuine, sustained weakness. Any rallies or bounces during these periods should be viewed with skepticism – they're likely temporary relief rallies within a powerful downtrend rather than the start of a new uptrend.

Just as we used monthly RSI above 60-70 to identify opportunities to buy dips during strong uptrends, we can use monthly RSI below 40 to identify opportunities to sell rallies or short bounces during strong downtrends. The principle is the same, just applied in the opposite direction.

In the chart above, you can clearly notice the relationship between the monthly RSI being below 40 and how the price behaves on the weekly timeframe. This connection is important and reveals a powerful principle about multi-timeframe momentum.

Look at how the price action unfolds on the weekly chart during these periods of monthly weakness. The price takes consistent resistance at the 10-period moving average and pushes down repeatedly. Each time the price attempts to rally and bounce back, it runs into the 10-week EMA like hitting a brick wall, and then resumes its decline.

This is the bearish mirror image of what we saw during the bullish spheres. During strong monthly momentum (RSI above 60-70), the 10-week EMA acted as support that held during pullbacks. Now, during weak monthly momentum (RSI below 40), the same 10-week EMA acts as resistance that caps any recovery attempts.

This behavior tells us something fundamental about market dynamics: weak momentum on the higher timeframe will always lead to poor recovery on the lower timeframe. When the monthly momentum is decisively bearish, any rallies or bounces on weekly or daily charts are destined to be short-lived and weak. The sellers are in complete control, and buyers simply don't have the strength to mount meaningful recoveries.

This is why the Momentum Monitor System is so valuable. By knowing that the monthly RSI is below 40, you immediately understand that you're in an environment where rallies should fail and where resistance levels like the 10-week EMA are likely to hold. Instead of hoping for a recovery or trying to catch a falling knife, you can position yourself to profit from the continued weakness by shorting rallies to moving averages or simply staying out of long positions entirely.

The higher timeframe momentum sets the stage, and the lower timeframes simply play out the script that's already been written.

When we switch to the daily chart, we see exactly the same characteristic pattern playing out on an even more detailed level. When the higher timeframe monthly RSI is below 40, all rally attempts on the daily chart are shattered as well. The bearish momentum from the monthly timeframe cascades down and dominates the price action on every lower timeframe.

Refer to the chart above showing the daily timeframe. Notice how the price consistently resists at the moving averages – the 10 EMA, 20 EMA, and 50 EMA – and moves down again after each brief bounce attempt. These moving averages, which acted as support during bullish periods, have now completely flipped their role and are acting as formidable resistance. Each time the price rallies to touch one of these EMAs, sellers step in aggressively and push the price back down.

Now, let me share the stunning numbers that demonstrate the power of this concept. The price was around $16.40 when the monthly RSI first crept below 40, signaling extreme weakness on the highest timeframe. From that point, as the monthly RSI stayed below 40, the relentless selling pressure continued. The price ultimately fell all the way down to $3.20!

Let's put that into perspective and look at the percentage of the fall. From $16.40 to $3.20 represents approximately an 80% decline! That's a massive, devastating drop that wiped out the vast majority of the stock's value.

This is the mirror image of those 70%, 85%, and 200% gains we saw during the bullish spheres when monthly RSI was above 60-70. Just as strong monthly momentum creates explosive upside moves, weak monthly momentum below 40 creates devastating downside moves.

The lesson here is clear: when the monthly RSI drops below 40, you're not looking at a minor correction or a temporary dip to buy. You're witnessing extreme bearish momentum that can lead to catastrophic declines. Any rallies to moving averages on the daily chart during such periods should be viewed as shorting opportunities or signals to stay completely out of long positions, not as buying opportunities.

Now, let's explore another powerful concept using multi-timeframe analysis. We have previously discussed Range Rules in detail – the concept of how RSI operates within specific ranges during bullish trends (80-40) and bearish trends (60-20), and how these ranges help us understand the character and strength of the momentum.

Range Rules can be applied across multiple timeframes to create a comprehensive momentum strength assessment. By examining how the RSI is behaving within its ranges on different timeframes simultaneously, we can determine the overall momentum strength with much greater accuracy and confidence than looking at just a single timeframe.

Here's how this works: we can layer the Range Rule analysis across monthly, weekly, and daily charts to see if they're all aligned in the same direction. When multiple timeframes all show RSI operating in bullish ranges, it creates a powerful confluence that signals extremely strong momentum. Conversely, when multiple timeframes show bearish ranges, it signals powerful bearish momentum.

This multi-timeframe Range Rule approach gives us a momentum strength hierarchy. The more timeframes that are aligned in bullish or bearish ranges, the stronger and more reliable the momentum signal becomes.

Let us take a practical case study where we will observe a very strong momentum advance. By examining how the Range Rules play out across different timeframes during this powerful move, you'll see exactly how to identify and participate in the strongest trending markets using this layered approach.

In the chart above of NVIDIA (NVDA), we can observe a remarkable and extended period of strong momentum on the highest timeframe. We see that the RSI on the monthly chart was above 60 from March 2023 all the way through to November 2026 – that's an entire period of sustained bullish momentum on the monthly timeframe.

This is not a brief spike or a temporary burst of strength. This is a full 32-month period where the monthly RSI remained consistently above the 60 threshold, signaling that powerful, sustained bullish momentum was dominating the stock. During this entire period, the monthly chart was displaying strong momentum characteristics – the kind of environment where major advances occur and where being positioned on the long side offers tremendous profit potential.

When you see the monthly RSI staying above 60 for such an extended period, it tells you that you're witnessing something special. This isn't ordinary market behavior – it's a signature of a powerful bull run where the underlying momentum structure supports continued higher prices month after month.

This monthly momentum strength from March 2023 to December 2025 sets the foundation for our multi-timeframe Range Rule analysis. Now that we've identified this strong momentum on the monthly chart, we can drill down into the weekly and daily charts to see how the Range Rules played out across all timeframes and how traders could have timed their entries to participate in this extraordinary advance.

Now, let's zoom into the weekly chart (above) and examine how the momentum played out on this intermediate timeframe. On the weekly chart, we notice that the RSI stayed above 60 from early December 2023 to early July 2024. This represents approximately a seven-month period where the weekly timeframe was also displaying strong momentum characteristics.

This was a strong momentum phase on the weekly chart as well, confirming that the bullish strength we saw on the monthly chart was actively manifesting on lower timeframes. The RSI holding above 60 on the weekly chart for this sustained period indicates that the uptrend had genuine power and wasn't just a monthly statistical anomaly.

Now, here's where things get really interesting and powerful: this period from is a common space on both the monthly and weekly charts where the RSI is above 60 on both timeframes simultaneously! This is what we call momentum alignment or momentum confluence across timeframes.

When you have both the monthly RSI and weekly RSI above 60 at the same time, you've identified a zone of exceptional momentum strength. This isn't just one timeframe showing strength while others are weak or neutral – this is multiple timeframes all confirming the same bullish momentum story together. The alignment creates a much more powerful and reliable signal than either timeframe alone.

Let's slice this specific zone and examine it more closely. We'll see exactly how traders could have used this multi-timeframe momentum alignment to identify high-probability trading opportunities and time their entries during this powerful advance. This is where the Range Rule concept across timeframes truly shines and delivers actionable trading insights.

In the chart above showing the daily timeframe, we have specifically scoped out and highlighted the part where the RSI was above 60 on both the monthly and weekly charts simultaneously. Now, take a good look at what's happening on the daily chart during this aligned momentum period. What do you see?

A Super Trend! Yes, this is what happens when multiple timeframes align with strong momentum – you get an extraordinary trending move that delivers exceptional returns in a compressed timeframe.

Notice that the daily RSI range is firmly bullish, operating in the 80-40 zone throughout this period. The RSI is repeatedly getting overbought above 70 during rallies, and during pullbacks, it's finding solid support around the 40 level without dropping into oversold territory below 30. This is textbook bullish range behavior that signals a powerful, healthy uptrend in full force.

Now, let's look at the price movement itself during this three-month period of aligned momentum. The prices rallied from $45.45 at the start to a stunning high of $140.76!

Let me put that into percentage terms to truly appreciate the magnitude of this move: from 45.45 to $140.76 represents approximately a **209.70% gain in a 16-month span**!

This is the power of multi-timeframe momentum alignment using Range Rules. When the monthly RSI is above 60, the weekly RSI is above 60, and the daily RSI is operating in the bullish 80-40 range all at the same time, you're witnessing optimal conditions for explosive price advances. These are the periods where the biggest, fastest, and most reliable trending moves occur.

This isn't luck or hindsight bias – this is systematic identification of when all timeframes are aligned in the same bullish direction, creating a momentum structure that supports powerful advances with reduced risk of reversal.

Now, notice carefully in the chart above that there were ample chances to position ourselves in this powerful trend rather than having to catch the absolute bottom or get in perfectly at the start. This is what makes the multi-timeframe momentum alignment approach so practical and tradeable.

Look at the moving average tests that occurred throughout this advance. The price repeatedly pulled back to test the 10-period and 20-period moving averages on the daily chart, and each time these levels held beautifully as support. These weren't scary breakdowns or signals to exit – they were gift-wrapped entry opportunities within a confirmed super trend.

Additionally, notice how positive reversals formed during this period – instances where the price made higher lows while the RSI made lower lows within the bullish 80-40 range. Each positive reversal provided another timing signal for entries or adding to positions. These weren't random or unreliable signals; they worked consistently because they were occurring within the context of aligned multi-timeframe momentum.

The key observation here is how the price held up the 10-20 moving averages during the whole advance! From the beginning of the move all the way to the peak, virtually every meaningful pullback found support at either the 10 EMA or 20 EMA on the daily chart. This consistency is what happens when you have monthly, weekly, and daily momentum all aligned in the bullish direction – the moving averages become reliable, trustworthy support levels that hold time after time.

This means that even if you missed the initial move in December, you could have entered in late January, early February, mid - March, or at various other points during the advance. Each dip to the moving averages offered a fresh opportunity to participate in the super trend, all backed by the confidence that multi-timeframe momentum was on your side.

Now, let's look at another fascinating case study on the same NVIDIA stock. This will help us understand the nuances of multi-timeframe momentum and what happens when timeframes are not perfectly aligned.

We already know that the monthly RSI will take its time to move because it represents such a large amount of price action condensed into each monthly candle. Meanwhile, the RSI on weekly and daily charts will move much faster than the monthly RSI, reacting more quickly to price fluctuations and momentum shifts.

So here’s an important question we need to explore: how will the trend behave on the daily chart when the monthly RSI is above 60 (still indicating strong longer-term momentum), but the RSI on the weekly chart falls back below 60? What happens when we have this partial alignment instead of perfect alignment across all timeframes?

In the chart above, we have marked the specific phase where the monthly RSI on NVDA remained above 60 – maintaining that long-term bullish momentum – but the weekly RSI fell back into the 60-40 zone, indicating a cooling off or consolidation on the intermediate timeframe.

If you look at the weekly chart during this phase, you may also notice that the trend has gotten a little sideways as well. The strong, consistent upward momentum we saw earlier has paused. The price isn’t collapsing or reversing, but it’s also not making the same kind of powerful, uninterrupted advances we witnessed during the perfectly aligned period.

This is a realistic and common scenario that traders encounter. Not every period will have perfect alignment across all timeframes. So understanding how to read and trade these partially aligned phases is crucial for practical application of the multi-timeframe momentum system.

Similarly, the prices on the daily chart also lost their steepness and that super trend character we observed during the fully aligned period. The strong, consistent upward momentum that delivered the triple digit gain in few months was no longer present.

Though the trend was not down – mind you, this is an important distinction – after a strong move upward, the trend was just breathing sideways. The price was consolidating, moving in a choppy, range-bound manner rather than trending powerfully in either direction. But the key observation is that the momentum was missing. That explosive, reliable trending behavior had paused.

Look at the chart below and notice how the prices are now crisscrossing the 10-20 moving averages repeatedly! During the super trend phase when all timeframes were aligned, the moving averages acted as clean, reliable support that held consistently. Now, with the weekly RSI below 60 while monthly remains above 60, the price is whipsawing back and forth across these moving averages. It touches the 10 EMA, breaks below it, comes back above it, tests the 20 EMA, bounces, falls back – there's no clean, directional behavior.

This crisscrossing action makes trend-following strategies much more difficult and less profitable. You'd get multiple false signals, choppy entries and exits, and frustrating whipsaws that eat away at your capital and confidence.

So what do we conclude from this comparison? The best trend trading and trend-following trades – the ones that provide the most profitable opportunities with the least frustration and highest win rates – occur when the RSI is above 60 on both the weekly and monthly charts simultaneously!

This alignment creates the optimal environment for super trends where moving averages hold reliably, positive reversals work consistently, and the price advances powerfully with minimal whipsaw. When you have this perfect storm of multi-timeframe momentum, that's when you want to be most aggressive and confident in your trend-following positions.

Now, let's examine the bearish side of this multi-timeframe Range Rule concept. Just as we saw how aligned bullish momentum creates super trends to the upside, aligned bearish momentum creates devastating downtrends that can wipe out the majority of a stock's value.

Looking at Occidental Petroleum (OXY), we can see that on April 1st, 2019, the RSI on the monthly chart fell below 40. This was the signal of extreme weakness on the highest timeframe – the kind of bearish momentum that often precedes catastrophic declines.

We can clearly see in the chart below just how destructive this monthly bearish momentum was. The stock fell more than 80% once the RSI started maintaining itself below the 40 level on the monthly chart! This is the mirror image of those massive gains we saw during bullish momentum phases – except in reverse, wiping out shareholder wealth at an alarming rate.

But here’s where our multi-timeframe analysis becomes even more valuable: just as we found the period when both monthly and weekly RSI were above 60 to identify the super trend phase in NVDA, we now want to find the period during this OXY decline when the weekly RSI was also below 40 alongside the monthly RSI being below 40.

When both the monthly and weekly RSI drop below 40 simultaneously, we get an extreme bearish momentum period – a zone where the selling pressure is overwhelming across multiple timeframes and where the most rapid, devastating declines typically occur. This is when shorting rallies or staying completely out of long positions becomes absolutely critical.

Let’s identify this aligned bearish momentum zone and see exactly what happens to the price action when both timeframes confirm extreme weakness together.

When observing the weekly charts, we can identify the critical periods of aligned bearish momentum. We see that the RSI went below 40 and stayed below 50 on two separate occasions while the monthly RSI was also below 40. These are the zones we’re looking for – where both timeframes are confirming extreme weakness simultaneously.

Refer to the chart below and notice these two distinct phases of aligned bearish momentum:

First Phase: April 22, 2019 to December 23, 2019

During this approximately 8-month period, the weekly RSI dropped below 40 and remained weak while the monthly RSI was also below 40. This was a zone of aligned bearish momentum across both timeframes. During this first phase, the price fell around 40% – a substantial decline that would have devastated long-only investors but provided excellent opportunities for those positioned on the short side.

Second Phase: February 24, 2020 to November 9, 2020

This second phase coincides with the COVID-19 market crash and its aftermath. Once again, the weekly RSI fell below 40 while the monthly RSI remained below 40, creating another period of multi-timeframe bearish alignment. During this second phase, the price fell around 78% – an absolutely catastrophic decline that wiped out more than three-quarters of the stock's value.

Notice the pattern: when both the monthly and weekly RSI are below 40 together, the declines are not just minor corrections – they're severe, extended bear moves that destroy significant shareholder value. The second phase was particularly brutal, demonstrating how aligned bearish momentum can lead to complete capitulation and near-total wipeout scenarios.

These two phases represent the most dangerous periods for being long and the most profitable periods for being positioned on the short side or simply staying in cash. Just as aligned bullish momentum above 60 creates super trends, aligned bearish momentum below 40 creates super declines.

Now, let's switch the chart to the daily timeframe and examine closely how the decline looked during the April 2019 to December 2019 phase – the first period of aligned bearish momentum. More importantly, let's see how timing entries for short positions would have been possible using simple, objective technical tools.

In the chart below, we can notice that the daily RSI was in a clear bear trend, trapped in the 60-20 zone throughout this period. This is the bearish Range Rule in action – the RSI was operating in a distinctly bearish range, never able to break above 60 to reclaim bullish territory. The trend got overbought at RSI 60 levels repeatedly, meaning that any rallies or bounce attempts would push the RSI up to around 60 and then immediately reverse, unable to sustain any recovery momentum.

I have plotted a 50-day moving average (50 DMA) on the chart as well to serve as a timing and reference tool. Notice the pattern that develops: every time the price approached the 50 DMA during this bearish phase, it acted as a resistance level and pushed the price back down. The moving average became a ceiling that the price simply could not break through with any conviction.

This is the bearish mirror image of what we saw during bullish super trends, where moving averages acted as reliable support. Here, during the aligned bearish momentum phase with both monthly and weekly RSI below 40, the 50 DMA became a reliable resistance that offered consistent timing opportunities for short entries or signals to avoid long positions.

Each rally to the 50 DMA was not a buying opportunity – it was a shorting opportunity. Each time the price tested that moving average and got rejected, it provided a clear, objective entry signal for traders positioned to profit from the continued decline.

During the next phase from February to November 2020 – when the declines were even deeper and more devastating – notice the same type of RSI behavior manifesting, but with even more bearish characteristics.

Notice in the chart below that the RSI range firmly shifted to the 60-20 zone, confirming that this was a powerful bearish trend in full force. Most of the time, prices remained below the 50-day simple moving average (50 SMA), showing that the bears were in complete control and that any rallies were weak and short-lived.

There was one notable exception: a sharp spike occurred in late May 2020 where the RSI actually got into overbought zones above 70. At first glance, this might have looked like a potential trend reversal or the start of a recovery. However, this spike didn't sustain itself. The key observation is that despite getting overbought, the RSI failed to shift its operating range from the bearish 60-20 zone to a bullish 80-40 range. This failure told us that the rally was just a temporary spike within an ongoing downtrend, not a genuine momentum shift.

Additionally, during that May spike, the prices found resistance at the 100-day moving average (100 DMA). The stock couldn't break through this longer-term moving average, confirming that the overall trend structure remained bearish despite the brief surge.

After that failed spike, the bearish momentum reasserted itself with even greater force. The price kept hitting the 50 DMA on subsequent rally attempts, and remarkably, the RSI didn't even manage to cross the 50 level during these bounces. Think about that – the RSI couldn't even reach neutral territory at 50, let alone threaten overbought levels.

The downside momentum was extraordinarily strong during this phase, with the RSI turning down from the 50 level itself on multiple occasions. The bears were so dominant that rallies were crushed almost immediately, never given a chance to build any meaningful momentum. Each attempt to bounce was met with aggressive selling that pushed the RSI back down from 50 before it could gather any strength.

This is what extreme aligned bearish momentum looks like on the daily chart – relentless selling pressure, failed rallies, moving averages acting as impenetrable resistance, and RSI trapped in bearish ranges with no ability to shift character.

Multi-timeframe analysis isn't about using more indicators – it's about gaining clarity. The higher timeframe sets the momentum direction, while lower timeframes provide timing and early warning signals. When timeframes align, you get the strongest, most reliable trends. When they diverge, expect consolidation or transition periods.

By mastering these concepts, you transform from a reactive trader hoping the market cooperates into a proactive trader who understands market structure, identifies high-probability setups, and times entries with precision and confidence.

Chapter 10

CASE STUDIES

Case Study I: The COVID Crash in January 2020

Have a look at the chart above. At first glance, we see that the prices are advancing nicely, creating a higher high and higher low formation – the classic signature of a healthy uptrend. The market appears to be in good shape, with buyers in control and the trend structure intact.

However, this is where our RSI analysis becomes crucial in identifying warning signs that might not be immediately obvious from price action alone.

Important Framework for Analysis

Before we dive deeper into this case study, let me establish an important principle that applies to all our analyses: we will be focusing primarily on RSI signals to understand momentum dynamics and identify potential turning points. The RSI gives us insights into the underlying strength or weakness that may not yet be visible in the price structure.

However – and this is critical – remember that price confirmation is of utmost importance to reach any conclusion. RSI signals, divergences, and momentum readings are valuable leading indicators, but they must ultimately be confirmed by actual price action before we take trading decisions.

An RSI signal without price confirmation is just a warning or a heads-up. Price confirmation transforms that warning into an actionable trading signal. Never act on RSI signals alone – always wait for the price to validate what the RSI is suggesting.

With this framework in mind, let's analyze what the RSI was revealing during this critical period leading up to the COVID crash in early 2020.

Identifying the Warning Signs: Multiple Bear Divergences

Though the price was advancing and creating that seemingly healthy higher high and higher low structure, something very important was happening beneath the surface. We were experiencing bearish divergences – not just one, but three prominent bearish divergences while the prices kept advancing upward.

This is a critical observation. The price was making new highs, seemingly strong and unstoppable, but the RSI was failing to confirm these new highs with corresponding strength. Each time the price pushed higher, the RSI was making lower highs, creating this disconnect between price and momentum.

Assessing the Strength of the Divergences

Now, here's where our understanding of divergence analysis becomes nuanced and important. These bearish divergences were present, yes, but they were not strong enough to break the price structure. The uptrend continued to hold despite these momentum warnings. The higher highs and higher lows remained intact, and buyers continued to step in during pullbacks.

More importantly, the divergences did not disrupt the range of the RSI itself. Throughout this period, the RSI remained firmly in the bullish zone of 80-40. This is a crucial detail that many traders overlook. The RSI was still getting overbought above 70 during rallies and finding support around 40 during corrections. It was operating within a healthy bullish range, even while creating divergences.

What Does This Tell Us?

This situation presents a dilemma: we have clear bearish divergences (warning signals), but the RSI range remains bullish (suggesting the trend is still healthy). The divergences are saying "be cautious," but the range behavior is saying "the trend is still intact."

This is precisely why we emphasized earlier that price confirmation is essential. The divergences alone weren't enough to act on – we needed to see actual price structure break down before concluding that the trend was reversing.

The Critical Shift: The Last Divergence Behaves Differently

Now, pay close attention (on the above chart) to what happened with the last divergence – the third one. The price reaction to this final divergence was different from the previous two, and this difference is what separated a mere warning signal from an actual threat to the trend.

The last divergence pushed the RSI below 60 on the daily chart. This might seem like a minor detail, but it's actually quite significant. After operating comfortably in the upper part of the bullish range, getting overbought repeatedly, the RSI was now dropping below that 60 midpoint level.

More concerning, the RSI was struggling to move back up above 60. After dipping below this level, the RSI attempted to recover but couldn't regain the 60 threshold with any conviction. This struggle indicated that buying momentum was weakening – buyers were no longer able to push the RSI back into the stronger part of the bullish range.

Additionally, the RSI went down to the 40 level. Now, technically, the bullish range of 80-40 was still intact – the RSI touched 40 but didn't break below it into deeper oversold territory. So on the surface, you could argue the range hadn't been violated. However, the fact that it went all the way down to the lower boundary of the bullish range and then struggled to recover showed that the character of the momentum was changing.

Price Structure Also Showing Stress

At the same time, prices also approached a significant support swing level. The combination of these factors – RSI at the lower boundary of its range, struggling to recover above 60, and price testing important support – created a critical juncture.

Time to Zoom In

This is the perfect moment to apply our multi-timeframe analysis approach. Let's switch to the hourly chart and see what's happening there. The hourly timeframe will give us the detailed, close-up view we need to understand whether this weakness is temporary or if it's signaling something more serious – potentially the breakdown that confirms these divergences and leads to the COVID crash.

The Hourly Chart Reveals Critical Weakness

What do we see on the hourly chart above? This is where our multi-timeframe analysis starts revealing the real story beneath the surface.

The RSI went into the oversold zone below 30 on January 22nd. Now, that by itself is alright – temporary dips into oversold territory happen even in uptrends during normal pullbacks. The real weakness would only creep in if the RSI fails to reclaim itself above 70 again after getting oversold. This is the key test we've been watching for throughout our studies.

And here's what we notice: the RSI is struggling significantly at the 60 level.

On January 24th, the RSI climbed back up and hit the 60 level, but then moved back down without being able to push through into overbought territory above 70. This was the first warning sign – the bounce from oversold conditions lacked the strength to reclaim overbought zones.

Then, similarly, another attempt occurred on January 29th. Once again, the RSI tried to recover and push higher, but it failed to move above 70. It couldn't even break through that resistance ceiling to get into truly overbought territory. This repeated failure was extremely telling.

What These Clues Tell Us

This hourly RSI behavior gave us enough clues to understand that the prices are set to correct deeper if the daily support breaks. The momentum on the lower timeframe was clearly broken. The RSI was getting oversold during declines but couldn't get overbought during recoveries – this is the signature pattern of weakening momentum that we've studied extensively.

An Important Reality Check

Now, let's be completely honest here: no one in the world could have predicted the COVID crash that was about to unfold. What was coming was a global pandemic and a market collapse of historic proportions driven by unprecedented circumstances. Technical analysis, no matter how sophisticated, cannot predict black swan events.

However, what we were doing with this RSI analysis was anticipating a deeper correction based on deteriorating momentum signals. We weren't predicting the end of the world – we were simply reading the technical signs that suggested the uptrend was losing steam and that a more significant pullback was likely if support levels broke.

This is the realistic and honest application of technical analysis: not predicting the unpredictable, but identifying when risk is elevated and when conditions favor deeper corrections.

The Breakdown Confirmed: February 1st Changes Everything

Now, the price movement on February 1st (refer to the chart below) created some very important and critical developments on the daily timeframe.

This was the moment when our anticipation based on RSI warnings began transforming into reality. Let's break down what happened:

Development #1: Price Structure Broken

The price structure of higher tops and higher bottoms – which had been defining this uptrend and keeping it intact despite the divergences – was finally broken. A large bearish candle formed that pierced straight through the support level we had been monitoring. This wasn't a minor violation or a marginal break – it was a decisive, powerful move that shattered the uptrend structure.

This price confirmation was exactly what we were waiting for. Remember, we emphasized that RSI signals need price validation before we can act on them. Well, here it was – the price was now confirming what the RSI had been warning us about for weeks through those three bearish divergences.

Development #2: RSI Crashes Below 30

The second critical development was that this breakdown also pushed the RSI below 30 on the daily chart! The RSI plunged to 28.65, breaking through the lower boundary of the bullish 80-40 range that had been holding throughout the divergences.

This was extremely significant. For all those weeks while the divergences were forming, the RSI had maintained its bullish range, never dropping below 40 despite the momentum warnings. But now, with this February 1st breakdown, the RSI was decisively breaking into oversold territory below 30.

This RSI break below 30 told us that the character of the trend had fundamentally changed. We were no longer in a bullish range environment. The momentum structure had shifted from bullish to bearish.

From Anticipation to Reality

Now our anticipation was turning into reality. What started as subtle warning signs – bearish divergences that weren't initially strong enough to break the trend – had evolved through weakening hourly momentum, then failure to reclaim RSI 70 on the hourly chart, and now culminated in both price structure breakdown and RSI range violation on the daily chart.

All the pieces had aligned: the divergences warned us, the hourly chart showed us momentum weakness, and now the daily chart was confirming the breakdown with both price and RSI validation.

Drilling Down: What Was the Hourly RSI Revealing?

I'm just curious to see what the RSI was doing on the lower timeframe during this critical breakdown! Is this break of structure and the RSI dipping into oversold zones on the daily chart correlated with what was happening on the hourly chart? Let's investigate.

Have a look at the chart below, and you'll see some fascinating connections:

Early Warning on the Hourly Chart

There was a bearish divergence on the hourly RSI that pushed the RSI below 30 on the hourly timeframe much earlier than it dropped below 30 on the daily timeframe. This is exactly why multi-timeframe analysis is so powerful – the hourly chart was giving us advance warning of the momentum breakdown before it became fully visible on the daily chart.

Progressive Momentum Deterioration

After getting oversold on the hourly chart, the RSI failed to recover into overbought zones above 70. This was our first red flag on the lower timeframe, confirming that the bounce attempts lacked genuine strength.

As prices continued making lower tops and lower bottoms – establishing a clear downtrend structure – the momentum on the hourly chart kept getting progressively worse. Initially, the RSI couldn't reach 70. Then it started struggling at 60. And now, look at this: the RSI was unable to push above 50!

Think about what this means. The RSI couldn't even reach neutral territory at 50, let alone threaten overbought levels. This showed complete and utter dominance by the sellers. Every bounce attempt was getting weaker and weaker, with the RSI ceiling dropping from 70 to 60 to 50 – a staircase of deteriorating momentum.

The Final Breakdown Candle

Finally, the large candle that broke through support on the daily chart and pushed the daily RSI below 30 (to 28.65) had an even more dramatic impact on the hourly chart. This same candle pushed the hourly RSI below 20! This is extreme oversold territory, indicating panic selling and capitulation on the lower timeframe.

What to Expect Next

Hence, we can expect a pullback from these deeply oversold levels. Markets don't go straight down forever – even in strong downtrends, there are relief rallies when conditions become too oversold.

However – and this is crucial – this pullback's intensity will further determine the fate of the trend. Here's what we need to watch:

- If the pullback is strong and pushes the hourly RSI back above 70, reclaiming overbought territory, it could signal that this was just a correction and the larger uptrend might resume
- If the pullback is weak and the hourly RSI struggles to get above 50 or 60, failing to reclaim overbought zones, it confirms that this is a genuine trend reversal and the decline will likely continue deeper

The quality and strength of the bounce will tell us everything we need to know about what comes next.

The Pullback Reveals the Truth: A Negative Reversal Forms

We did get a pullback from those deeply oversold levels, as expected. But wait – this is where careful observation becomes absolutely critical. Let's examine the chart below and watch the important developments that unfolded during this bounce.

The Pullback Lacks Conviction

The pullback on the daily chart was not strong enough to push the RSI above 70. Remember, in our analysis framework, we look for the RSI to reclaim overbought territory after a decline to confirm that buyers are regaining control. That didn't happen here.

Additionally, the price didn't go up above the previous highs. It bounced, yes, but it couldn't even challenge the prior peak. This is a classic sign of a failed rally within a newly established downtrend.

Two Critical Developments

Now, we see two developments here – very important ones that completely changed the outlook:

Development #1: RSI Fails to Reclaim Bullish Territory

The RSI didn't get overbought during the bounce. More than that, it stayed below 60 throughout the entire rally attempt. This confirms that the momentum structure has shifted from bullish to bearish. The RSI, which used to operate in the 80-40 bullish range, is now struggling to even reach 60. This is a fundamental change in market character.

Development #2: A Negative Reversal Forms

As the price made a lower high (failing to exceed the previous peak), the RSI made a higher high compared to its previous low. What is this pattern? Yes, this is a negative reversal!

This is the bearish continuation pattern we studied earlier. The price is maintaining a downtrend structure with lower highs, but the RSI is showing a higher high, indicating that momentum is relaxing within the bearish framework. This is healthy behavior for a downtrend – it allows the RSI to reset without breaking the bearish price structure.

The Critical Resistance Pivot

Now, the initial pivot point on this negative reversal becomes a very important resistance level going forward. As long as the price stays below this pivot, the negative reversal remains valid and the downtrend structure stays intact.

Building the Case for Continuation

There were a good number of evidence points that gave us clear indication that the trend will continue down from here:

1. RSI failed to reclaim 70 after getting oversold
2. RSI couldn't even break above 60
3. Price made a lower high, failing to exceed previous peaks
4. A negative reversal formed, signaling bearish continuation
5. The negative reversal pivot created a clear resistance level

With all these pieces aligning, we can brace ourselves for another leg down. The evidence strongly suggests that this bounce was just a temporary relief rally within a larger, developing downtrend.

Another Support Test: But Everything Has Changed

On February 27th, the price approaches a swing support level again. At first glance, this might seem similar to previous support tests during the uptrend – a chance for buyers to step in and defend the level.

But this time, everything is fundamentally different. The RSI is now in a bearish zone.

Did You Notice the Critical Shift?

Yes! Didn't you notice that the range on the daily chart has shifted? This is one of the most important observations in our entire analysis.

Earlier, when the uptrend was intact despite the bearish divergences, the RSI was operating in the bullish 80-40 range. Even when divergences formed, the RSI maintained this bullish character – getting overbought above 70 during rallies and finding support around 40 during pullbacks.

But now, after the breakdown on February 1st and the failed bounce that created the negative reversal, the RSI range has fundamentally changed. The RSI is no longer operating in bullish territory. Instead, it has shifted into a bearish range – likely operating in the 60-20 zone, where rallies get capped around 60 and declines push into oversold territory below 30.

What This Means for Support

This range shift changes everything about how we should view this support level. When the RSI is in a bullish range and price tests support, there's a good chance the support holds and the trend continues. But when the RSI has shifted to a bearish range and price tests support, there is a fair chance that this support will break.

The momentum structure is now bearish, which means that rallies are weak and declines are strong. Support levels that might have held during the bullish phase are now vulnerable to breaking.

Zooming In for Clarity

We need more information to assess whether this support will hold or break. Let's move to the hourly chart to judge the momentum quality in detail. The hourly timeframe will show us whether buyers are defending this support with conviction or if the defense is weak and likely to fail.

The Hourly Chart Reveals a Perfect Storm of Bearish Signals

We see some very interesting patterns developing on the hourly chart that provide crucial context for this support test. Look at the chart below carefully – multiple bearish signals are converging at the same time.

The Range Shift on February 20th

On February 20th, the RSI went into the oversold zone below 30 on the hourly chart. This indicated a sharp decline with selling pressure dominating. But what happened during the recovery attempt is what really matters.

On the same day, a pullback attempt occurred as the price tried to bounce from oversold conditions. However, this pullback failed to generate any meaningful momentum. The pullback stopped at the 60 level on the RSI – it couldn't push into overbought territory above 70.

This was a clear range shift on the hourly timeframe. The RSI, which previously would get overbought during rallies, was now capping out at 60. The character had changed from bullish to bearish, with the RSI unable to reclaim strong momentum during bounce attempts.

A Head and Shoulders Pattern Emerges

At the same time, a classic head and shoulders pattern was forming on the hourly chart – one of the most reliable bearish reversal patterns in technical analysis. This pattern signals that buyers attempted to push higher three times (forming the left shoulder, head, and right shoulder), but each successive attempt showed weakening momentum, ultimately leading to a breakdown.

Here's what makes this particularly powerful: the right shoulder of the head and shoulders pattern coincided perfectly with the range shift point we just identified! The right shoulder formed right at that failed bounce where the RSI stopped at 60. This convergence of technical signals – a bearish pattern formation aligning with a momentum range shift – created an exceptionally strong bearish setup.

The Pattern Breaks Down

Post the break of the head and shoulders pattern (when price broke below the neckline), the price started to move down aggressively. This breakdown validated the pattern and confirmed that sellers were firmly in control. As the decline accelerated, the RSI slipped into oversold zones again below 30, showing the intensity of the selling pressure.

The Critical Test Ahead

Now we're at a crucial juncture. The price is testing that swing support on the daily chart, and we need to see what happens next. Here's what we're watching for:

If the RSI fails to go into the overbought zone above 70 on the next pullback – meaning it once again struggles and stops around 50-60 – we can expect with high confidence that this daily support will also break. The repeated failure to reclaim overbought conditions would confirm that the bearish momentum is intact and relentless.

If this support breaks, we may witness much deeper corrections than anyone anticipated at this point. All the technical evidence – the range shifts on both daily and hourly charts, the head and shoulders pattern, the failed rallies, and the persistent RSI weakness – would be pointing in the same direction: significant downside ahead.

The Final Hours Before the Breakdown

Have a look at the chart below. It was 15:30 (3:30 PM) on February 27th, and the markets were about to close for the day. What was happening in these final trading hours would prove to be a critical signal of what was coming next.

Extreme Weakness at the Close

The RSI was struggling significantly to move above the oversold zone. Instead of bouncing strongly from oversold conditions as you'd expect in a healthy market, the RSI barely recovered at all. It turned back down from just 34.08 levels – barely out of the oversold zone below 30.

Think about what this means: the market was so weak that even after getting hammered into oversold territory, buyers couldn't generate enough interest to create a meaningful bounce. The RSI couldn't even reach 40 or 50, let alone threaten to get back into overbought zones.

A Negative Reversal in Real-Time

More importantly, this weak bounce was forming a negative reversal pattern right before our eyes! The price was making lower highs (maintaining the downtrend structure), but the RSI made a slightly higher high compared to its previous oversold reading. This is the bearish continuation pattern we studied – indicating that the downtrend is just taking a breath before continuing lower.

The momentum was extremely weak. There was no conviction, no buying pressure, no fight from the bulls. The market was essentially rolling over and giving up.

The Gap Down Disaster

Anyone watching these signals and closing their positions would have been wise. Because the next day, the market delivered a brutal confirmation of everything the technicals were warning about:

The next day, Nifty opened with a massive 2% gap down! This wasn't just a small decline – it was a gap that immediately broke through the support zone we had been monitoring. There was no gradual test, no back-and-forth battle at support. The gap simply took the price straight through the support level, leaving anyone hoping for a bounce completely trapped.

This gap down confirmed:

- The negative reversal was valid
- The momentum weakness was real
- The support had no chance of holding
- The downtrend was accelerating with serious force

This is the power of reading momentum signals on multiple timeframes. While the price action might have looked like it could still bounce to the untrained eye, the RSI across daily and hourly charts was screaming that the weakness was profound and that the support would break.

The Crash Accelerates: February 28th Carnage

The gap down opening was just the beginning. Nifty didn't just break support with a small violation – it cracked more than 4% on that day! This was a devastating single-day decline that wiped out significant value and confirmed that the market was in serious trouble.

Think about the magnitude of that move: a 4%+ decline in a major index in a single session is not normal market behavior. This was panic selling, forced liquidations, and a complete absence of buyers willing to step in. The technical breakdown had triggered a cascade of selling that was now feeding on itself.

The Next Support Level

After breaking through the previous support zone with such force, the next logical support level was now placed at 10,600. This became the new line in the sand – the level where buyers might potentially show up to defend the market and attempt to halt the decline.

But would this support hold? That was the critical question facing traders at this point.

Daily RSI Confirms Momentum Breakdown

Looking at the daily chart (above), we can see that the RSI fell decisively below the 30 zone, indicating clear momentum weakness. This wasn't a brief dip into oversold territory that would quickly reverse – this was the RSI breaking down and staying in weakness.

The daily RSI dropping below 30 confirmed that:

- The bullish range of 80-40 was completely broken
- The market had shifted into a bearish momentum structure
- Selling pressure was overwhelming and persistent
- Any bounces would likely be weak and short-lived

With the RSI in this weakened state on the daily chart, combined with the massive 4% single-day decline, the technical picture was unambiguous: this was not a buying opportunity or a minor dip. This was a genuine breakdown with the potential for much deeper declines ahead.

The question now was: would the 10,600 support level hold, or would the crash continue even deeper?

March 6th: Testing the Critical 10,600 Support

On March 6th, after the brutal decline from late February, the prices approach the next major support level at 10,600. This is a critical moment – will this support level hold and provide a floor for the market, or will it break and lead to even deeper losses?

We've already witnessed one support zone completely shattered with the gap down and 4%+ decline. Now, with prices approaching 10,600, we need to assess whether buyers will finally step in with conviction or if the selling pressure will continue to overwhelm the market.

Time for Detailed Analysis

Let's break down the analysis on the hourly chart again to determine whether this support will hold or not. By now, you understand our methodology: we don't just blindly trust support levels based on price alone. We examine the momentum structure on the hourly timeframe to assess the quality of any bounces and the strength of any rallies.

Here's what we're looking for on the hourly chart:

- Is the RSI getting oversold as price approaches 10,600?
- When a bounce occurs (if it occurs), can the RSI push back into overbought territory above 70?
- Or does the RSI struggle and fail to reclaim even 50-60 levels, indicating continued weakness?
- Are we seeing any positive divergences that might suggest momentum is improving?
- Or are we seeing negative reversals and continued bearish patterns?

The hourly chart will give us the detailed, zoomed-in view we need to make an informed assessment about whether 10,600 has any real chance of holding or if it's destined to break like the previous support.

A Glimmer of Hope? The Bullish Divergence Appears

Looking at the hourly chart below, we notice something interesting and potentially significant: a bullish divergence has formed as the price approached the 10,600 support level.

Remember, a bullish divergence occurs when the price makes lower lows but the RSI makes higher lows – indicating that while the price is still declining, the momentum behind those declines is weakening. This is often an early warning sign that selling pressure may be exhausting itself.

The Bounce Attempt

This bullish divergence did push both the RSI and price a little higher, creating a bounce from the support zone. So technically, there was some response to the divergence signal. Buyers did attempt to step in.

But the Bounce Lacks Conviction

However – and this is critical – the bounce was not strong enough to take the RSI into the overbought zones above 70. This is the key test we've been applying throughout our analysis. When a market is truly reversing from a decline, the RSI should be able to surge back into overbought territory, demonstrating that buyers have regained control with genuine conviction.

That didn't happen here. The RSI moved up from oversold conditions, but it couldn't generate enough momentum to reach even the 70 threshold, let alone stay there.

Weakness at the Close

When the market closed on March 20th at 15:30 (3:30 PM), the RSI was struggling at just 36.62 levels on the hourly chart. Let that sink in – after a bullish divergence and an attempted bounce, the RSI could barely get above 35. It was still trapped in the lower range, showing extreme weakness.

This struggle at such low RSI levels tells us several things:

- The bullish divergence, while present, is weak and may not be reliable
- Buyers are attempting to step in, but without sufficient force
- The bounce is fragile and could easily fail
- The 10,600 support is under serious threat

With the RSI unable to escape the weak zone and still languishing around 36 at the close, the technical picture suggests that this support level is vulnerable. The divergence provided a brief reprieve, but without stronger momentum confirmation, the odds favor another breakdown.

History Repeats: Another Devastating Gap Down

The technical signals were clear, and once again, the market delivered brutal confirmation overnight.

The next day, we witnessed another gap down opening of more than 2%! And critically, the price opened below the support level of 10,600 that we had been monitoring so closely.

Support Obliterated Without a Fight

Just like the previous support breakdown, there was no gradual test, no back-and-forth battle where buyers tried to defend the 10,600 level. The gap down simply took the price straight through the support, leaving it broken before the trading day even began.

Anyone who was hoping that the bullish divergence on the hourly chart would save the support level was caught completely off-guard. Anyone who bought at or near 10,600 thinking it would hold was now sitting on immediate losses with their stop-losses triggered or their positions deeply underwater.

Why the Divergence Failed

This is a perfect lesson in why we emphasized throughout our analysis that **RSI signals must be confirmed by price action and momentum strength**.

Yes, there was a bullish divergence on the hourly chart – that's a fact. But the critical clue was that the RSI struggled at just 36.62 and couldn't reclaim overbought territory. That struggle told us the divergence was weak and unreliable. It was a warning sign masquerading as hope.

The bullish divergence provided a temporary, feeble bounce, but it lacked the conviction and momentum strength needed to actually reverse the downtrend or defend the support level. When the RSI can't get above 40-50 after a divergence forms, that divergence is highly suspect and prone to failure.

The Crash Continues

With the 10,600 support now broken via another gap down, the market was in full-blown crisis mode. The decline was accelerating, not slowing. Each support level that broke increased the panic and forced more liquidations, creating a self-reinforcing downward spiral.

The technical structure had completely collapsed, and the question now was: how much further could this crash go?

March 13th: The Panic Climax – Lower Circuit Hit!

On March 13th, something extraordinary and rare happened. The markets opened with a catastrophic gap down of more than 6%! This wasn't just a decline – this was complete panic and capitulation. The selling pressure was so intense that the market hit the lower circuit – a trading halt triggered when the index falls beyond allowable limits.

Rarely does an index hit lower circuit. This is reserved for the most extreme market conditions, true crisis moments when fear completely overwhelms all rational buying interest. We were witnessing history in the making – the COVID crash had reached panic proportions.

A Swift Recovery Attempt

However, after hitting that lower circuit and touching a critical support level, something interesting happened: the recovery was swift. A large bullish engulfing candle formed at the support level, completely engulfing the previous day's decline and closing well above the lows.

A bullish engulfing candle is typically a strong reversal signal. It shows that after extreme selling drove prices to lows, buyers stepped in with overwhelming force and pushed prices significantly higher by the close. On the surface, this looks very promising.

But Is This Enough Evidence?

The critical question we must ask: is this single candle – even a powerful bullish engulfing candle at support – enough evidence to conclude that a bottom is in place? Can we trust this one day of recovery after weeks of relentless decline?

Following Our Disciplined Process

Let's keep following the rigorous process we have established throughout this case study. We don't jump to conclusions based on one candle, no matter how impressive it looks. We don't let hope or fear guide our analysis. Instead, we dive into multi-timeframe analysis to assess whether this recovery has genuine strength or if it's just another bear market rally destined to fail.

Switching to the Hourly Chart

We switch to the hourly timeframe to judge the intensity of the pullback. The hourly chart will show us:

- How strong is the RSI bounce from this recovery?
- Can the RSI push into overbought territory above 70?
- Or does it struggle and fail to sustain strength, indicating this is just temporary relief?
- Are we seeing genuine momentum shift or just a short squeeze from oversold conditions?

The hourly chart will give us the detailed view we need to determine whether this dramatic bullish engulfing candle represents a true reversal or just another false hope in a continuing crash.

The Hourly Chart Reveals Extreme Oversold Conditions

When you look at the hourly chart below, you can immediately figure out why the market would have bounced so dramatically! The RSI on the hourly chart was down to an incredible 9.68 levels.

Think about that for a moment – 9.68! This is extremely oversold, far below the typical oversold threshold of 30. This is panic selling, complete capitulation, and absolute extremes where virtually everyone who could sell had already sold. Markets simply cannot sustain such extreme oversold readings for long – some kind of bounce is mathematically inevitable.

The Bounce Was Expected

So yes, from those extreme 9.68 levels, the RSI bounced as well, along with the price creating that massive bullish engulfing candle. The recovery made perfect sense from a technical standpoint – when you reach such oversold extremes, a snapback rally is natural as short-covering, bargain hunting, and simple mean reversion kick in.

But Here's the Important Question

The bounce itself doesn't tell us much – of course there would be a bounce from RSI 9.68! What we need to determine is the quality and sustainability of this bounce.

If this pullback is a strong pullback with genuine trend-turning capacity – meaning it represents an actual bottom and the start of a new uptrend – then the RSI has to move into the overbought zone above 70 and establish itself in a bullish range going forward.

This is the critical test we've applied throughout our entire analysis:

- Can the RSI push decisively above 70, demonstrating that buyers have truly regained control?

- Can the RSI then maintain a bullish range (80-40), staying above key levels during subsequent pullbacks?
- Or will the RSI struggle, fail to reach 70, and then roll over again, proving this was just a dead cat bounce within an ongoing downtrend?

Let's See What Happened

Let's observe what actually panned out in the days and weeks following this dramatic recovery candle. The behavior of the RSI during the bounce and afterward will tell us everything we need to know about whether March 13th marked the true bottom or just another false hope in a continuing crash.

The Critical Test: Negative Reversal Forms

Now, have a close look at the chart below. After that dramatic bullish engulfing candle and the bounce from extreme oversold conditions, something very important developed in the following price action.

A Negative Reversal Appears

The RSI made a negative reversal (NR) pattern! Remember, a negative reversal occurs when the price makes a lower high while the RSI makes a higher high. This is a bearish continuation pattern that indicates the downtrend is simply taking a breath before potentially continuing lower. It's the market's way of resetting momentum without actually reversing the trend.

This is a significant warning sign. Despite the impressive bullish engulfing candle, despite the bounce from RSI 9.68, the market is now forming a pattern that typically signals trend continuation to the downside, not reversal.

Marking the Key Pivot

We mark the negative reversal pivot on the price chart at roughly 10,500 levels. This pivot point becomes critically important because it represents the lower high in the price structure and serves as a key resistance level going forward.

Two Critical Conditions for Confirming a Reversal

Now we have two specific, objective points to analyze whether this is a genuine trend reversal or just another bear market rally. Both conditions must be met for us to confidently say the bottom is in and the trend has reversed:

Condition #1: RSI Must Get Into Overbought Zones

If the trend is truly in reversal mode and this is the beginning of a new uptrend, the RSI should push decisively into overbought zones above 70. This would demonstrate that buyers have regained control with genuine conviction and strength, not just providing temporary relief from extreme oversold conditions.

Condition #2: The NR Pivot Must Be Negated

The negative reversal pivot at roughly 10,500 has to be negated. This means the price will have to move above 10,500 and, more importantly, stay above it consistently. Breaking above and holding above this resistance level would invalidate the negative reversal pattern and confirm that the momentum pullback has transformed into an actual reversal.

Both Conditions Are Required

It's not enough to meet just one of these conditions. We need both the RSI confirmation (getting overbought above 70) AND the price confirmation (breaking and holding above the 10,500 NR pivot) to seal the deal and confirm that this momentum pullback has evolved into a genuine trend reversal.

If either condition fails – if the RSI can't reach 70, or if the price can't break and hold above 10,500 – then the negative reversal remains valid, and we should expect the downtrend to continue with potentially even lower lows ahead.

The Verdict: Momentum Remains Broken

Looking at the subsequent price action and RSI behavior, the picture becomes crystal clear – and unfortunately for anyone hoping for a bottom, it's not what bulls wanted to see.

Condition #1 Fails: RSI Cannot Reclaim Overbought Territory

We see that the momentum is quite weak following that dramatic bounce. The RSI failed to get into the overbought zones above 70. Despite bouncing from the extreme oversold reading of 9.68, despite the impressive bullish engulfing candle, the RSI simply couldn't generate enough buying pressure to push into overbought territory.

This failure is extremely telling. It means that the bounce was purely technical – a relief rally from extreme oversold conditions – rather than a fundamental shift in momentum or sentiment. Buyers stepped in briefly when conditions became absurdly oversold, but they lacked the conviction to drive a sustained recovery.

Momentum Deteriorates Further

Even worse, the RSI fell back down to below 40 levels after the failed bounce attempt. Think about what this means: not only did the RSI fail to get overbought, but it couldn't even maintain neutral territory around 50. It quickly rolled over and dropped back into weakness below 40.

This rapid deterioration from the bounce high back below 40 confirms that:

- The negative reversal pattern is valid and active
- Sellers remain firmly in control
- The bounce was temporary relief, not a reversal
- The bearish momentum structure is intact

The Painful Conclusion

This RSI behavior indicates clearly that the downtrend is ought to continue from here. The technical evidence is unambiguous – the market has not found a bottom yet. The failed bounce, the negative reversal, and the RSI's inability to reclaim even neutral territory all point in the same direction.

As painful as it is to accept, the markets may witness more pain ahead. The crash that began in late January and accelerated through February and early March is not finished. Lower lows are likely coming, and anyone who bought the March 13th "bottom" thinking it was over is likely facing further losses.

This is exactly why our disciplined, multi-timeframe approach is so valuable. While the single-day price action (the bullish engulfing candle) looked impressive and might have fooled many traders, the

RSI analysis across timeframes told the real story: the momentum is still broken, and the trend remains down.

The Ultimate Bottom: March 24th, 2020

The markets continued their relentless decline, and finally, Nifty created a low of 7,526 on March 24th, 2020. From the highs before the crash to this ultimate bottom, the index had fallen nearly 40% – one of the most severe and rapid declines in market history.

A Complete Journey from Top to Bottom

This case study has been a comprehensive journey of how RSI guided us from the top all the way to the bottom:

- We identified three bearish divergences while the price was still making higher highs in January
- We noticed the RSI struggling on the hourly chart, failing to reclaim overbought territory
- We saw the critical breakdown on February 1st when both price structure and RSI range broke
- We identified the head and shoulders pattern and range shift on the hourly chart
- We watched multiple support levels fail as the RSI confirmed weakness at each stage
- We recognized negative reversals that signaled continuation rather than reversal
- We correctly identified that the March 13th bullish engulfing candle was not the bottom because the RSI failed to confirm strength

At every critical juncture, by following the price action and taking clues from RSI across multiple timeframes, we could see what was coming before it became obvious.

The Power of Multi-Timeframe Analysis

By following price and taking clues from RSI on multiple timeframe analysis, trend analysis gets dramatically easier. You're not guessing or hoping – you're reading the market's momentum structure systematically:

- The daily chart shows you the big picture and major structural shifts
- The hourly chart gives you early warnings and precise timing signals
- Together, they provide a complete, coherent story of what's happening

An Important Clarification

I want to emphasize something crucial here: **I never say RSI is the replacement for price action. RSI is a complement to price, not a substitute.**

Price is always king. Price is what actually happens in the market – it's the reality. RSI is a tool that helps us understand the momentum and strength behind that price movement. RSI gives us context, early warnings, and confirmation signals. But it should never be used in isolation or as a replacement for watching actual price structure.

The most powerful approach – as this entire case study demonstrates – is using RSI in conjunction with price action, analyzing both across multiple timeframes to get the complete picture. When price and RSI align and confirm each other, you have high-probability setups. When they diverge, you have early warning signals.

This is the art and science of technical analysis: combining multiple tools thoughtfully to read the market's story as it unfolds.

Case Study II: Identifying the Bottom in Real-Time

Now, let us do a case study where we will notice how RSI can provide bottom cues and early reversal signals. This is the other side of the coin – not just identifying weakness and crashes, but also recognizing when a market is finally finding support and preparing to reverse.

We will continue with the same COVID crash case study and examine how the markets bottomed on March 24th, 2020. In hindsight, of course, we can all see that March 24th was the bottom – it's obvious on the chart now. The real question is: how could this bottom have been identified in real-time, while it was actually happening?

This is the practical challenge every trader faces. Looking backward, bottoms and tops are clear. But when you're living through the moment, with fear at extreme levels, news getting worse by the day, and every bounce failing, how do you recognize that *this time* the bottom is real?

The Framework for Bottom Identification

Just as we used multi-timeframe RSI analysis to identify the developing crash and confirm weakness at each stage, we can use the same systematic approach to identify when the selling is finally exhausting itself and when a genuine reversal is beginning.

We'll be looking for:

- Bullish divergences on multiple timeframes
- RSI behavior during bounces – can it finally reclaim overbought territory?
- Price structure shifts from lower lows to higher lows
- Confirmation across daily and hourly charts

Let's walk through exactly what the RSI signals were showing in late March 2020 and see how a disciplined trader following our multi-timeframe methodology could have identified the bottom in real-time rather than only recognizing it in hindsight.

The First Signs: Bullish Divergences Appear

While prices were moving down relentlessly during the COVID crash, we discovered two bullish divergences forming on the chart. Have a look at the chart below and you can see them clearly – instances where the price was making lower lows but the RSI was making higher lows, suggesting that the momentum behind the declines was weakening.

But Divergences Alone Are Not Enough

However, since we know from our extensive study that bullish divergences need proper follow-through to be considered valid reversal signals, we cannot simply jump in and buy just because a divergence appears. We need confirmation.

What kind of confirmation? We need to see things like:

- **Range shifts**: The RSI moving from a bearish range back into a bullish range
- **Price structure changes**: The price shifting from making lower lows and lower highs to making higher lows and higher highs
- **RSI reclaiming overbought territory**: The ability to push above 70 after getting oversold

These confirmations were not present initially when these two bullish divergences first formed. The divergences were there, yes, but the market hadn't yet confirmed that they were meaningful rather than just temporary momentum pauses within an ongoing crash.

The Need for Multi-Timeframe Assessment

This is exactly why a proper assessment of any divergence should be done across multiple timeframes. We cannot rely on the daily chart divergence alone. We need to:

1. Identify the divergence on the daily chart (the initial signal)
2. Switch to the hourly chart to see how momentum is behaving in detail
3. Watch for confirmation on both timeframes before concluding the divergence is valid

A divergence that shows follow-through and confirmation on both daily and hourly charts is far more reliable than one that appears on just one timeframe in isolation.

Let's examine these two bullish divergences more closely using our multi-timeframe approach to see which one (if either) provided the reliable bottom signal we were looking for.

Testing the First Divergence: The Hourly Chart Reveals Weakness

When the first bullish divergence occurred on the daily chart, we immediately switched to the hourly chart to find confirmation of a potential reversal. This is our standard operating procedure – never trust a divergence signal on just one timeframe; always drill down to verify.

What the Hourly Chart Showed

But when we examined the hourly chart (below), the picture was not encouraging at all. There was no visible price structure change happening on this lower timeframe. The price was still making lower lows and lower highs – maintaining the downtrend structure without any sign of transition.

RSI Fails the Critical Test

More importantly, look at what the RSI did during the bounce attempt following this first divergence. The RSI took resistance at the 50 level and pulled itself back down.

Think about what this means: the RSI couldn't even reach neutral territory at 50, let alone push into overbought zones above 70. It rallied from oversold conditions, struggled to reach 50, hit resistance there, and then rolled over and declined again.

This is the exact opposite of what we need to see to confirm a bottom:

- A genuine bottom would show the RSI surging above 70
- A genuine reversal would show the RSI breaking through 50 easily and continuing higher
- A real momentum shift would show strength, not struggle

Bearish Range Intact

The bearish range was well maintained on the hourly timeframe throughout this period. The RSI was operating in a clearly bearish structure – likely in the 60-20 or 50-20 range – where rallies were capped and selling pressure dominated.

The Verdict on Divergence #1

This first bullish divergence on the daily chart failed the multi-timeframe confirmation test. Despite the divergence signal, the hourly chart showed:

- No price structure change
- RSI failing at 50 (couldn't reclaim overbought territory)
- Bearish range still intact

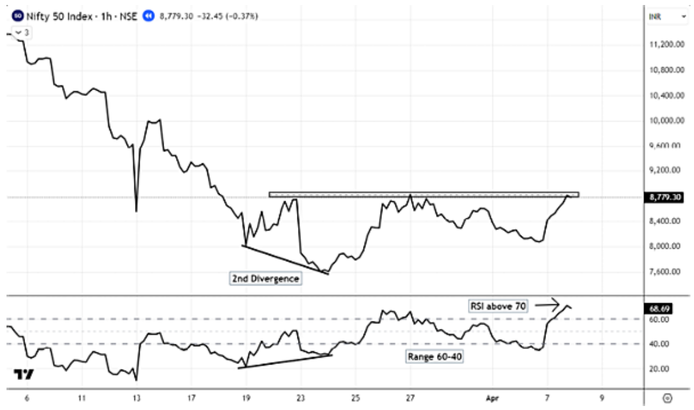
Therefore, this divergence should be ignored or at most treated as a early warning that selling *might* be exhausting, but it's not yet confirmed. Acting on this divergence alone would have been premature and likely resulted in losses as the market continued lower.

This is exactly why our disciplined, multi-timeframe approach is so valuable – it protects us from acting on false signals.

The Second Divergence: Something Different Is Happening

Now, let's carefully read and analyze the second bullish divergence on the hourly chart. This time, something fundamentally different happened compared to the initial divergence, and these differences are exactly what we need to watch for when identifying genuine bottoms.

Have a look at the chart below and notice the critical shifts that occurred.



Development #1: RSI Stabilizes in Neutral Territory

The RSI was pushed into a neutral zone where it was now holding up the 40 level and not breaking below it anymore. This is extremely significant.

During the downtrend and the first failed divergence, the RSI kept breaking below 40, dropping into deeply oversold territory below 30 and even hitting extreme levels like 9.68. But now, after this second divergence, the RSI was finding solid support at 40 and refusing to break lower.

This indicated that the momentum is stabilizing. The relentless selling pressure that kept pushing the RSI into extreme oversold zones was finally exhausting itself. The market was no longer panicking to new extremes – it was finding a floor.

Development #2: RSI Reaches Overbought Territory

Post this stabilization, we also noticed something crucial: the RSI made a move to the 70 level! This is the confirmation we were waiting for throughout the entire crash.

Remember all those failed bounces where the RSI struggled at 50 or 60 and couldn't reach overbought zones? Now, finally, after this second divergence, the RSI had enough strength to push all the way to 70. This demonstrated that buyers were stepping in with genuine conviction, not just providing temporary relief from oversold conditions.

Development #3: Price Structure Begins to Shift

On the price side, we saw confirmation as well. The prices did make a higher bottom this time! Instead of continuing to make lower lows, the price created a low that was higher than the previous low. This is the first sign of a potential trend structure change – the transition from lower lows (downtrend) to higher lows (potential uptrend beginning).

Development #4: Testing Key Resistance

Additionally, the prices reached an important swing resistance zone. This resistance level became a critical test – if the price could break through and hold above this resistance, it would further confirm that the character of the market was changing from bearish to bullish.

Why This Divergence Is Different

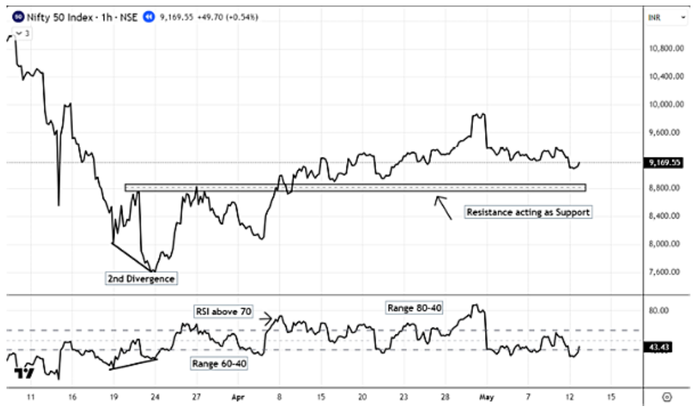
Unlike the first divergence which failed all our tests, this second divergence showed multiple confirmations:

1. RSI holding above 40 (stabilization)
2. RSI reaching 70 (reclaiming overbought territory)
3. Price making a higher low (structure change)
4. Price testing important resistance (potential breakout setup)

This combination of signals across both price and RSI, on both daily and hourly timeframes, creates a much more compelling case that a genuine bottom might be forming.

The Confirmation Arrives: Momentum Shifts to Bullish

As time progresses and we continue monitoring the price and RSI behavior, we notice the momentum turning decisively strong. In the chart below, we can observe the following critical developments that confirm the bottom is genuine and a new uptrend is beginning.



Development #1: RSI Range Shifts to Bullish Zone

The RSI now shifts its operating range to the bullish zone of 80-40! This is one of the most important confirmations we can get.

Remember throughout the entire crash, the RSI was operating in a bearish range – getting capped around 50-60 during rallies and repeatedly dropping below 30 during declines. That bearish range character told us the downtrend was intact and any bounces would fail.

But now, the RSI has fundamentally changed its behavior:

- It's getting overbought above 70 (even touching 80) during rallies
- It's finding support around 40 during pullbacks
- It's no longer breaking below 30 into deeply oversold territory

This range shift from bearish to bullish is the clearest signal that the momentum structure has reversed. We're no longer in a downtrend that rallies weakly – we're now in an uptrend that pulls back in a controlled, healthy manner.

Development #2: Price Breaks Resistance

On the price side, we get equally strong confirmation. The price breaks through the important swing resistance zone that it was testing! This breakout validates that buyers have taken control and are strong enough to push through previous resistance levels.

Development #3: Resistance Becomes Support

Even better, after breaking through the resistance, that level now turns into support. This is classic technical analysis – when resistance is broken convincingly, it often flips to become the new support level.

This role reversal tells us:

- The breakout is legitimate, not a false breakout or “bull trap”
- Buyers are defending the new higher levels
- The price structure has genuinely shifted

The Complete Picture

Now we have everything we were looking for to confirm the March 24th bottom in real-time:

- **Bullish divergence** on the daily chart (initial warning)
- **RSI holding above 40** on hourly chart (stabilization)
- **RSI reaching 70+** on hourly chart (strength returning)
- **Price making higher lows** (structure changing)
- **RSI range shift to 80-40** (momentum confirmation)
- **Resistance breaking** (price confirmation)
- **Old resistance becoming new support** (validation)

This is not hindsight analysis – this is systematic, multi-timeframe confirmation that could have been identified in real-time by a disciplined trader following our RSI methodology.

The bottom wasn’t just visible looking backward. It was identifiable as it was forming, if you knew what signals to watch for.

Why the Consolidation? The Daily Chart Holds the Answer

You must be wondering: if everything has turned bullish as of now – with the RSI range shift, resistance breaking, and support forming – then why haven’t the prices taken off aggressively? Why is the market consolidating after the breakout instead of launching into a strong rally?

This is an excellent question, and the answer demonstrates the beautiful interplay between multiple timeframes.

Consolidation Is Actually a Positive Sign

First, let's address the consolidation itself. A consolidation post-breakout is actually a strong accumulation signal, not a sign of weakness. When a market breaks resistance and then pauses to consolidate rather than immediately reversing, it shows that:

- Buyers are not panicking to chase higher prices
- Smart money is accumulating positions methodically
- The breakout is being digested and validated
- A solid base is being built for the next leg higher

This type of healthy consolidation often precedes sustained rallies, as opposed to vertical spikes that quickly reverse.

The Magic of Multiple Timeframes

But most importantly, the magic of multiple timeframe analysis is playing out perfectly here. Look at the daily chart (below). Where is the RSI positioned?

Exactly! It is sitting right at the 60 level!

Why the 60 Level Matters

This 60 level on the daily chart will show its effect without doubt. Here's why:

The 60 level on the RSI is a critical neutral zone – it's the midpoint of the bullish range (80-40). When the RSI reaches 60 on a higher timeframe like the daily chart, it often acts as a pause point where the market:

- Consolidates to let the RSI cool off slightly
- Allows late sellers to exit and new buyers to accumulate
- Builds energy for the next push higher

The hourly chart might be showing bullish range behavior and strength, but the daily chart is saying "I need a moment to stabilize at this 60 level before continuing." The daily timeframe carries more weight and governs the bigger picture rhythm of the market.

The Timeframe Hierarchy

This is a perfect example of how timeframes work together hierarchically:

- **Hourly chart**: Shows us the momentum has shifted bullish (80-40 range, support holding)
- **Daily chart**: Shows us why we're pausing (RSI at 60 needs consolidation)

Both are correct in their respective timeframes. The hourly tells us the trend has reversed. The daily tells us why we're not rocketing higher immediately.

Once the daily RSI stabilizes at or above 60 and then pushes toward 70 with conviction, that's when the consolidation will likely end and the strong rally will resume. The daily chart needs to confirm and align with what the hourly chart is already showing.

This is the beauty and power of multi-timeframe analysis – it explains not just what's happening, but *why* it's happening and what to expect next.

The Perfect Setup: A Dip That Launches the Rally

Let's keep analyzing the trend as it progresses and see how beautifully the multiple timeframes work together to create tradable opportunities.

The Shakeout Below 30

As the trend progressed, we saw that the RSI once again dipped below 30 on the hourly timeframe. This happened following that 60 resistance we identified on the daily timeframe. At first glance, this might have looked concerning – the RSI dropping all the way below 30 again after we just confirmed a bottom? Was the reversal failing?

But this is where understanding context and multi-timeframe dynamics becomes crucial.

The Strong Bounce

Eventually, the RSI bounced back strongly from this dip. Look at the chart below and observe the power and conviction of this recovery. This time, the RSI on the hourly chart didn't just bounce back to 60 or 70 – it went above 80! This was an explosive surge in buying momentum.

It Was a Setup, Not a Failure

What happened here is a classic pattern in strong trends: the market took a step back to make a bigger leap forward. Think of it like a runner taking a few steps back to get a running start before jumping over a high bar.

The dip below 30 on the hourly RSI served several purposes:

- It shook out weak hands who got scared and sold
- It created deeply oversold conditions that provided fuel for a strong bounce
- It allowed smart money to accumulate more positions at better prices
- It created the “coiled spring” effect where pent-up buying pressure was ready to explode

When the RSI bounced from below 30 and surged above 80, it demonstrated exceptional strength – the kind of momentum spike that often marks the beginning of a powerful trending move.

The Daily Chart Breakthrough

Now here’s where the magic of multiple timeframes really shines: this powerful leap on the hourly chart – with RSI exploding above 80 – pushed the daily RSI above the 60 level as well! Refer to the chart below and you can see this clearly.

Remember, we were waiting for the daily RSI to break above that 60 resistance level and confirm that the consolidation was over. The hourly chart delivered the momentum punch needed to push the daily chart through that key level.

This is timeframe alignment in action:

- **Hourly chart**: Creates the explosive momentum (RSI >80)
- **Daily chart**: Confirms the breakout (RSI >60)
- **Together**: They validate that the next leg of the rally is underway

The dip below 30 on the hourly wasn't a failure of the reversal – it was the setup for an even stronger confirmation. The temporary weakness created the conditions for exceptional strength, and now both timeframes are aligned bullishly and ready to trend higher.

The Final Confirmation: Daily Range Shifts to Bullish

Ultimately, the range shifted on the daily chart as well. After all the confirmations we tracked – the bullish divergence, the hourly RSI reaching 70, the resistance break, the consolidation, and finally the explosive move above 80 on the hourly chart – the daily RSI completed its transformation and established itself firmly in the bullish 80-40 range.

This is the complete, multi-timeframe confirmation of a genuine trend reversal:

- Hourly chart shifted to bullish range first (early signal)
- Daily chart followed and confirmed the shift (validation)
- Both timeframes now aligned bullishly (high conviction)

The Power of Correct RSI Usage

This entire case study – from identifying the COVID crash top to navigating the brutal decline to recognizing the genuine bottom in real-time – demonstrates how RSI can prove incredibly powerful if used in the correct way.

But let me emphasize something absolutely critical that you must always remember:

RSI is NOT a Buy/Sell Indicator

RSI does not tell you “buy here” or “sell there” with simple overbought/oversold readings. If you use it that way – buying every time it hits 30 and selling every time it hits 70 – you will lose money and blame the indicator when the real problem is misunderstanding its purpose.

RSI is a Diagnostic Tool

RSI is a tool that diagnoses the strength and character of price moves. It tells you:

- Whether momentum is building or weakening
- Whether the trend structure is healthy or deteriorating
- Whether rallies have conviction or are destined to fail
- Whether declines are exhausting or accelerating

It gives you context, early warnings, and confirmation signals – but always in conjunction with price action, never in isolation.

Approaching Tools Correctly Unlocks Their Power

Approaching any tool correctly is what lets you utilize the full power of it. A hammer is incredibly useful when you understand it's for driving nails, not for cutting wood. Similarly, RSI is incredibly powerful when you understand it's for reading momentum and diagnosing trend health, not for generating mechanical buy/sell signals.

Throughout these case studies, we didn't blindly buy oversold readings or sell overbought readings. Instead, we:

- Watched for divergences as early warnings
- Confirmed signals across multiple timeframes
- Looked for range shifts to understand character changes
- Required price structure confirmation before acting
- Used RSI to understand *why* price was moving, not just *what* it was doing

This disciplined, thoughtful approach to RSI – treating it as a diagnostic tool rather than a black box signal generator – is what transforms it from a frustrating, unreliable indicator into a powerful ally in your trading.

A NOTE BEFORE WE CLOSE

We have discussed many important concepts about RSI throughout this book – from basic divergences to multi-timeframe analysis, from the Momentum Monitor System to Range Rules, from identifying crashes to recognizing bottoms. We've covered substantial ground together.

But I want to be honest with you: **this is not the end.** There are still many things that I can discuss about RSI with you. The RSI indicator is remarkably versatile, and my journey with it continues to reveal new insights and applications.

How This Knowledge Developed

When we started learning RSI, we began with the basics which were freely available on the internet – simple overbought/oversold concepts, basic divergence definitions, and standard interpretations. But the real learning didn't come from just reading those basics.

It came from using RSI every single day and working with it consistently in real market conditions. This daily practice helped us improvise and refine the use of the tool. We discovered nuances that textbooks don't teach. We learned which signals work reliably and which ones fail. We developed the multi-timeframe approach, the range analysis, and the systematic confirmation methods you've learned in this book.

Why Stop Here?

Discussing all the other concepts and refinements in this same volume would make this book very heavy and overwhelming. You'd be drowning in information without the time to absorb and apply what you've already learned. More importantly, the flow and clarity would suffer.

Possibly, if the Almighty permits, I will come up with another volume of this book covering additional advanced concepts, specific market applications, sector-specific RSI behaviors, and more sophisticated timing techniques.

You Already Have What You Need

But here's the important truth: **the crux of the tool has already been given to you** in this volume. The foundational concepts, the multi-timeframe methodology, the range analysis, the divergence confirmation techniques, the momentum monitoring approach – these are the core principles that drive everything else.

If you just practice what's in this book – truly practice it, not just read it once and forget – believe me, RSI will change your trading game forever! This is not hyperbole or marketing speak. This is the truth based on years of application.

Your Own Journey Awaits

While using RSI with the methods I've shared, you will inevitably come up with your own techniques and refinements. This is exactly how things should work. You'll notice patterns I haven't discussed. You'll find applications specific to your trading style or the markets you focus on. You'll develop shortcuts and recognition skills that become second nature to you.

There's No One "Right" Way

It's not necessary to follow RSI exactly as I have discussed in every single detail. If there is some other way that RSI works out better for you, that fits your personality and trading approach, that's great! Embrace it. This is how a conventional tool works in non-conventional ways when placed in the hands of different traders with different perspectives.

The concepts I've taught you are frameworks and principles, not rigid rules. Use them as a foundation, but build your own structure on top of it.

The Only Requirement: Practice

The only effort required by you will be practice, and practice hard. Don’t just read this book and put it on the shelf. Work with RSI on your charts every single day. Test these concepts on historical data. Apply them in real-time. Make mistakes, learn from them, and refine your approach.

RSI will only reveal its true power to those who put in the work.

Best of Luck in Your Journey

Best of luck in your journey with RSI. May your charts be clear, your signals be strong, your trades be profitable, and your understanding deepen with each passing day.

Remember: the indicator doesn’t make you successful. Your disciplined application of it does.

Trade wisely, practice diligently, and prosper.

STOP LOSING MONEY: 20 WAYS TRADERS SABOTAGE THEMSELVES (AND SIMPLE FIXES THAT ACTUALLY WORK)

Welcome to the School of Hard Knocks

Trading looks easy from the outside. Watch a few YouTube videos, open a brokerage account, click some buttons, and boom—you're making money, right?

Wrong. So incredibly wrong.

The truth is that trading is one of the most challenging professions you can pursue. It requires discipline, education, psychological strength, and a willingness to accept being wrong—often. Most people fail. Not because they're stupid, but because they make predictable, avoidable mistakes.

This guide distills the most common trading mistakes into 20 clear categories. These aren't theoretical problems—these are the real reasons traders blow up their accounts, abandon their dreams, and go back to their day jobs with significantly lighter bank accounts.

Let's dive in.

Not Knowing What a Mistake Actually Is

Before you can avoid mistakes, you need to define what a mistake actually is in trading. Sounds obvious, right? But most traders have no clear definition.

Here's the problem: Many traders think a mistake is simply losing money. It's not. You can make a perfect trade according to your rules and still lose money. That's not a mistake—that's trading.

A trading mistake falls into two categories

- **First**, assuming trading is easy and doesn't require serious preparation and work. If you jump into markets without proper education, system development, and psychological preparation, everything you do is probably a mistake.
- **Second**, once you have a proper trading plan with documented rules, a mistake is any time you break your own rules. Simple as that.

Why this matters

Most traders never develop a complete set of rules and guidelines. They trade on feelings, tips, or whatever seems right in the moment. Then they're surprised when their results are inconsistent.

What you should do

Define your rules clearly. Write them down. Then measure your mistakes by tracking every time you break those rules. You'll quickly see that your biggest problem isn't the market—it's your inability to follow your own plan.

Track your mistakes in terms of risk multiples (R-multiples). If your initial risk on a trade is $100, and you make an emotional decision that costs you $400, that's a 4R mistake. Do this for a year. You'll be shocked at what your lack of discipline is costing you.

If you make one mistake every 10 trades, you're 90% efficient. Improve to one mistake every 50 trades (98% efficient), and you could literally double your returns.

Jumping In Before You're Ready

"How much money will I make?" "Will I be profitable by next week?" "How long does learning take?"

These are the questions asked by people who haven't grasped what they're getting into.

The fantasy: Trading is sold as an easy path to wealth. "Just 10 minutes a day!" "Make money while you sleep!" "Financial freedom is just one system away!"

The reality: Trading is a demanding profession requiring years of study, practice, and skill development—just like medicine, law, or engineering.

Imagine walking into a hospital and announcing you'd like to perform surgery today. They'd call security. Yet the trading industry happily lets anyone with a few thousand dollars do the financial equivalent.

Why people skip preparation

Our society rewards quick results. We want instant gratification. The idea of spending years learning before making money feels unbearable.

Plus, the trading industry depends on recruiting new traders (since so many fail). No brokerage, seminar provider, or coaching service gets far by emphasizing how difficult trading is and how long it takes to develop skills.

What you should do

Complete these five steps before risking real money:

1. **Work through psychological issues.** Trading will expose every emotional weakness you have. Identify at least five major psychological patterns you have and work on them. Low self-esteem? Anger issues? Need for approval? Fix these first.
2. **Create a comprehensive business plan.** Include your goals, assessment of current market conditions, at least three different trading systems for different market types, complete business procedures, worst-case contingency plans, position sizing strategies, and a psychological management plan.
3. **Develop multiple trading systems.** One system won't work in all market conditions. A quiet bull market requires different strategies than a volatile bear market. You need to recognize

market types and only trade when your system fits current conditions.

4. **Set clear objectives and use proper position sizing.** Know what you're trying to achieve and how much you'll risk on each trade. Most traders don't realize that position sizing—not the trading system itself—is how you achieve your objectives.
5. **Monitor and measure everything.** Track your performance. Measure your mistakes. If you can't sustain a detailed trading journal, you won't have the persistence to make it through the learning curve.

Trading Without a Written Plan

"A ship without a destination is just drifting."

Whether you're a day trader or long-term investor, you need a well-researched, documented plan for engaging any market. This isn't optional.

Why traders skip this

Writing is hard. Netflix is easy. Most people take the path of least resistance.

During good times when markets trend up and trading seems easy, plans seem unnecessary. Stops get forgotten. Position sizing goes out the window. Entry and exit rules become sloppy.

Easy money gets made listening to tips, trading by gut feel, buying based on rumors. Who needs a plan when everything goes up?

Then reality hits

Markets crash. Bear markets begin. Or markets chop sideways for months.

The unprepared get slaughtered. They watch portfolios get decimated, wondering what happened. Meanwhile, professional traders have already exited and are now profiting from the opposite direction.

How? They had predefined rules documented well before events unfolded. They knew exactly when to exit. They executed swiftly and decisively, without emotional attachment.

What your plan must include

- **Goals and objectives:** Why are you trading? What do you want to achieve? Be specific.
- **Trading structure:** Personal name? Company? Trust? Decide before you start.
- **Trading tools:** What will you use? Software, data sources, brokers, websites?
- **Trading style:** Day trader? Short-term? Medium-term? Long-term? Pick one that fits your life.
- **Trading indicators:** What helps you make decisions? Keep it simple.
- **Order execution:** Full-service broker or online platform?
- **Trade exit rules:** Initial stop-loss criteria, trailing stops, profit targets, when to add to positions, time-based exits for drifting trades.
- **Risk and money management:** This is THE most important part. How you open trades (position sizing), how you manage trades once open (stop-loss strategy), how you track maximum drawdown, when to increase or decrease position size.
- **Market exposure guidelines:** How will you expose yourself after losses or when trends change?
- **Trading systems:** Your setup and trigger criteria for selecting trades. Your specific exit strategy for each trade.
- **Trading routine:** What will you do daily, weekly, quarterly to analyze markets, select trades, manage positions?
- **Performance analysis:** Regular evaluation of your performance. Know when to take action if things aren't working.

- **Contingency plan:** What could go wrong? Have a plan for every disaster scenario.

Do it now, not later

The best time to document your plan is before you start trading. If you're already trading without one, stop and write it now.

It's hard work. It takes time. But completing it feels like a weight lifted off your shoulders. You'll have clear rules, answers to all the "what if" scenarios, and control over your trading.

Your plan will evolve over time—that's normal. Life changes. Markets change. Your plan should adapt. But always have it written down so you know exactly what you're doing.

Not Trusting Yourself

Developing the ability to trust yourself and your own judgment is key to trading success.

Yet despite constant urging to develop their own skills, many traders continue placing faith in others' judgment—from their supposedly well-informed brother-in-law (who works two jobs to make ends meet) to overpriced trading systems that look great at presentations but fail in real-time.

Why we defer to others

We're programmed from childhood to respect authority figures. Parents, teachers, bosses—we suffered consequences for not listening to them.

As adults, we want to believe someone has the answers. We have ingrained belief in expert authority. If there's a newsletter or broker that can shortcut our painful learning process, we'll trust that source.

Also, most people are time-poor but want to discover a golden opportunity. It's simpler to follow someone with perceived expert power.

The self-doubt epidemic

Self-doubt runs rampant. When you combine this with a task that's ambiguous and doesn't have clear right or wrong answers, traders naturally doubt themselves.

Here's an important concept: your "locus of control."

Internal locus of control means you take responsibility for situations within your control. You understand you're completely responsible for your actions. You don't rely predominantly on expert advice. You know you can't control markets—only yourself. You react objectively.

External locus of control means you believe outside forces control everything. You experience frequent self-doubt. You blame your broker or "experts" when you lose money. You have trouble learning from experience because you don't take responsibility. You try to prove you're "right" rather than minimize losses when trades go bad. You react emotionally.

The trading and ego problem

Trading is filled with emotion and huge doses of ego. People love being the big shot at parties, telling anyone who'll listen about their latest "killing" in the market.

This, coupled with our tendency to defer decisions to others, leads to emotional attachment to trades based on hot tips, newspaper articles, or gut feelings.

Once in the trade, there's no knowledge of how to manage it or exit when it goes wrong.

What you should do

Become aware of your self-talk. This helps you take responsibility for your actions and learn trading lessons more quickly.

The goal isn't becoming blindly optimistic. Some critical self-evaluation is necessary. But if you believe it's never your fault that you keep losing money, you'll keep trading until you're broke.

If you seek self-improvement through realistic self-evaluation, this can greatly enhance results.

Expert traders take responsibility and react objectively at all times. It's almost as if they don't have their own money invested. They've developed detachment from profit and loss results. Instead, they aim only to trade well.

They don't rely on others' advice. They make decisions based on sound analysis. They maintain internal locus of control.

Their wins and losses are indistinguishable emotionally. If markets don't "behave," they take impassive action to limit risk. They analyze both winning and losing trades and learn from experience. They have written, back-tested trading rules and follow them without exception.

They trade to follow rules and trade well, rather than chase profits.

Not Aligning Your Strengths

Here's an uncomfortable truth most won't tell you: Not everyone can be a successful trader.

Just like sports, arts, or science, some people simply won't make it. The majority of us will never play golf like Tiger Woods or paint like Picasso—we don't have the talent.

The talent question

Trading is a high-performance activity requiring certain natural abilities that can be enhanced through acquired skills over time.

What successful traders are "naturally" good at, they've developed through learning, improvement, and thousands of hours of practice.

What you CAN do is be aware of your limitations, recognize and accept them, and be honestly assess your trading abilities.

Personality matters

Personality is necessary for trading success, but not sufficient to ensure it.

Among individual traders, it's easier to believe failures are due to psychological factors than lack of talent and skill. They blame "discipline" rather than examining whether their methods actually have an edge.

The idea that someone will pick up chart patterns from seminars and successfully compete with professional money managers (who have mountains of research and inside knowledge) is as delusional as terrible singers auditioning for talent shows and blaming nervousness for their awful performance.

Problematic personality traits

An active, distractible, sensation-seeking temperament causes problems. These traders seek action and stimulation. They rebel against risk management and rule-based trading. Their impulsiveness leads to poor decisions.

People who tend toward negative emotional experiences (neuroticism) also struggle. Their anxieties, guilt, and frustration interfere with clear decision-making, leading to either excessive risk-aversion or risk-seeking.

These temperamental factors are trait-like—not easily modified. Some people are temperamentally unsuited for risk and uncertainty of financial markets.

What you should do

If you've decided trading appeals to you, there are steps to develop required skills:

1. **Set reasonable goals** to maintain positive mindset and motivation.
2. **Set process goals** focused on trading process, not just profitability: keeping losing trades smaller than winners, sizing trades properly, etc.
3. **Emphasize strengths and winners.** Your winning trades teach you as much as losers. Know what you do well and maximize it.

4. **Give it time.** Don't confuse a few weeks of success with actual skill. Sustain your learning across many market cycles.
5. **Keep a trading journal.** It structures your learning process and documents goals and progress.

Then practice, practice, practice before risking real money.

Use simulated trading—platforms with real prices and real market movements where trades aren't actually executed but processes, emotional reactions, and outcomes are quite real.

This is dramatically different from "paper trading" where trades can be entered after the fact or fiddled with. Simulated trading forces total honesty about your ability.

Only once successful in simulation should you risk real capital by trading small size.

Align your strategy with your personality

Ensure your trading system aligns with your trading strengths. Understanding yourself determines what these strengths are.

You may find short-term trading doesn't gel with your personality. You may discover options trading doesn't make sense to you despite all your studying.

Recognize and deal with these discoveries. Make necessary adjustments. This can only be achieved by fully knowing who you are, what you want from trading, and how the two combine for the best fit.

Many traders try mimicking others' styles rather than developing approaches that work for them. Result? Underperformance and frustration.

Find markets and methods that work for you, not a mythical Holy Grail working for everyone.

Mistake #6: Overcomplicating Entry Signals

Inconsistent traders constantly search for new entry rules, the latest indicator, the newest fad—anything that will supposedly help them trade “better.”

This search for the perfect system is time-consuming, soul-destroying futility involving countless hours of frustration until traders finally realize the perfect system doesn’t exist.

Why this happens

Many “educators” and dodgy system sellers concentrate on entry signals when selling their wares. They place over-reliance on entries as the be-all and end-all of “good” trading.

They show plenty of examples of trades that worked perfectly. They conveniently avoid discussing losing trades, stop losses, or money management.

Many wannabe traders are led to believe entry signals are way more important than they are. They spend enormous time and energy searching for the perfect entry, continuing to complicate the process—sometimes to the point where it becomes unusable.

Paralysis by analysis

Traders become so bogged down with indicators, patterns, strategies, and formulas that they can’t enter trades. They’re waiting for so many things to line up perfectly that they never pull the trigger.

The simple truth

Without doubt, simple things in trading are often the best. Markets are already complex—creating complicated entry strategies adds further complexity to an already complex environment.

The only variable in markets we can control is ourselves: our fear, greed, emotions, and how we adhere to our trading rules.

Some of the most successful trading methods haven’t changed in decades. Simple breakout techniques applied consistently with proper risk management have created fortunes. These methods average exceptional returns year after year—not through complex optimization, but through simplicity and consistency.

Over-optimization doesn't help long-term. Same concepts that worked decades ago still work today.

What you should do

Keep entry signals simple and straightforward. While entry signals are important components of a trading plan, they need not be overcomplicated.

The "best" trading systems provide clear, unambiguous entry (and exit) signals from just a few, often simple, criteria.

Markets are imperfect. Some trades work. Some don't. So what? Accepting this imperfection allows you to take entry signals generated by your system.

Coupled with understanding system probabilities and applying strict money management and position sizing, you can execute trades while always trading with stops in place.

Cutting losses short is the most important factor. Cutting losers means you clear out low-expectation trades and leave better ones to grow.

Trading is 20% entry, 80% trade and money management.

Having simple, straightforward approach to trade entry shifts focus away from needing to be right and toward thorough understanding of money management, risk management, and the numbers of your trading system.

This also frees up time to explore other techniques and spend less time poring over charts.

Taking emphasis off needing to be right all the time changes your psychology. You realize more trades you take puts you closer to long-run performance of your system. Your stress levels reduce. You can actually enjoy trading for what it is: a numbers game.

Making Everything Too Complicated

Traders easily get bamboozled by complexities: hundreds of technical indicators, countless theories, literally thousands of trading strategies—complexity in a complex world.

Add the urgings of supposed educators intent on convincing the unwary that making money is easy, and it's easy to understand why there's an urge to overcomplicate decision-making.

Why we complicate

When you're told something is easy, then discover it's not, it's natural to make it more complicated. This verifies your experience: "See? I was right—it IS hard!"

Many traders feel the need to be "right" and have the highest win rate possible. They cannot accept that trading is a numbers game and losses are part of the process.

The win-rate obsession

A trader once started a presentation with: "I had 4,000 losing trades last year… I am the biggest loser in this room…"

The audience nodded knowingly.

Then he continued: "…and if I had 4,000 MORE losing trades, I would have made TWICE as much!"

Shock and confusion. They didn't grasp the statistics.

For active day traders looking for impulse moves, win rate might not be particularly high—but edge ratio can be high, so value of wins far exceeds value of losses.

If statistics add up, you make money over time. It's completely unrealistic to expect a system producing wins 100% of the time. Yet that's what many search for.

This constant search sends them into analysis overdrive, searching for that elusive perfect indicator or mix.

Fear drives complexity

The other reason people overcomplicate? Fear. It's scary putting hard-earned money at risk. It's natural to want everything 100% right so you won't lose capital.

But you can't ensure everything is 100% right. Markets are uncertain—that's their defining characteristic.

Simple system, complex application

Many successful trading systems are simple. The difficulty is in your ability to apply the system to the market.

It's an art to effectively read and "feel" markets and apply your system. It's also an art to read when you shouldn't trade.

This skill is only developed through hours studying how markets move and experience executing trades over time.

Everyone can be expert in hindsight. Analyzing past data is no substitute for reading markets in real-time. It's far more difficult to see setups in real-time than after the fact.

This leads traders to believe there's something more they need to know.

Analysts vs. traders

Analysts are at risk of over-intellectualizing trading to prove they're smarter than the market. These are people who love analyzing markets and creating great systems and indicators, but they're not traders.

There's a great divide between analyst and trader. Some people get so excited about their "revolutionary" system that they write books about it—without ever putting a single dollar on the market to test it!

What you should do

Keep it simple—but understand simple doesn't mean easy.

Use one or two trading strategies. Ensure you have clear entry and exit strategies. Focus on identifying a limited number of setups providing high probability of success with low-risk parameters. Have preset exit and stop-loss strategies for each setup.

Even though the trading process itself is simple, the ability to identify setups in real-time and diligently apply your strategy while your money is at risk is often far more difficult.

The truth about indicators

Technical indicators are combinations of price, volume, and perhaps time. There are no other variables that can be manipulated to produce a mathematical indicator.

Many indicators give same or similar entry conditions. Getting too hung up on accuracy and specifics wastes enormous time and effort.

Do research to determine indicators that resonate with your personality and trading style. Then determine through backtesting and analysis whether they produce profitable results.

The important issue is NOT searching for indicators producing profitable results 100% of the time. None do!

What's important is knowing and understanding the numbers: win-loss ratios, size of winning trades versus losing trades, average duration, maximum drawdown.

This constant search for tools accurate 100% of the time leads to frustration, confusion, and prevents traders from actually pulling the trigger.

They become obsessed with being right rather than accepting they'll be wrong—sometimes quite often.

Trader development stages

New, inexperienced, fearful traders tend to be highly focused on entry techniques, searching for "perfect" indicators.

Those with some experience and less fearful tend to be highly focused on exit techniques, endeavoring to milk maximum profit from every trade.

Experienced traders know themselves and their systems well enough that their focus is on money management, risk management, and order execution. They confidently enter and exit trades according to predefined rules.

Once rules for engagement have been determined and you have full understanding of your system, it’s vital all rules are documented in a written trading plan.

By working through this process of discovering indicators and rules that work for you, you’ll have conquered the over-analysis problem. You’ll have a simple approach to markets that suits you.

Poor Money Management

Money management is arguably the most important aspect of trading—yet it’s the one most traders ignore or misunderstand.

You can have the best trading system in the world, but without proper money management, you’ll eventually blow up your account.

What is money management?

Money management determines:

- How much you risk on each trade (position sizing)
- How you manage that risk once in the trade (stop-losses)
- Your maximum exposure across all positions
- When to increase position sizes (when winning)
- When to decrease position sizes (when losing)

Why traders ignore it

Money management is boring. It’s not sexy. It doesn’t involve fancy indicators or clever analysis. It’s just math and discipline.

Traders want to focus on finding the next big winner, not on calculating how much to risk. They want to talk about their brilliant market analysis, not their position sizing algorithm.

The reality

Position sizing is how you achieve your objectives. A great system just makes it easier to meet objectives through position sizing.

Most traders have this backward. They obsess over finding the perfect entry while ignoring how much they're risking.

What you should do

Never risk more than 1-2% of your account on any single trade. This is non-negotiable.

If you have a $50,000 account, that means risking $500- $1,000 per trade maximum. Not $5,000. Not $10,000. Definitely not "whatever feels right."

Use stop-losses on every trade. Know your exit point before you enter. Your initial stop defines your initial risk (1R).

Express all results as multiples of your initial risk. If your risk is $500 and you make $2,500, that's a 5R gain. If you lose $750, that's a 1.5R loss.

This R-multiple thinking changes everything. You stop thinking in dollars and start thinking in risk multiples. This helps you understand your system's true performance.

Track your maximum drawdown. Know the largest peak-to-valley decline your account can sustain. If you can't handle a 20% drawdown psychologically, don't use a system that historically has 25% drawdowns.

Reduce position sizes after losses. Increase them after wins—but slowly and carefully.

Most traders do the opposite. They increase size after losses (trying to "get it back") and decrease size after wins (playing it safe). This is exactly backward and guarantees eventual failure.

Mistake #9: Buying Dodgy Systems

The trading industry is filled with snake-oil salesmen selling "proven" systems that will supposedly make you rich with minimal effort.

These systems usually have several things in common:

- Slick marketing

- Cherry-picked results showing only winners
- Promises of high win rates
- "Limited time" offers creating urgency
- High prices ($5,000, $10,000, or more)
- Testimonials from "satisfied customers"
- Complex indicators or "proprietary" methods

Why people buy them

We want to believe there's a shortcut. We want to believe someone has figured it out and we can just buy their solution.

We're also impressed by complexity. If a system looks complicated and "scientific," we assume it must work. Surely all that complexity means someone smart developed it, right?

The reality

Most of these systems don't work in real-time trading. They're curve-fitted to historical data, meaning they're optimized to show great results on past data but fail miserably going forward.

The vendors make money selling the system, not trading it. If the system actually worked as advertised, why would they sell it instead of just trading it themselves?

Warning signs

- No verified track record of real trades
- Won't show you losing trades
- Focuses entirely on entry signals
- Ignores money management and position sizing
- Uses confusing jargon to sound sophisticated
- Creates artificial urgency ("Only 10 spots left!")
- Promises specific dollar amounts you'll make

- Claims to work in all market conditions

What you should do

Be extremely skeptical of any trading system for sale. If someone is promising amazing returns for little work, run.

Look for educators who:

- Actually trade their methods
- Show both winning and losing trades
- Discuss money management extensively
- Teach you how to think, not just what to buy
- Have verified track records
- Don’t make outrageous promises
- Focus on education, not just selling systems

Better yet, develop your own system. It doesn’t have to be complicated. Simple systems based on sound principles often work best.

Learn the fundamentals. Understand market dynamics. Study price action. Develop your own methods that fit your personality and lifestyle.

Yes, this takes time and effort. But it’s infinitely better than throwing money at dodgy systems that don’t work.

Not Understanding Your Edge

Every successful trader has an “edge”—something that gives them a mathematical advantage in the markets.

Without an edge, you’re just gambling. And the house (the market) always wins against gamblers eventually.

What is an edge?

An edge is a systematic approach that produces positive expectancy over many trades. It means that on average, over time, you make more money than you lose.

Your edge might be:

- A trend-following system that captures big moves
- A mean-reversion strategy that profits from oversold bounces
- Superior money management that limits losses and lets winners run
- Better execution that gets you in and out at favorable prices
- Ability to read market psychology and sentiment

Expectancy explained

Expectancy is the average amount you can expect to make per dollar risked.

Formula: (Win% × Average Win) - (Loss% × Average Loss)

Example:

- You win 40% of trades
- Average win is $1,000
- Average loss is $400

Expectancy = (0.40 × $1,000) - (0.60 × $400) = $400 - $240 = $160

For every dollar you risk, you expect to make $0.16 on average. That’s a positive edge.

Why traders don’t know their edge

Most traders have never calculated their expectancy. They don’t track enough data. They don’t know their win rate, average win, or average loss.

They trade on feelings, not statistics. They have no idea whether they actually have an edge or not.

What you should do

Track every trade in detail:

- Entry price and date
- Exit price and date
- Win or loss
- Size of win or loss in both dollars and R-multiples
- Why you entered (what setup)
- Why you exited (stop hit, target reached, time-based, etc.)

After 30-50 trades, calculate:

- Win rate (percentage of winning trades)
- Average winning trade size
- Average losing trade size
- Expectancy

If your expectancy is negative, you don't have an edge. Stop trading real money immediately. Go back to simulation or study until you develop a positive edge.

If your expectancy is positive, continue tracking to ensure it remains positive across different market conditions.

Understand that even with a positive edge, you'll have losing streaks. This is normal. Your edge plays out over many trades, not on any single trade.

Different edges for different traders

Your edge doesn't have to be the same as anyone else's. In fact, it shouldn't be.

Day traders have different edges than swing traders. Trend followers have different edges than mean-reversion traders. Options traders have different edges than futures traders.

Find an edge that fits:

- Your personality
- Your available time
- Your risk tolerance
- Your capital base
- Your skills and interests

Don't try to trade someone else's edge if it doesn't fit who you are. You won't be able to execute it consistently.

Ignoring Market Conditions

No trading system works in all market conditions. None.

Yet many traders develop one system and try to force it to work regardless of what the market is doing.

Different market types

Markets move through different phases:

- Strong uptrends (bull markets)
- Strong downtrends (bear markets)
- Sideways ranges (choppy, directionless)
- High volatility
- Low volatility
- Trending
- Mean-reverting

System performance varies

A trend-following system crushes it during strong trends but gets chopped up in sideways markets.

A mean-reversion system profits nicely in ranges but gets destroyed when a strong trend emerges.

A volatility breakout system works great when volatility expands but produces false signals in quiet markets.

Why traders ignore this

They want to believe their system is the Holy Grail that works everywhere, always. Admitting your system doesn't work in certain conditions feels like admitting weakness.

Plus, identifying market conditions requires judgment and analysis. It's easier to just apply the same system mindlessly.

What you should do

Develop at least three different systems for different market types:

- One for trending markets
- One for ranging markets
- One for highly volatile markets

Learn to identify which type of market you're in. Use only the system designed for current conditions.

This means sometimes you won't trade. If your only system is trend-following and markets are choppy, you sit on the sidelines. That's okay. Preservation of capital is success.

Better to miss opportunities than to trade a system in conditions where it's designed to fail.

Track your system's performance across different market types. Know when it works and when it doesn't.

When market conditions change, switch systems. Don't try to force a square peg into a round hole.

Flexibility is key. Being able to adapt to changing market conditions is what separates consistently profitable traders from those who have good years and bad years.

Overtrading

Overtrading kills more trading accounts than almost anything else.

What is overtrading?

Overtrading means:

- Taking trades that don't meet your criteria
- Trading too large a position size
- Trading too frequently
- Taking trades out of boredom or compulsion
- Revenge trading after a loss

Why traders overtrade

Trading is exciting. Sitting on the sidelines is boring. When you're not in a trade, you feel like you're missing out.

After a loss, there's a strong urge to "get it back" immediately. This leads to forcing trades that aren't really there.

Also, many traders confuse activity with productivity. They think more trades = more money. This is rarely true.

The reality

More trades usually = more commissions, more slippage, more mistakes, more stress, and worse results.

The best traders often make relatively few trades. They wait patiently for high-probability setups that meet all their criteria. Then they execute with conviction.

What you should do

Have strict criteria for trade entry. If all criteria aren't met, don't trade. Period.

Set a maximum number of trades per day or per week. This forces you to be selective.

After a losing trade, take a mandatory break. Walk away for at least 30 minutes. Don't immediately jump back in trying to recover losses.

Remember: Not trading is a position. Cash is a position. Sometimes the best trade is no trade.

If you find yourself taking trades out of boredom, you have a problem. Trading is a business, not entertainment. If you're bored, find another hobby. Don't trade for excitement.

Track how many of your trades are "A+ setups" versus "B or C setups." You'll probably find your best results come from A+ setups. So why are you taking B and C trades?

Quality over quantity. Always.

Poor Risk-Reward Ratios

Taking trades with poor risk-reward ratios is a slow death for trading accounts.

What is risk-reward ratio?

It's how much you're risking versus how much you could potentially make.

If you risk $100 to make $300, that's a 3:1 risk-reward ratio (or 3R in our terminology).

If you risk $100 to make $50, that's a 0.5:1 ratio (or 0.5R)—terrible.

Why this matters

With a 3:1 risk-reward ratio, you only need to win 25% of your trades to break even. Win more than 25%, and you're profitable.

With a 1:1 ratio, you need to win 50% just to break even.

With a 0.5:1 ratio, you need to win 67% to break even—very difficult to achieve consistently.

Common mistakes

Traders often take profits too early (small wins) and let losses run (big losses). This is exactly backward.

They might be right about market direction 70% of the time but still lose money because their losses are bigger than their wins.

What you should do

Never take a trade unless you can see potential for at least 2:1 risk-reward, preferably 3:1 or better.

If you can't identify where your profit target will be before entering, don't enter the trade.

Let winners run. Cut losers short. This is the cardinal rule of trading, yet most traders do the opposite.

Use trailing stops to protect profits while giving trades room to develop.

Be willing to sit through normal volatility on winning trades. Don't bail out at the first sign of a pullback.

Your average winning trade should be at least 2-3 times larger than your average losing trade. Track this. If it's not true, you're doing something wrong.

Listening to News and Tips

Financial news and hot tips are dangerous to your trading health.

The news problem

By the time news reaches you, the market has already reacted. The "smart money" acted on this information long before it became public news.

News is also biased, sensationalized, and designed to generate clicks and viewers—not to help you trade better.

Financial media needs to fill 24 hours of airtime. They'll talk about anything, even when there's nothing meaningful to say.

The hot tip problem

Tips from friends, family, colleagues, or internet strangers are usually worthless—or worse, actively harmful.

If someone truly had valuable inside information, why would they share it with you? They'd trade it themselves and keep quiet.

Most "tips" are just opinions dressed up as facts. Or rumors. Or complete speculation.

What happens when you follow news and tips

You enter trades based on someone else's opinion, not your own analysis. When the trade goes against you, you have no idea what to do because you didn't understand why you entered in the first place.

You trade emotionally, reacting to every headline, every tweet, every talking head on TV.

You lose sight of your trading plan and start making random, undisciplined trades.

What you should do

Turn off CNBC, Bloomberg, and financial news. Seriously. Just turn it off.

Unfollow everyone on social media giving trading advice or hot tips.

If you hear a tip, write it down. Then forget about it. If it shows up as a signal in your trading system, trade it. If not, ignore it.

Make decisions based on your analysis and your system, not on what some analyst said on TV.

The market doesn't care what the news says. Price is truth. Everything else is just noise.

If you must consume financial news, do it after markets close, not during trading hours. And take everything with massive skepticism.

Your edge comes from your systematic approach and discipline, not from hearing something before everyone else (which you won't anyway).

Revenge Trading

Revenge trading is one of the most destructive behaviors in trading.

What is revenge trading?

It's when you take a loss and immediately try to "get it back" by taking another trade—usually a larger trade with more risk.

You're trading emotionally, driven by anger, frustration, or wounded pride. You're not following your system. You're trying to prove the market wrong or recover losses quickly.

Why it happens

Losing money hurts. Psychologically, we want to eliminate that pain immediately. The fastest way to eliminate the pain of a loss is to have a win.

Also, our egos get bruised. We want to prove we were "right." We want to show the market who's boss.

The reality

The market doesn't care about your ego. It doesn't care that you lost money. It doesn't care about your feelings.

Revenge trading almost always results in bigger losses. Why? Because you're trading emotionally, not rationally. You're ignoring your rules, increasing size inappropriately, and forcing trades that aren't really there.

One revenge trade can wipe out a week of profits. A series of revenge trades can destroy your account.

What you should do

After any losing trade, take a mandatory break. Step away from your screens for at least 30 minutes. Get some fresh air. Clear your head.

Never, ever increase your position size after a loss. If anything, decrease it until you've regained your composure.

Remember: One trade means nothing. Your edge plays out over many trades. A single loss is just data—it's not personal.

Have a rule: After X losing trades in a row (maybe 3), you stop trading for the day. No exceptions.

Keep a journal of your emotional state. When you notice yourself getting angry or frustrated, close your trading platform.

Revenge trading is your ego trying to control something it can't control. Let it go. Accept the loss. Move on to the next opportunity with a clear head.

The best traders treat every trade as independent of the last. They don't chase losses or try to get even. They just execute their system, one trade at a time.

Not Using Stop Losses

Trading without stop losses is like skydiving without a parachute. Eventually, you're going to have a very bad day.

What is a stop loss?

It's a predetermined price level where you'll exit a losing trade to prevent further losses.

It's your worst-case scenario exit point—where you admit the trade didn't work and preserve your remaining capital.

Why traders don't use stops

They hope the trade will come back. "If I just hold on a little longer, it'll turn around."

They don't want to admit they were wrong. Taking the loss makes it real.

They think stop losses are for weak traders. Real traders "know" when to exit without mechanical stops.

The reality

Hope is not a trading strategy. Trades that go against you rarely come back—and when they do, you've usually tied up capital for far too long.

Not using stops is the number one way traders turn small losses into account-destroying catastrophes.

What you should do

Always, always, ALWAYS have a stop loss on every trade before you enter.

Your stop should be based on:

- Technical levels (support/resistance)
- Volatility (using ATR or similar measures)
- Percentage of account you're willing to risk (1-2% maximum)

Place your stop order immediately upon entering the trade. Don't just have a "mental stop"—actually place the order.

Never, ever move your stop further away to give a trade "more room." You can only move stops closer to lock in profits, never further away to accommodate losses.

If you get stopped out, accept it. That's the trade. Move on to the next opportunity.

Remember: Stop losses are your friend. They protect you from yourself and from the market. Embrace them.

The difference between a small loss and a catastrophic loss is usually whether or not you used a stop.

Using Mechanical Systems Without Understanding Them

Many traders buy or lease mechanical trading systems without understanding how they work or why they work.

What is a mechanical system?

It's a trading approach with completely objective, rule-based entry and exit criteria. No discretion. No judgment. Just follow the rules.

The appeal

Mechanical systems remove emotion from trading. You don't have to make decisions—just follow the signals.

For many traders, this sounds perfect. Let the system do the thinking!

The problem

If you don't understand WHY the system works, you won't be able to execute it properly when it goes through inevitable drawdowns.

Every system has losing periods. If you don't understand the logic behind the system, you'll abandon it during drawdowns—usually right before it starts working again.

Also, many commercial mechanical systems are curve-fitted to historical data. They worked great in the past but fail going forward.

What you should do

Before using any mechanical system:

- Understand the logic behind it (what market behavior is it exploiting?)
- Know its historical drawdowns (how big? how long?)
- Understand what market conditions it works best in
- Test it yourself on out-of-sample data
- Trade it in simulation before risking real money

If you can't explain in simple terms why the system should work, don't trade it.

Be especially wary of systems that:

- Use many indicators (probably over-fitted)
- Work in all market conditions (impossible)
- Have suspiciously perfect equity curves (cherry-picked)
- Cost thousands of dollars (if it works so well, why sell it?)

Better yet, develop your own mechanical system based on simple, robust principles. You don't need complicated algorithms. Simple often works better.

The advantage of mechanical systems is consistency, not perfection. If you can't stick with the system through the tough times, it doesn't matter how good it is.

Ignoring Execution Quality

Poor execution can turn a winning strategy into a losing one.

What is execution?

It's the process of actually getting in and out of trades—the prices you get, the speed of your fills, the slippage you experience.

Why it matters

The difference between your expected price and your actual fill price is called slippage. Over many trades, slippage adds up and can significantly impact results.

If your system shows a profit of $500 per trade but you experience $50 of slippage on entries and exits, you've just reduced your profit by 20%.

Common execution mistakes

- Using market orders when limit orders would be better
- Trading during low liquidity times (getting bad fills)
- Trading markets that are too illiquid for your size
- Not accounting for commissions in your system testing

- Using a poor broker with slow executions
- Not understanding how your orders will be filled

What you should do

Choose a reputable broker with:

- Fast execution speeds
- Good fill prices
- Reasonable commissions
- Reliable platform
- Good customer service

Understand order types and when to use them:

- Market orders (immediate execution, but price uncertain)
- Limit orders (price guaranteed, but execution uncertain)
- Stop orders (for stops and breakout entries)
- Stop-limit orders (for more control)

Trade liquid markets where your orders can be filled without significant slippage.

If you're day trading, use direct-access brokers that route orders quickly.

Track your slippage. Compare expected fills to actual fills. If slippage is consistently large, something is wrong.

Include realistic commission and slippage estimates when testing systems. A system that shows 50% annual returns without accounting for costs might only produce 30% in reality.

Execution quality is especially important for short-term traders. The more frequently you trade, the more execution quality matters.

Not Adapting to Changing Markets

Markets evolve. What worked five years ago might not work today. What works today might not work in five years.

Why markets change

- New participants (algorithmic traders, international traders)
- Changing regulations
- Different economic conditions
- Technological advances
- Shifts in market structure

The mistake

Traders assume that because their system worked in the past, it will work forever. They don't monitor whether it's still effective. They don't adapt when market character changes.

What you should do

Regularly review your system's performance:

- Is it still generating positive expectancy?
- Are drawdowns getting larger?
- Is win rate declining?
- Are average wins shrinking?

If performance deteriorates, investigate why:

- Has market volatility changed?
- Has market structure changed?
- Are you executing differently?
- Has something fundamental shifted?

Be willing to adapt:

- Adjust parameters if needed (carefully, not over-optimization)
- Switch to different systems for different market conditions
- Add new tools or approaches
- Remove things that no longer work

But don't change everything after every losing trade. Distinguish between normal variance and genuine system degradation.

Markets go through cycles. Your system might underperform for months, then work beautifully again. Don't abandon a solid approach prematurely.

The key is finding the balance between:

- Sticking with proven methods through normal drawdowns
- Adapting when fundamental market changes occur

This requires experience, judgment, and careful analysis—not knee-jerk reactions.

GIVING UP TOO SOON

The final mistake is quitting before you've given yourself a real chance to succeed.

Why people give up:

Trading is hard. Progress is slow. Losses are painful. It's easier to quit than to persist.

After a string of losses or a big drawdown, many traders decide trading "doesn't work" or "isn't for me." They give up and go back to their regular jobs.

The reality:

Success in trading takes time—usually years, not months. Even talented traders with good systems experience long periods of flat or negative performance.

The learning curve is long. You'll make every mistake in this book at least once. That's normal.

What you should do:

Set realistic expectations:

- Don't expect to be profitable in your first year
- Don't expect consistent profits in your second year
- Don't quit your day job until you've had multiple profitable years

Keep detailed records so you can see progress even when it's not obvious:

- Are you making fewer mistakes?
- Are you following your rules more consistently?

- Is your expectancy improving?
- Are your drawdowns smaller?

These are signs of progress even if your account isn't growing yet.

Treat trading like any other profession. You wouldn't quit medical school after one year because you're not performing surgery yet. Don't quit trading because you're not profitable yet.

Give yourself at least 2-3 years of serious, dedicated effort before deciding if trading is for you.

But also be honest with yourself. If after years of effort you still don't have a positive edge, it might be time to accept that trading isn't your strength. That's okay. Not everyone is suited for trading.

The key is giving yourself a real chance before making that decision.

Trading success isn't about being brilliant. It's about being disciplined, consistent, and willing to learn from mistakes.

Most traders fail not because they're stupid, but because they make these predictable mistakes and don't correct them.

You now know what the mistakes are. You can't claim ignorance anymore.

The question is: Will you actually do the work to avoid them?

Will you create a written plan? Will you practice in simulation? Will you track your trades? Will you follow your rules?

Or will you be like most traders—reading this, nodding along, then going right back to making the same mistakes?

The choice is yours.

Markets don't care about your potential. They only care about your execution.

So get to work. Study. Practice. Track. Measure. Improve.

Do the things that successful traders do, avoid the mistakes that failing traders make, and you'll give yourself the best chance of joining the small percentage who actually make it.

Good luck. You're going to need it—and skill, and discipline, and persistence.

Now get out there and trade like a professional, not a gambler.

A NOTE FROM THE AUTHOR

We have covered tremendous ground on RSI in this book, exploring divergences, reversals, multi-timeframe analysis, the Momentum Monitor System, and Range Rules across different market conditions. Yet, I must be honest with you – there are still many more concepts and applications to discuss. The RSI indicator is remarkably versatile, and I have played with it and tested it in so many different ways over the years.

However, bringing all of these ideas into a single edition would make this book very heavy and difficult to digest. More importantly, the flow of ideas gets distracted if I keep writing on one topic endlessly, going in and out of different concepts without giving you time to absorb and apply what you've learned. If I start speaking about this tool without restraint, it may go on and on, and that wouldn't serve you well as a reader and trader.

So I've made the conscious decision to stop here and give you a solid foundation to work with.

My Request to You

I'm requesting you to go through the concepts we've covered in this book and apply them in your own trading. Play with these ideas, test them on different stocks and timeframes, and see how things work out in real market conditions. There's no substitute for hands-on experience and personal discovery. What works for one trader might need adjustment for another based on trading style, risk tolerance, and market focus.

An Important Reminder

Always remember – RSI is an indicator, not a trading tool by itself! It provides information, signals, and context, but it's not a complete trading system. Use it sanely, combine it with proper price action techniques, risk management, position sizing, and other aspects of sound trading practice to get proper results from it. No indicator, no matter how powerful, can replace discipline, patience, and good judgment.

Looking Ahead

If God graces and circumstances permit, I will try to bring out another part dedicated to RSI, covering additional concepts, specific market applications, and real-world case studies. There's so much more to explore, and I'd love to share it with you.

Of course, your feedback will matter a lot. If you found this book valuable, if you have questions, suggestions, or insights from applying these concepts, please share them. Your experience and input will help shape future editions and ensure that what I write continues to serve the trading community effectively.

Thank you for taking this journey with me through the world of RSI analysis. May your charts be clear, your signals be strong, and your trades be profitable.

Trade wisely and prosper.